

Carborundum Universal Ltd. (CARBORUNIV)

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Call: Jan 2025

18th January 2025

BSE Limited
25th Floor, Phiroze Jeejeebhoy Towers
Dalal Street , Fort Stock Code: 513375
Mumbai - 400001

National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E) Stock Code: CARBORUNIV
Mumbai – 400 051

Dear Sir/Madam,

Sub: Transcript of the Investor Call

Pursuant to our letter dated 15th January 2025 informing t he upload of audio recording of the investor call held on 15th January 2025 , please find enclosed a copy of the transcript of the Investor call and the same can be accessed through the following link.

Link: <https://www.cumi-murugappa.com/wp-content/uploads/2025/01/15.01.2025-investor-call-transcript-1.pdf>

Request you to k indly take the above on record.

Thanking you

Yours faithfully
For Carborundum Universal Limited

Rekha Surendhiran
Company Secretary

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“Carborundum Universal Limited
Business Update Conference Call ”
January 15, 202 5

MANAGEMENT : MR. SRIDHARAN RANGARAJAN –
MANAGING DIRECTOR – CARBORUNDUM
UNIVERSAL LIMITED
MR. SUSHIL BENDALE - CHIEF
FINANCIAL OFFICER – CARBORUNDUM
UNIVERSAL LIMITED
MR. G. CHANDRAMOULI – ADVIS OR,
INVESTOR RELATIONS – CARBORUNDUM
UNIVERSAL LIMITED

MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL
ADVISORS LIMITED

Carb orundum Universal Limited
January 15, 202 5

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Moderator: Ladies and gentlemen, good day, and welcome to the Carborundum Universal Business Update Call hosted by DAM Capital Advisors Limited. As a reminder, all participant line will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Bhoomika Nair. Thank you, and over to you, ma'am.

Bhoomika Nair : Yes. Thank you, everyone. Thank you. Good evening, everyone. On behalf of DAM Capital, I would like to welcome you to the Carborundum Universal call for a business update. We have the management today being represented by Mr. Sridharan Rangarajan , Managing Director; Mr. Sushil Bendale, Chief Financial Officer; and Mr. G. Chandramouli, Advisor, Investor Relations. At this point, I'll hand over the floor to Mr. Rangarajan for his initial remarks, post which, we'll open up the floor for Q&A. Thank you, sir, and over to you.

Sridharan Rangarajan: Thank you, Bhoomika, and good evening to all of you. Thanks for your participation in today's call. I would like to provide an update of an event relating to VAW, which is a material step -down subsidiary of CUMI. As per the U.S. Department of State's press release dated 10th January 2025, the set of Russian companies in the manufacturing sector which includes VAW, were added to the U.S. Department of Treasuries, Office of Foreign Assets Control, (OFAC), Specially Designated Nationals and Blocked Person List (SDN list) for operating or having operated in the manufacturing sector of the Russian Federation economy. As a result of VAW's designation, all of VAW's property and the interest in the property that are in the United States are in possession or control of U.S. persons are blocked. Further, most financial transactions involved in U.S. currency and transactions involving U.S. persons are Carborundum Universal Limited

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not possible for VAW unless authorized by general or specific license of a OFAC .

As such, VAW has no business operation or sales in the U.S. VAW is assessing the impact of its designation . Material update, if any, will be informed post the completion of such assessment. This call will be limited to this event and we will take questions relating to that only. We will try to answer to the best of what we know today. We'll open up the question for the next 15 minutes. This will be a short call, only focused on this event. Thank you.

Moderator : Thank you very much. The first question is from the line of Harshit Patel from Equirus Securities. Please go ahead.

Harshit Patel: Sir, firstly, as you have previously mentioned, close to 40% to 45% of our VAW sales come from Europe. So how much proportion of these sales is denominated in the U.S. dollar, which might be impacted going ahead, as you have mentioned?

Sridharan Rangarajan: Yes. So overall, you're right, about 60% of the businesses is within Russia, and the balance is outside of Russia. We think around 12 percentage of our business is U.S. dollar denominated and this we would be talking to each customer to understand their willingness to switch to other currencies.

Harshit Patel: Sure. So in your preliminary assessment, how long this shift will take, whether we will be able to complete this exercise in this March quarter itself? Or will it take more time and will spill over towards June quarter as well?

Sridharan Rangarajan: So just to refresh and we are going through this multiple discussions within us. I think probably we'll have more update when we meet in the month of February after our earnings call or during the earnings call.

I.

Harshit Patel: Understood. And just a small follow -up to that from my side. What happens to the outstanding receivables that we have in the U.S. dollar?

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Sridharan Rangarajan: So we have very, very miniscule outstanding receivable, and these will have to be collected. We understand these are known customers who have been working with us for quite some time and there are individual customers that we need to start working with them to collect. We don't see at this point in time a risk.

Harshit Patel: Understood. Thank you very much for answering my questions and all the very best.

Moderator: Thank you. The next question is from the line of Aditya from Kotak Securities. Please go ahead.

Aditya: Just to clarify, what you're saying is there is no meaningful direct impact of the move on your business in Russia, right?

Sridharan Rangarajan: I'm saying that we are explaining the dynamics of our current structure of the business. We are in the process of assessing the impact. It is too early to have a full impact to assist. As you know, it's just 2 working days has passed and we are just trying to understand impact of each of this element. I'm sharing what we know at this point in time and that is what I would summarize.

Aditya: Okay. Maybe to earlier question, but do you expect as in the strategy of growth, which obviously you're not investing from a growth perspective, but do you think through Russia any different light after there is an event came, let's say, a European event incrementally happen? Any thoughts that you would have at this point of time because either one should we be thinking of this as a small event or a precursor and I'm not sure how to think through it?

Sridharan Rangarajan: Yes. Honestly, this year, at this point in time, we have been dealing with Russia for the last 2 - 3 years in a kind of as it comes going through the motions of various progress in terms of geopolitics. And that is how we are looking at it. We don't have any kind of aspiration of growth, and we have been communicating this as well until clarity emerges in this manner. So I would say that's the stand we take that continues even now.

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Aditya: Understood. Those are my primary questions. Thank you for your responses. Thank you.

Sridharan Rangarajan: Thank you. Aditya.

Moderator: Thank you. The next question is from the line of Mohit Pandey from Macquarie Capital. Please go ahead.

Mohit Pandey: Sir, maybe, a bit early to ask this, but can you please clarify if this development has any impact on your other businesses in the U.S.? And what proportion of your total business is in the U.S. today?

Sridharan Rangarajan: This, as we understand as per our discussion with multiple people involved, this is highly focused on VAW and its business and that is how we understand and we have communicated the same thing also to the investors.

Mohit Pandey: Okay. And yes, so secondly, overall, like 5%, 7% of your sales, console sales could be in the U.S. Is that the right understanding? Or is it a different number?

Sridharan Rangarajan: Yes. I would share more details as we go to our earnings call. We are our focus is largely into this event, and I'm trying to address any questions relating to this event.

Mohit Pandey: Sure, sure, sir. And my other question was even before this event, just wanted to understand how repatriation was happening from VAW to the parent or CUMI International, if you could help us understand that?

Sridharan Rangarajan: So typically, the dividend is paid and that is how the repatriation of dividend happens using the banking channels. And we think that, that should continue to happen.

Mohit Pandey: Okay. And this does not get impacted by the USD restrictions. Is that correct?

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Mohit Pandey: Okay. And I understand, I mean earlier, I think sometimes some quarters back, if I remembe r correctly, it was mentioned around 30% of VAW is like repatriated as dividend. Is that the right understanding or?

Sridharan Rangarajan: It varies, Mohit, depending on their capex need, their local req uirement, etcetera. But generally, the companies poli cies, 30% of the profit is generally being repatriated -- I mean, paid out as dividend.

Mohit Pandey: Understood, sir. Okay, sir. Thank you. That was it for my side. Thank you.

Mod erator : Thank you. The next question is from the line of Bhoomika Nair from DAM Capital Advisors Limited. Please go ahead.

Bhoomika Nair: Sir, just one small clarification. You mentioned that 12% of the revenues of VAW is in U.S. dollars. Now where is the end revenues of this 12% happening? Is it more in Europe? Or is it more U.S. or any other geography, if you can just elaborate on that, so we understand how easy it will be to probably shift to other currencies?

Sridharan Rangarajan: So it is typically no Europe, no U.S. sales, as I said in my opening remarks, and it typically happens outside of the Europe, this 12%. So that respective countries have to look at customers that we look at whether they can shift to other currencies.

Bhoomika Nair: Okay. So to that extent, in case somebody is not willing to move, that will be the p ossible worst -case situation loss till the market or till this issue gets resolved with the U.S. government?

Sridharan Rangarajan: Correct, correct.

Bhoomika Nair: Okay. Fair point sir, thank you so much.

Mod erator : Thank you. The next question is from the line of Harshit Patel from Equirus Securities. Please go ahead.

Harshit Patel: Just a small follow -up, sir, are there many Russian firms producing silicon carbide who are exporting directly to U.S.A.? And if so, could Carb orundum Universal Limited

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there be a material change in the si licon carbide prices in the global market, is that a possibility that you see which is happening at the moment?

Sridharan Rangarajan: So silicon carbide is a very large market. And as I said, that VAW has not been selling to U.S. in the past as well.

Harsh it Patel: Right, understood. Thank you very much sir.

Mod erator : Thank you. The next follow -up question is from the line of Aditya from Kotak Securities.

Aditya: If you could just refresh us with any other restrictions that are presently there in VAW. I think there is some export duty adverse imposed. It would just be helpful if you could kind of give us a sense of any other restrictions, whether on repatriation or on duties being put or any other sanctions that are there that are applicabl e to the Russian entity.

Sridharan Rangarajan: No other restriction to our knowledge exists. This is the first time we have faced and that's what we are sharing with you.

Aditya: Thank you. That clarifies. That was my only question. Thank you.

Mod erator : Thank you. The next question is from the line of Bhavin from SBI Mutual Funds. Please go ahead.

Mod erator : Sorry to interrupt, Mr. Bhavin, I would request you to please use your headset.

Sridharan Rangarajan: A little bit closer to mic, please.

Bhavin: So pardon me if I mention changes, I joined in a bit late. So what I understand is about 45% of the revenues or within Russia and balance was exports. Now, the question is can the Euro as the currency be used because...

Mod erator : Sorry, Mr. Bhavin, we are not able to hear you.

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January 15, 202 5

Bhavin: Question was 45% of revenue was domestically sold to the Russian entity where 55% is exports. Are there distractions on Euro sales? Can the Euro sales be continued? And as you said,

15% of the sales were EU

entities within the Europe, would it be possible to switch to Europe, Euro as a currency?

Sridharan Rangarajan: Yes. Sorry, Bhavin. I think you came in late. We covered this almost 60 percentage is locally sold in Russia and 40% is actually exported. It is a reverse of what you are telling. And basically, of that 12 percentage of that sales is currently U.S. dollar -denominated. And we have to work with each customer to see whether they are willing to shift from their current dollar -denominated sales. And that is the process that we have engaged and it will take some time to give you an update.

Bhavin: But sir, the question also was invoicing in Euro as a currency in your view, should not be a problem?

Sridharan Rangarajan: Yes. As we understand, the limitation is that we cannot use dollar currency.

Bhavin: Okay. Sure. Another follow-up question. What percentage would be to China? And is it possible in case of worst case scenario to pivot to China given that they have other arrangements in Russia?

Sridharan Rangarajan: We hardly sell anything to China, Bhavin.

Bhavin: Okay. This is the last question. Is the high-purity SiC program that is embarking and the pilot plant is in India, but would there be any impact on that program given the current situation?

Sridharan Rangarajan: We don't see any impact of that, that's happening in India and it will continue to progress in that direction.

Bhavin: Thank you so much for taking my questions.

Sridharan Rangarajan: Thank you, Bhavin.

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Mod erator : Thank you. As there are no further questions from the participants, I would now like to hand the conference over to Ms. Bhoomika Nair for closing comments.

Bhoomika Nair: Yes, sir. Thank you very much, sir, for giving us an opportunity to host the call and answering all the queries on a relevant event and thank you to all the participants. Any closing remarks from your side, sir?

Sridharan Rangarajan: No, thank you for all of you for coming in and showing interest and I think we'll continue to update you as we progress on this event as we learn more. Thank you.

Mod erator : Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

18th February 2025

BSE Limited
25th Floor, Phiroze Jeejeebhoy Towers
Dalal Street , Fort Stock Code: 513375
Mumbai - 400001

National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E) Stock Code: CARBORUNIV
Mumbai – 400 051

Dear Sir/Madam,

Sub: Transcript of the Investor Call

Pursuant to our letter dated 14th February 2025 informing t he upload of audio recording of the investor call, please find enclosed a copy of the transcript of the Investor call and the same can be accessed through the following link.

Link: <https://www.cumi-murugappa.com/wp-content/uploads/2025/02/Q3-FY-2024-25-earnings-call-transcript.pdf>

Request you to k indly take the above on record.

Thanking you

Yours faithfully
For Carborundum Universal Limited

Rekha Surendhiran
Company Secretary

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“Carborundum Universal Limited Q3 2025 Earnings
Conference Call”

February 14, 2025

MANAGEMENT : MR. SRIDHARAN RANGARAJAN – MANAGING
DIRECTOR , CARBORUNDUM UNIVERSAL LIMITED
MR. SUSHIL BENDALE – CHIEF FINANCIAL OFFICER ,
CARBORUNDUM UNIVERSAL LIMITED

MR. G. CHANDRAMOULI – ADVISER , INVESTOR
RELATIONS , CARBORUNDUM UNIVERSAL LIMITED
MR. DENESH KUMAR – ASSISTANT GENERAL
MANAGER (STRATEGIC PLAN NING) , CARBORUNDUM
UNIVERSAL LIMITED
MODERATORS : MS. BHOOMIKA NAIR – DAM CAPITAL ADVISORS

Carborundum Universal Limited }
February 14, 2025

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Moderator : Ladies and gentlemen, good day, and welcome to the Q3 FY '25 Earnings Conference Call of Carborundum Universal Limited , hosted by DAM Capital Advisors Limited .

As a reminder , all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Ms. Bhoomika Nair from DAM Capital Advisors. Thank you, and over to you, ma'am.

Bhoomika Nair : Yes. Good morning, everyone. A warm welcome to the Q3 FY '25 Earnings Call of Carborundum Universal Limited. We have the Management today being represented by Mr. Sridharan Rangarajan – Managing Director; Mr. Sushil Bendale – Chief Financial Officer; Mr. G. Chandramouli – Adviser, Investor Relations; and Mr. Denesh Kumar – AGM (Strategic Planning).

At this point, I will hand over the floor to Mr. Rangarajan for his "Initial Remarks", post which we will open up floor for Q&A. Thank you, and over to you, sir.

G. Chandramouli : Good morning. I am Chandramouli.

Let us start the meeting with a disclaimer :

In this call, we may make certain statements, which reflects our outlook for the future or which could be construed as forward-looking. These statements are based on Management's current expectations and are associated with uncertainties and risks , are more fully detailed in our annual report, which may cause the actual result to differ. Hence, these statements must be reviewed in conjunction with the risks that the Company faces. Thank you.

Sridharan Rangarajan : Good morning to all of you, and a warm welcome to our 3rd Quarter Earnings Call for the Financial Year FY '25. I trust that you and your family members are safe and healthy. I will quickly cover an overview , and then we will open up for question and answers.

First, we will talk about the consolidated number :

Consolidated Q3 sales were INR 1,241 crores. This was a growth of 9.8% , compared to Q3 FY '24. This growth was contributed mainly by Ceramics and Electro minerals, whereas the Abrasives was marginally lower. Compared to Q2 FY '25, which is a sequential quarter, we were higher by 2.6% . Ceramics, Electro minerals grew up, and Abrasives was slightly lower.

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Consolidated sales on YTD basis stood at INR 3,635 crores. It shows a growth of 5.5% compared to the same period last year. This growth was contributed by Ceramics by 8.6%, Electro minerals 3%, and Abrasives by 4.1%.

I will cover the PBIT , but whatever I am covering about, the PBIT, I will talk about PBIT before exceptional items, and I will cover in specific about the exceptional items little later. PBIT for Q3 FY '25 was INR 141 crores . This was lower by 10.8% over Q3 FY '24. PBIT from Ceramics went up by 14%; and Electro minerals 34%, a little better. However, PBIT from Abrasives were significantly lower. I will cover each of these business PBIT little later. While some of these business PBIT was higher, there was a swing in unallocable expenses, which resulted in overall PBIT coming down, and Sushil will explain this separately.

Compared to Q2 FY '25, PBIT is lower by 8.8%. The PBIT of Electro minerals segment grew up by 17%, whereas PBIT for Abrasives and Ceramics were lower by 18% and 14%, respectively. PBIT margin percentage at consolidated level came down from 11.3% in Q3 FY '25 from 14% in Q3 FY '24 and 12.

8% in Q2 FY '25. PBIT on YTD basis was at INR 444 crores , compared to INR 454 crores in the same period last year. PBIT margin percentage on a YTD business decreased from 13.2% to 12.2%.

Consolidated profit after tax and non-controlling interest for Q3 without exceptional items relating to VAW was INR 111 crores against the same number of INR 111 crores in Q3 FY '24, and INR 116 crores in Q2 FY '25. I will cover this in detail. We feel operation -wise, it's

comparable performance and at expected level.

Consolidated profit after tax and non-controlling interest for Q3 FY '25, after the exceptional item was INR 35 crores. Profit after tax on YTD basis was INR 264 crores against INR 326 crores in the same period last year. Again, this is due to exceptional item. If we consider without these exceptional items, profit after tax and non-controlling interest was INR 339 crores, which is a growth of 4%. So, business-wise, this is fine, there are exceptional items, which we will cover later.

I will move to Standalone :

Standalone Q3 was INR 728 crores with a growth of 15% compared to Q3 FY '24. This has been the highest quarterly sales for CUMI. This growth was majorly contributed by Ceramic segment growing at 25%, Electrominerals growing at 22%, Abrasives grew marginally by 1.1%.

Compared to Q2 FY '25, the sales in this quarter grew up by 3.2%. Ceramics grew up by 16.5% ; Electrominerals was almost flat; and Abrasives de-grew by 4.6%.

On YTD basis, standalone sales were at INR 2,097 crores with a growth of 8.2% compared to the same period last year. This was contributed by growth in Electrominerals at 8.6%, Ceramic s at 7.4%, and Abrasives at 5.4%.

Carborundum Universal Limited }

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PBIT for Q3 FY '25 was INR 110 crores, similar to Q3 FY '24. You would note that some of the PBIT of the businesses was INR 129 crores compared to INR 114 crores in Q3 FY '24. This was offset by higher unallocable expense, resulting in flat PBIT. The growth in segment results were mainly from Ceramics and Electrominerals , and while Abrasives was lower by INR 7 crores.

Ceramics went up by INR 17 crores, and Electrominerals by INR 6 crores.

Compared to Q2 FY '25, PBIT in Q3 FY '25 was lower by INR 6 crores. On YTD basis, PBIT grew marginally by 0.4% to INR 344 crores against INR 343 crores in the same period last year. Profit after tax on a YTD basis grew up by 1.6% , INR 260 crores , when compared with the same period of the last year.

So, I will cover the segment performance now :

We will start with Abrasives :

Consolidated Abrasives sales for 9 months in FY '25 was INR 1,621 crores, a growth of 4.1% when compared to the same period last year. Standalone business grew up by 5.4%, RHODIUS about 7%, AWUKO 16%, showed good growth compared to 9 months in FY '24, whereas the Sterling Abrasives and CUMI America had a negative growth.

Q3 sales was at INR 526 crores, with a small degrowth of 0.4% , compared to Q3 FY '24.

Compared to Q2 FY '25, sales were low by 3.1% , largely coming out of the lower sales in standalone and in RHODIUS .

Standalone Abrasives :

YTD sales was at INR 905 crores with a growth of 5.4% compared to the same period last year.

Growth was majorly driven by Industrial and Retail and while there was a small degrowth in Precision business . The growth on YTD basis was predominantly coming out of the volume.

In Q3 FY '25, Standalone Abrasives sales grew up by 1.1% to INR 294 crores , compared to Q3 FY '24. Industrial and Precision segment s registered growth, while Retail segment was marginally lower, mainly on account of a small volume drop. In comparison to Q2 FY '25, there was a degrowth o

f 4.6%, mainly due to lower industrial demand.

RHODIUS :

RHODIUS on a YTD basis achieved net sales of €49 million compared to €46 million during the same period last year. This represents a 6% growth over the last year. This was mainly due to volume growth. For the quarter, RHODIUS achieved net sales of 15.3 million, which is 1% lower compared to Q3 FY '24 and lower by 7.5% compared to Q2 FY'25 .

And between Q2 and Q3, you have the lower number of days due to Christmas holidays, et cetera , generally , the seasonality will be like this.

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On YTD basis, RHODIUS incurred loss after tax of €0.9 million against the loss after tax of €2.1 million in the same period of last year . So, the losses have come down significantly. We expect a growth of 7% on a full-year basis as against 9% what we communicated during the Q2 earnings call.

We expect a loss after tax of €1.9 million on full-year basis against the breakeven we told in Q2 Earnings Call. The losses in FY '25 are expected to be higher by €0.38 million compared to FY '24. This is mainly due to pricing pressure in the market, higher freight costs , and additional costs relating to contract workers . It is to be noted that this is after the PPA write -off of €2.8

million, meaning to add the €2.8 million on a full year basis, it is making a profit.

AWUKO :

AWUKO achieved sales of €7.6 million on YTD basis. This is a growth of 15% compared to the same period last year. For the quarter, AWUKO delivered a sale of €2.3 million, which is 8% growth over the same period last year. Sequentially, it grew by 3% compared to Q2 FY '25. The loss es before tax on a YTD basis were €3.7 million compared to €2.7 million in the same period last year. Excluding one -off income in FY '24, AWUKO has improved their performance operationally.

During Q2 Earnings Call , we communicated AWUKO would increase their yearly sales by €2 million and have an EBITDA loss of €4.5 million. At present, we feel that the sales will increase by €1.3 million instead of €2 million, EBITDA loss will still be around €4.5 million.

Now, I will cover the PBIT performance of the business segment :

Consolidated PBIT for Abrasive on YTD basis was lower by 0.5% at INR 118 crores as compared to that of the last year. There was a slight drop in margin from 7.6% in 9 months FY '24 to 7.3% in 9 months FY '25. This was mainly due to standalone drop in PBIT margins , decreasing from 16.4% to 16.1%.

Consolidated PBIT for Q3 FY '25 was at INR 28 crores, with a degrowth of 43% compared to Q3 FY '24. This was due to PBIT degrowth in standalone almost about INR 7 crores, RHODIUS about INR 4 crores and AWUKO about INR 9 crores. While compared to Q2 FY '25, the PBIT was lower by INR 6 crores, this was mainly due to lower PBIT in RHODIUS and standalone .

Now , I will move to Electrominerals :

Consolid ated sales for 9 months in FY '25 was INR 1,199 crores, showing a growth of 3% compared to the same period last year. Standalone business grew up by 8.6%, Foskor 24%, showed good growth compared to 9 months of last year. VAW in local currency delivered bet ter performance, about 2% growth compared to the same period last year. However, when it's converted to Indian rupee, it is showing a de -growth of 2.5%.

Carborundum Universal Limited }

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Q3 FY '25 consolidated sales was INR 416 crores, with a growth of 12.8% compared to Q3 FY '24. The grow th was contributed by standalone and Foskor Zirconia. In comparison to Q2 FY '25, sales grew by 3.4%, Foskor had a double -digit growth, standalone was flat and VAW had a small degrowth.

Standalone Electrominerals :

Standalone Q3 sales was at INR 211 crores. This is the highest quarterly sales for Electrominerals business. It is a 22.4% growth compared to Q3 FY

'24. This growth was aided

by volume increase, higher price realization and also because of higher export sales. Compa red to Q2 FY '25, sales in this quarter were marginally higher by 0.3%. This was again aided by price realization and a small volume drop.

YTD sales was INR 610 crores, with a growth of 8.6% compared to the same period last year.

This was on account of inc rease in volume and a higher price realization. The other feature of the growth is also higher exports.

VAW :

The operations were doing well, and we will cover in detail the issues that we face.

Sales in local currency for Q3 FY '25 grew by 6.4% compared to Q3 FY '24 and grew by 6% compared to Q2 FY '25. On YTD basis, they delivered a 2.2% growth.

They delivered a loss after tax of RUB 718 million in Q3 FY '25, including onetime exceptions against a profit after tax of RUB 392 million in Q3 FY '24 , and profi t of RUB 466 million in Q2 FY '25. If you exclude the exceptions, profit after tax for Q3 FY '25 would have been RUB 479 million , comparable to the other quarters. Profit on YTD basis, RUB 35 million compared to RUB 1.23 billion during the same period last year. If you exclude the exceptions, profit after tax on YTD basis for FY '25 would have been RUB 1.23 billion.

I will now cover in detail about the issues relating to VAW :

As per the press release of United States Department of State dated 10th of Januar y, a set of companies which includes Volzhsky Abrasive Works, our subsidiary Company , has been designated as "Specially Designated Nationals and Blocked Person ", SDN list, part of the U.S. Department of Treasury's Office of Foreign Asset s Control, OFAC, fo r operating or having operated in the manufacturing sector of the Russian Federation economy. So, as a result of this, the assets held in U.S. will be blocked. Transaction in U.S. currency is not possible for VAW. Transaction involving U.S. or with U.S. is not possible. Transacting in euro currency is not possible as bankers and financial institutions would not risk themselves for a secondary sanction. We made a detailed assessment of the situation with the background of the learning and consulting from various experts. VAW used to export around 40 % to 45 % of sales. Of this, U.S. dollar -denominated sale s is about 12% , and euro -denominated sales is about 25%. VAW does

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not have any customer in U.S. Going forward, VAW will not be able to export in U.S. dollar or in euro.

VAW will be able to carry out only Domestic business. In the meantime, we have provided for receivables in U.S. dollars and euro including the deposits in dollars. This would result in 100% provisioning on carrying value of the foreign currency receivables and deposits in VAW's books, including CUMI Group. This amounts to RUB 1.59 billion before tax. Post tax, it would be equivalent to RUB 1.19 billion. This position is at VAW's level. CUMI has to pay to VAW.

After netting off the payable, the impact before tax is INR 104 crores, and post-tax and non-controlling interest, impact would be about INR 76 crores.

In Q4 FY '24, VAW made a sale of RUB 2.3 billion and a PAT of RUB 384 million. Q3 FY '25, VAW made sales of RUB 2.6 billion and a PAT of RUB 479 million, before exceptional item. So, we are also considering this. It's changing day by day, depending on various outcomes, but we have considered lower sales, and a lower profit compared to Q4. So, I would say at this point, we have to learn this, but we're going every quarter at this point in time.

Now I will move to Foskor Zirconia:

During the first 9 months of FY '25, Foskor Zirconia in local currency witnessed a sales growth of 19% compared to the same period last year. The growth was majorly driven by growth in volumes. And for the quarter, sales grew by 45% compared to Q3 FY '24 and grew by 29% as compared to Q2 FY '25. On YTD basis,

Foskor incurred a loss of INR 10.2 crores as compared to the loss of INR 10.7 crores in 9 months FY '24.

During the Q2 Earnings Call, we communicated that Foskor's loss would be in the range of INR 16 crores to INR 17 crores. Because of better profit in Q3, we feel the loss would come down and it would be in the range of about INR 9 crores to INR 10 crores.

Now I will cover the PBIT of this segment:

Consolidated PBIT for Q3 FY '25 was INR 67.5 crores. This was a growth of 34% compared to Q3 FY '24. Standalone business, Foskor Zirconia, VAW contributed to this growth. In comparison to Q2 FY '25, it was a growth of 17%, again mainly due to better performance in Foskor.

PBIT margin at a consolidated level was 16.2% in Q3 FY '25 compared to 13.7% in Q3 FY '24 and 14.3% in Q2 FY '25. On YTD basis, PBIT was INR 168 crores compared to PBIT of INR 186 crores in the same period last year. This resulted in margins decrease from 16% to 14%. For 9 months period, the drop is largely on account of VAW. Standalone Electrominerals, PBIT was similar to that of the last year.

I will move to the Ceramics Section:

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Consolidated sales on YTD basis was INR 864 crores compared to INR 795 crores in the same period last year. This represents a growth of 8.6%. The growth was mainly driven by CUMI India.

Q3 FY '25 consolidated sales was at INR 315 crores compared to INR 243 crores in Q3 FY '24. The growth was contributed majorly by CUMI India. Compared to Q2 FY '25, consolidated sales grew by 12%. Standalone business and VAW showed also a decent growth.

Standalone Ceramics:

Standalone Ceramics' Q3 sales was INR 265 crores, with a growth of 25% compared to Q3 FY '24. This growth was aided mainly by volume increase, offset by small impact due to lower price realization, mainly arising out of the refractories. Compared to Q2 FY '25, sales in this quarter grew by 16.5%. The growth was majorly aided by volume increase. Prices were impacted by Monolithic segment of the Refractory business.

YTD sales were INR 710 crores. It was higher by 7.4%, compared to the same period last year. Fired and Mono Refractories, Metallized & Engineered Ceramics business at standalone level grew as compared to the same period last year, and sales were lower in Wear Ceramics and Corrosion Resistance business.

I will cover now the PBIT of this segment.

Consolidated PBIT for Q3 FY '25 was at INR 68 crores. This was a growth of 14% compared to Q3 FY '24. This was majorly contributed by PBIT growth in standalone by 34%. In comparison to Q2 FY '25, There was a degrowth of 14%. Standalone PBIT grew by 9%. There was a decrease in PBIT in overseas subsidiaries, which is basically Australia and America. PBIT margin in Q3 FY '25 was at 21.8% compared to 24.7% in Q3 FY '24 and 28.5% in Q2 FY '25.

Consolidated PBIT on YTD basis was at INR 213 crores compared to INR 215 crores same

period last year. This resulted in margin decrease from 27% to 24.6% for the 9 months period. This was mainly due to underperformance in Australia and America. I would request now Sushil to cover the PBIT margin percentage, debt, CAPEX , cash flow and return on capital employed. Thank you.

Sushil Bendale : Thank you. Let us speak about the PBIT margin at a consolidated level. On a YTD basis, the consolidated PBIT margin was at 12.2% compared to 13.2% in the same period last year. For the quarter, consolidated PBIT margin was at 11.3% compared to 14% in Q3 FY '24 and 12.8% in Q2 '25.

Now the standalone :

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Standalone PBIT margin on a YTD basis was at 16.4% compared to 17.7% during the same period last year. For the quarter, standalone PBIT margin was at 15% compared to 17.4% in Q3 '24 and 16.4% in Q2 '25.

Abrasives :

The consolidated PBIT margins of Abrasives on a YTD

basis decreased from 7.6% to 7.3%.

And standalone Abrasives margins were at 16.1% with a dip of 30 basis points as compared to last year.

RHODIUS reduced their losses and AWUKO has improved their performance operationally.

For the quarter, consolidated Abrasives margins declined from 9.5% in Q3 '24 to 5.4% in Q3 FY '25. This was due to decline in standalone margins from 17.2% to 14.6%, and the margins dropped by 95 basis points compared to Q2 '25.

Electrominerals :

The consolidated PBIT margins of Electrominerals on a YTD basis declined from 16% to 14%. And the standalone PBIT margin of 9 months was at 9.3% compared to 10.5% in FY '24 9M. The drop is mainly due to higher input costs and pricing pressures that we see in the market.

For the quarter, consolidated Electrominerals margins improved from 13.7% in Q3 FY '24 to 16.2% in Q3 '25. Standalone Electrominerals PBIT margins increased from 7.8% in Q3 of FY '24 to 9.1% in Q3 '25.

The consolidated margins of Electrominerals improved by 192 basis points compared to Q2 '25, which is contributed by profits delivered by Foskor in Q3 '25 compared to losses in the previous quarter. The standalone margin percent in Q3 '25 decreased by 113 basis points compared to Q2 '25.

Now the Ceramics business :

Consolidated Ceramics margins on YTD basis decreased from 27% to 24.6%. The standalone Ceramics PBIT margins declined by 50 basis points to 25.1%. Profits from CUMI Australia and CUMI America were slightly lower compared to last year.

For the quarter, consolidated Ceramic margins declined from 24.7% in Q3 '24 to 21.8% in Q3 of FY '25. This is mainly attributable to CUMI Australia and CUMI America. In comparison to Q2 '25, the consolidated Ceramics margins decreased from 28.5% to 21.8% in Q3 of '25. The standalone margins in Q3 '25 decreased by 186 basis points compared to Q2 '25.

Now about the debt position :

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There was no debt in our standalone books. And total debt at a consolidated basis was at INR 109 crores at the end of Q3 FY '25 , compared to INR 103 crores at the end of Q2 '25 , and INR 119 crores at the end of Q3 '24. The debt -to-equity ratio was at 0.03 at a consolidated level. On a YTD basis, the CAPEX , our investment was about INR 202 crores.

ROCE :

On the YTD basis, our return on capital employed at a consolidated level is 17% compared to 18.3% during the same period last year. And at a standalone level, it is at 18.2% compared to 20.5% last year. For consolidated business, ROCE in 9 months for Abrasives declined from 11.4% to 11.1%; Ceramics declined from 46.5% to 38.2%; and Electrominerals from 27.1% to 24.6%.

For standalone businesses, the ROCE on YTD basis for Abrasives has marginally decreased from 42.9% to 38%, and Ceramics has declined from 51.4% to 46.6%. Electrominerals has decreased from 27% to 20.1%.

Now the unallocable expenses at a standalone level :

At the standalone level, the unallocable expense in Q3 '25 was at INR 19.8 crores compared to Q3 '24. This was higher by INR 16 crores, primarily due to lower dividend, higher project -

related costs, higher employee costs on account of new headcount additions, ESOP benefits and leaves benefit valuations. Compared to Q2 '25, it was marginally higher by INR 2 crores due to higher dividend receipts in Q2 '25.

On the YTD basis, unallocable expense was INR 37 crores compared to YTD Q3 '24. Unallocable expense was higher by INR 10 crores, primarily due to lower dividend, higher project -related costs, higher employee costs on account of new headcount addition and ESOP benefits.

At a consolidated level, unallocable expense at the consolidated level in Q3 was INR 22 crores. Compared to Q3 '24, unallocable expense was higher by INR 24 crores, primarily due to higher exchange loss in CUMI International on translation of certain closing balances, higher project -related costs, higher employee costs on account of new headcount addition,

ESOPs and leave benefit valuations.

Compared to Q2 '25, the unallocated expense increased by INR 11 crores, primarily due to exchange loss in CUMI International on account of translation on certain balances versus exchange gains in Q2 of '25. On a YTD basis, the unallocable expense at a consolidated level was INR 45.4 crores almost at a similar level of YTD Q3 '24.

Now I request Mr. Sridharan to talk about the future outlook.

Sridharan Rangarajan : Right. So, I will comment about what we talked about in Q2 Earnings Call and what we are now looking at.

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We communicated full -year consolidated sales to be 9% to 11% growth. We said about INR 5,100 crores to INR 5,200 crores. We expect a shortfall of INR 200 crores to INR 300 crores.

So, the overall growth will be accordingly adjusted.

Consolidated Abrasives, we expect a growth of 5% against 10%, what we communicated earlier.

This shortfall is mainly coming from AWUKO. We communicated growth in the last call, €2 million, whereas now they are talking about €1.3 million.

Abrasives India growth would be in the range of 6% to 7% against 9% to 11%, what was communicated earlier.

RHODIUS is doing well. We communicated earlier, the growth of 9% to 10%, but now we are revising. We feel it could be about 6% to 7%.

We communicated about sales growth of 12% to 14% consolidated Ceramic segment. We expect it to be 10% to 12%. For Industrial Ceramics business in India, we communicated growth projection would be 12% because of some shortfall in Engineered and Wear Ceramics segment.

It would be 10% on a year -on-year basis. Refractory, we expect 8% to 9% growth over the last year, against 12% to 13%, as communicated earlier.

We communicated about sales growth of 5% to 6% in consolidated Electrominerals business.

We expect some shortfall from VAW what we have planned. This will lead to flat marginal improvement over the last year.

Growth from standalone business is slightly better than what we communicated earlier, about 10% growth.

The PBIT performance, we communicated consolidated PBIT would be 12.7%, 12.8%. We expect a drop of by about 100 to 120 bps. We said that consolidated Abrasives and Ceramic margin will be similar to that of FY '24. At present, we expect to drop by about 150 basis points. In our last call, we said that consolidated Electrominerals margin will be in the range of 13.5% to 14%. We expect the margin decrease by 100 bps.

For CAPEX side, we said that we would spend about INR 350 crores. So, far, we spent about INR 202 crores in 9 months. We feel we should be spending about INR 300 crores.

So, overall, we expect the top line to be INR 4,800 crores to INR 5,000 crores. We expect PAT to be around INR 450 crores without considering the exception effect. We would be spending about INR 300 crores of CAPEX. We will be continuing to be debt -free. While delivering the current business, we have also prepared a good strategic plan for the future. We will share more in the near future.

So, with this, I will conclude the opening remarks and open up for the Q&A. Thank you.

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Moderator : Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press "*" and 1 on their touchtone telephone. If you wish to remove yourself from the question queue, you may press "*" star and 2. Participants are requested to use handset while asking a question.

Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Harshit Patel from Equirus Securities . Please go ahead.
Harshit Patel : Hi, sir. Thank you very much for the opportunity. So, my first question is on VAW. As you mentioned, we won't be

able to transact , both in U.S. dollars as well as in euro. So, is there that much of an appetite in the local Russian market that we will be to absorb those lost sales? Or what exactly could be impact of these measures, both in the near term as well as how do we plan to mitigate this over a medium to long term?

Sridharan Rangarajan : So, Harshit, we said that we will not be able to sell and we will not be able to compensate. We will only be selling what we were selling domestically. And we are just looking 1 quarter at a time to see how this whole thing develops. So, that is why we said that as far as the next quarter, we have made this adjustment. That is why we are bringing down the top line also in our projection. So, that is what we are looking at, at this stage. But we feel that given what they have been doing in domestic, they should be able to continue to do the same.

Harshit Patel : Understood. Just a follow -up to that. You have also mentioned that the cash worth around INR 123 crore, which is not available for use by any entities within the group due to the temporary repatriation restrictions. So, is this the entire cash balance of VAW or just 1 portion of it? And why can't we repatriate that to India? I mean we can at least transact between Ruble and INR, right? There shouldn't be any restrictions on that?

Sridharan Rangarajan : Yes. So, Harshit, just an accounting technical term is being used. This represents the cash in VAW. And typically, the cash repatriation means that Rupee -Ruble trade is possible only to the extent of the trade -related transaction. CUMI India doesn't own VAW directly. It is owned by Cyprus, and it has to come through Cyprus. And that is where we feel that at this point in time, it is not repatriable and hence, it is mentioned so.

Harshit Patel : Understood, sir. Perfect. Sir, my second question is on our Ceramic segment. While the standalone business has done exceedingly well, the growth has been more than 20% after quite a long period of time. However, the margins seem to be weak. Our understanding was that when the Engineered Ceramics business will revive, there would be a decent margin expansion on that. First, that is not visible.

And secondly, even the Ceramics margin at the subsidiary level seems to be very weak. So, is there any one -off impact of the consolidation of that American entity, which is silicon carbide products that we have consolidated for the 2 months of this particular quarter. So, what was the revenue and PBIT contribution from that acquired Company in this particular quarter?

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Sridharan Rangarajan : So, to start with, there are some one -off issues in Australia and America. Australia is largely there are provisions in terms of the inventory , and in terms of the receivables. And that is the broad reason. Plus, there is also product mix change in terms of the lower project -based orders. That is the reason for that.

As far as the Americas is also concerned is that we used to ship them, including the freight, but now we have changed the terms. The freight is absorbed by our American entity. And hence, there is a drop in the margin from their level. So, I would say, these are not relating to operations side of the business. More at this point in time, one -off I would say.

Now as far as the margins that you are looking at , in terms of the PBIT, we had a standalone Ceramics margin of 25.3% of Q3 FY '25 versus the last year at the same period, about 23.7 % . And sequentially, we were at 27.2% and moved to 25.3%, showing improvement in margin as you observed that the volume is going, mix is better and the margin percentage is also better.

Harshit Patel : Sir, just on that Silicon Carbide Products, Inc...

Sridharan Rangarajan : So, that Company is fine. We will share more details , it's a very small English Company . They are in line

with our expectations.

Harshit Patel : Perfect. Sir, just a small 1 question, if I can squeeze in. The standalone EMD margin had benefited from the higher fused alumina prices in the last quarter, that is second quarter of FY '25. So, how was that particular situation in 3Q FY '25, because we see a sequential margin drop in this particular aspect?

Sridharan Rangarajan : So, to start with, if you look at always EMD, the Q3 PBIT margins were lower than the Q2. It's a seasonality effect. You can check many quarters and you will see this trend, right?

Second is that there is a cost pressure. Definitely, alumina price increase versus our ability to put on the price is a continuing process, plus the competition from China is also a factor that puts us also pressure in terms of putting up the price. So, that is what I would look at it largely , and that is where you see this margin about 9.1% compared to last year's same period at 7.8%. So, that's a broad thing. The drop from 10.3% to 9.1% is more a seasonality linked basis.

Harshit Patel : Understood, sir. Those were my questions. Thank you very much , and I will get back to the queue.

Sridharan Rangarajan : Okay. Thank you. Thank you, Harshit .

Moderator : Thank you. Participants who wish to ask a question , may press "*" and 1. Next question is from the line of Amit Anwani from PL Capital.

Amit Anwani : Hi, sir. Thanks for taking my question. First question is on Abrasives. You mentioned that the guidance has been lowered to 6% to 7%. And also for consol , Abrasives RHODIUS has been lowered to 6% to 7%. So, domestically, you have been highlighting in the past that standard Carborundum Universal Limited }
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Abrasives have been facing Chinese impact. I wanted to understand more color post the tariff wars and slowdown in China continues, what is the outlook in domestic market for Abrasives? Will it be 6% to 7% for longer period of time or there's some improvement affecting it? And also, what is the status on now RHODIUS and AWUKO as well with respect to sales? Are we sticking to what we guided, because in 3 months' time, we changed the guidance drastically? So, just wanted to understand more details on Abrasives side and subsidiaries.

Sridharan Rangarajan : Yes. See, Abrasive demand is largely, I would say, at this point in time, holding on. Definitely, the market industrial activity is showing pressure in terms of the demand, that is there. And also at the same time, there's an increased infrastructure spend. The government also has announced, so should be able to again put up some demand for the Abrasives one. So, it is going to be a period where we need to watch , in terms of how the demand is going to play out. So, as far as the tariff type of question, I am not going to do crystal ball guessing now. So, let us see how this is going to pan out, and then we will take it if it comes , because it's going to be tough to do this.

AWUKO and RHODIUS, in terms of the top line, so as I said that I think it's AWUKO, we have just revised from €2 million to €1.3 million. That is the only revision that we are doing. But a large portion of the RHODIUS is a challenge of cost pressure rather than the top line. And I would say that in terms of the top line, we are still feeling that what we said earlier versus now is still holding. Large issue is in terms of the pricing pressure and some logistics costs going up , and employment of contract workforce. A combination of this is what is pulling the margin down. But they should be in a position to address. We will share more color as we meet in the month of May.

Amit Anwani : Again, on the VAW, you said 12% of sales is happening , USD. That has impacted. And I recollect, we were doing a lot of sales in Europe, which is 60 -40%, 60% was Russia, 40% on Europe. So, any color? So, shall we assume that large part of the sales will be impacted or you'

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be diverting more towards Russian markets or some other geographies? If you could give more colors on the business aspect of VAW now, how should we read?

Sridharan Rangarajan : So, I told, Amit, in my opening remarks, 60% is domestic sale and 40% is export. And of that, 12% is dollar -denominated and 25% is euro -denominated. We feel that euro on dollar, they will not be able to export. And the focus of the Company would be more on Domestic side of the business, which is what they used to do, 60 % of the business. And we are looking now quarter - by-quarter.

For this quarter, whatever we are feeling for the remaining 2 months, we have made this adjustment. We have worked on that. That is why we are sharing this adjustment. Beyond that, we will have to wait and see as things develop. There are many developments happening every day. There's a lot of development. So, let's wait and see without making a broad -based guess for the future.

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Amit Anwani : Sure, sir. Thank you. Thanks so much.

Sridharan Rangarajan : Thank you.

Moderator : The next question is from the line of Aditya Mongia from Kotak Securities. Please go ahead.

Aditya Mongia : Thank you for the opportunity. Again, 2 questions on VAW. Firstly, when you say that the euro -denominated businesses will also go down and it will only be a Domestic business , is this coming in from the customers? Or is this a thought process that you have at this point of time?

Sridharan Rangarajan : So, it's largely coming from the fact that the bankers are not in a position to transact in dollar or in euro. So, that is the basic problem that they are facing.

Aditya Mongia : Okay. Understood. And let's assume, as you were saying, the revenue levels fall to 60% of where things are today in VAW. Could you give us a sense of how does it impact the profitability in local currency , because there will be fixed costs that have to be taken into account?

And then secondly, from a repatriation perspective, what are the needs that we have of extracting the incremental profits and the cash from there?

Sridharan Rangarajan : Sorry, could you repeat the second portion of the question, repatriation?

Aditya Mongia : So, of whatever incremental money we make in VAW, I am not clear whether we can repatriate them or not because of the comment that was made on the call on cash. We're just trying to get a sense of both aspects; a, what will be the profitability? And b, what will be the means to make it come to us, incremental profit that is?

Sridharan Rangarajan : Sure. So, Aditya, first of all, as I said earlier is, we are taking 1 quarter at a time. The model of the business will be Domestic business. And obviously, the business have to be sized for that, which means costs have to reflect that volume of the business, right? So, all those aspects needs to be looked into that. The team is definitely looking all these aspects of it.

As we go and meet in the month of May, we will have better picture emerging and we will share what we are looking at going forward. But as I said, Domestic business is possible. Domestic space is there. They have been doing this for the last 3 years, as you know, as they change their product mix and positioning of the product. And we feel that that should be in good stead for them, once they have resized their operation accordingly. And we have considered, when we talked about this year, the impact of that for the, let's say, the 3 months of Q4 is part of that consideration. But beyond which, I would like to wait to see how this is going to play out. We feel that some better picture should emerge.

Aditya Mongia : Sure. Again, just to a clarity, is repatriation a problem or not? A simple question on incremental profit.

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Sridharan Rangarajan: So, repatriation of

dividend is a challenge, because you cannot repatriate using dollar or euro.

So, that is the issue. And the money they have to make use of it for their own investment purpose.

And we will have to wait and see once better days comes.

Aditya Mongia : Sure. And if INR 100 is the volumes or revenues of this Company, how much are being consumed internally, let's say, coming to India and then being used up? Is that any meaningful proportion?

Sridharan Rangarajan : Question is not clear. Could you repeat the question?

Aditya Mongia : Are there any sales that happened from VAW to standalone entity? I am just trying to get a relevance from an internal perspective.

Sridharan Rangarajan : No. We have very, very little sales to CUMI India and has no impact to CUMI India business. And there will not be any transaction between CUMI India and VAW.

Aditya Mongia : Noted. I have more questions, but I will get back into the queue. Thank you.

Sridharan Rangarajan : Yes. Please.

Moderator : Thank you. The next question is from the line of Bhavin from SBI Funds. Please go ahead.

Bhavin Vithlani : Good afternoon. Yes. The question again is on VAW. Now that it is a restriction, is there a thought of because the acquisition was made with a thought process of security of raw material. Now that is not possible. Is there a thought of divesting this business completely as repatriation also is getting challenged?

Sridharan Rangarajan : Yes. Bhavin, it's a good question. From our point of view, we need to allow some time to understand what this means to us, right? And we don't want to extend our thinking beyond the current management of what we are doing.

These things can change. It's a geopolitical issue. So, we need to wait and see. So, we will have to give some time to see how this development will turn. So, I will focus more on 1 quarter at a time and see how do we take this forward.

Bhavin Vithlani : Sure. Could you give us an update on the projects within the Ceramics division, the couple of expansions which were underway in terms of armored or the semiconductor one? And also, a couple of quarters back, we had issues with respect to the new energy hydrogen SOFC related.

Where are we in that? Have we seen a ramp-up on that front?

Sridharan Rangarajan : Okay. So, as far as the projects are concerned, they are very much on track, and we are tracking to the time as well as to the cost. We feel that it should progress as per our time line. No challenges, no issues.

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I am not clear about your second comment in terms of, we have not shared any challenges relating to hydrogen-related stuff. I am not sure where you are coming from.

Bhavin Vithlani : Okay. So, we had seen a drop in sales, because the customer...

Sridharan Rangarajan : Okay. So, that is not hydrogen related, probably let me come in. It is a solid oxide fuel cell manufacturer, and they are not into Hydrogen business. So, they would basically generate electricity out of that, and that is what is their core business. That business is back. As we communicated, this is from Q1, that is calendar year Q1 onwards FY '25, which is what, like Jan to March, what currently we are running, which is Q4 for us. Their order intakes are fine, and

they are very much in line with the trend what they have communicated to us.

Bhavin Vithlani : Okay. Just a couple of follow -ups on the 2 expansion projects, especially on the armor side. If you could give us like, are the customers for which we are building, are their projects also in line because we would be Tier 1, Tier 2 suppliers. So, if you can give some update on that front on both the projects? While we may be ready, the customers also should be correspondingly ready.

Sridharan Rangarajan : The customers are ready, and they are definitely very much part of this progress, and they have been updated.

ted. They also keep updating us. And it is progressing as expected.

Bhavin Vithlani : Perfect. So, ramp -up could be pretty quickly as soon as we see expansion getting commissioned.

Would that be a fair assumption?

Sridharan Rangarajan : So, first, let's start the project, kick -start the production, start our sale, and then we will share more details as we progress.

Bhavin Vithlani : Great. Yes. Those were my questions. Thank you so much.

Sridharan Rangarajan : Right. Thank you, Bhavin.

Moderator : Thank you. The next question is from the line of Lakshminarayanan from Tunga Investments .

Please go ahead.

Lakshminarayanan K. G. : Sir, I have 2 questions. First is that if I look at India made and India sold, what has been the last 9 months sales growth, made in India and sold in India?

Sridharan Rangarajan : It's roughly at about around 8%. I don't have a precise number, but indicatively, what Abrasives, refractories and some of the Electrominerals sales put together, I should look at it that way.

Lakshminarayanan K. G. : And if you look at this segment, what has negatively surprised you in the last 3 months or maybe 6 months?

Sridharan Rangarajan : Negatively surprised is definitely Volzhsky Abrasive Works...

Lakshminarayanan K. G. : No, I am just looking at the India made, India sold. How does that actually stand out?

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Sridharan Rangarajan : I don't think there's any major surprise, I would say, either positive or negative. We feel that it is continuing to be the same, and we expect probably the momentum might pick up because of this renewed commitment from the government of India in terms of the CAPEX programs, infrastructure spend, et cetera, should probably also more money put in the people, the demand driving could also happen. And so it should probably look at as more positive.

Lakshminarayanan K. G. : And in this business, what is the mix of direct OE sales versus distribution? And which has actually grown faster between these 2 segments, India made India sold?

Sridharan Rangarajan : So, we have the entire Electrominerals , Refractories for business to business. And as far as Abrasives is concerned where the dependence on the distributor is high. So, that, I would say, for example, is the biggest distributor -led business. The rest is all business -to-business -led growth. And overall, we are looking at more similar experience. Maybe in the distributor side, there are pressures in terms of their collections and probably some inventory piling up, all those we are looking at. Other than that, I don't think any significant observation, which I can have.

Lakshminarayanan K. G. : Correct. And my second part of the question is in terms of India made and exports, what has been the growth for the last 9 months? And how do you expect this year to conclude for the Export business from India?

Sridharan Rangarajan : Export has significantly grown than the domestic growth. And I will feel that should continue the same way. I don't see this as a challenge

Lakshminarayanan K. G. : You have a number, sir? You have a number in terms of how much is the India made and exported from India? For the last 9 months, what is the revenues and then how it has grown over the similar period last year?

Sridharan Rangarajan : Yes. We have grown almost about, say, 18% to 20% in the export side of the business.

Lakshminarayanan K. G. : And how much of that is the total business, if you look at India, India made?

Sridharan Rangarajan : We will share more details to you, Lakshminarayanan. Yes.

Lakshminarayanan K. G. : Okay. Thank you, sir. That's all my questions.

Sridharan Rangarajan : Right. Thanks.

Moderator : Thank you. The next question is from the line of Mohit Pandey from Macquarie. Please go ahead.

Mohit Pandey :

Yes. Good afternoon, sir. My first question is on Ceramics subsidiaries. Sir, if you could please provide more color on the challenges that were faced in this quarter in the subsidiaries, especially CUMI America that impacted the margins? Because historically, as per my understanding, this has been a very profitable subsidiary. So, that would be very helpful.

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Sridharan Rangarajan : Yes. Mohit, we covered this , largely 2 businesses, Australia and America is where we had some

of the one-offs. There's a provisioning on the inventory receivable plus big business mix change in Australia. Logistics costs going up in America. And these are the broad drivers, and probably some higher employee benefits, because of the law change in Australia. Other than that, those are all normal. And we still feel if you exclude them, their business performance is good, and we feel that these are one-offs.

Mohit Pandey : Okay, sir. So, sir, provisioning, et cetera, you think is more or less done in this quarter for inventory and receivables?

Sridharan Rangarajan : Yes, yes. Yes. They are done, yes.

Mohit Pandey : Okay Sir, secondly, on RHODIUS margins, so you indicated the cost pressure that is hurting profitability, but you also said demand seems to be holding fine. So, going forward, do you see possibility of passing on the cost pressures? If you could also give more color on the nature of these cost pressures, that would be really helpful.

Sridharan Rangarajan : So, I said that there's a price pressure, which is basically the expectation from the customer is a price drop. And at the same time, there is also a cost pressure. That is the combination of it. And I don't think cost is a significant portion. It's mainly the market price is where the challenge comes.

Mohit Pandey : Okay, sir. Understood. And sir, last question on VAW. So, fixed cost notwithstanding, is the Domestic business inherently more profitable on the gross margin compared to whatever exports have been done so far from VAW?

Sridharan Rangarajan : Yes. So, we feel, as I said in my earlier response also is that Domestic business, they should be able to do fine. And they are readjusting and repositioning themselves as far as the fully focused Domestic business model is concerned. And we feel that, that should be helpful for them, and they should be in a position to manage it.

Mohit Pandey : Okay. And sir, last question on the unallocable expenses. So, any outlook if you could provide here? So, these project costs that were mentioned, these are linked to the newer R&D works that you're undertaking. Is that a fair understanding? So, this can remain elevated? Or how should we think about it?

Sridharan Rangarajan : See, this could change. Last year, we spent about, say, - INR 58 crores of total unallocable costs. We should expect should be in the range of about around INR 60 crores plus. So, that's the broad expectation one can have.

Mohit Pandey : Okay, sir. And so last question was on the longer-term plan that you briefly alluded to. So, any time lines you have in mind around when you're looking to announce that? That would be my last question.

Sridharan Rangarajan : Yes. We will share more details when we meet again in the month of May.

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Mohit Pandey : Okay, sir. That's it from my side. Thank you so much. Bye.

Sridharan Rangarajan : Okay. Thank you.

Moderator : Thank you. Ladies and gentlemen, this will be our last question. It's from the line of Bhoomika Nair from DAM Capital. Please go ahead.

Bhoomika Nair : Yes, sir. Just wanted to ask on the Abrasives business. In terms of the end market, we saw Precision was quite impacted. But now there seems to be some improvement. So, if you can talk about the outlook for Industrial, Retail and Precision? And because t

his quarter was fairly muted

in standalone from a growth perspective, how do we see the growth coming back? And also some comments on the Chinese competition.

Sridharan Rangarajan : So, Bhoomika, I talked about the overall Abrasive business. We feel that it will continue to be in that range, 8% to 10% growth. Industrial is doing fine. Retail is doing fine. Precision is largely in terms of the dependence on how the industrial outlook is there. So, to some extent, it is linked to, I would say, like say, bearings and some of the high-end auto components business turnaround. So, that should also be doing fine is my own guess. So, overall, I should say that they should be able to travel around 7% to 8% type of a growth.

Bhoomika Nair : Sure. Sir, on the other side, in terms of Ceramics, you talked about the one-offs that we saw in Australia and in Americas. When you mean one-off, does that mean that this will not recur going forward and it will normalize to the business level margins as we move ahead into the next quarter or the next year?

Sridharan Rangarajan : Correct, correct, correct. That's correct.

Bhoomika Nair : Okay. Okay. And lastly, on VAW, with exports being a challenge, which is 40%, and as the revenue scale comes down, will there be a hit on the profitability because of the fixed cost and lower revenues?

Sridharan Rangarajan : So, as I said, the business is relooking at the model, and repositioning themselves the cost also accordingly, because you cannot afford to run the business at the same level with 100% business possible, whereas you are only doing domestic. So, that repositioning is parallelly happening, and they have to resize this operation accordingly. So, they are very much aware, and they are

definitely on the job to do that.

Bhoomika Nair : So, how long do you think it will take to resize the business and cost structure accordingly? Will it take like 3, 6 months or longer timeframe?

Sridharan Rangarajan : My own guess is that they should be able to reposition this in this quarter.

Bhoomika Nair : Okay. Okay. Fair point. Got it, sir. This was my question s. Thank you very much for giving us an opportunity to host the call and also the participants for being there. Thank you very much, sir, and wish you all the very best.

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Sridharan Rangarajan : Thank you. Thank you. Thank you so much. And I'd just like to say that if you exclude the exceptions arising out of the Russia challenge, we feel that the business has performed, operation -wise, quite decent , and that should continue is what we feel. As far as Russia is concerned, we are keenly watching and see how we need to respond to each of the situation.

And as I said, we will take 1 quarter at a time , and see how do we tread this part. It's a geopolitical issue, and we need to see how this will evolve. And you're all keenly watching the news. So , you must also be tracking this parallelly.

So, I feel that other than this, the business is doing fine. The balance sheet in good stead. We feel that we have done a fair bit of work in terms of the future , in terms of how a long -term strategy can be looked at. And we will share a portion of that when we come and meet in the month of May. So , thank you for all your patient hearing and asking the right questions, and wish you all the best. Thank you.

Moderator : Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

19th May 2025

BSE Limited
25th Floor, Phiroze Jeejeebhoy Towers
Dalal Street , Fort Stock Code: 513375
Mumbai - 400001

National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E) Stock Code: CARBORUNIV
Mumbai – 400 051

Dear Sir/Madam,

Sub: Transcript of the Investor Call

Pursuant to our letter dated 13th May 2025 informing the upload of audio recording of the investor call, please find enclosed a copy of the transcript of the Investor call and the same can be accessed through the following link.

Link: <https://www.cumi-murugappa.com/wp-content/uploads/2025/05/Q4-FY-2024-25-earnings-call-transcript.pdf>

Request you to kindly take the above on record.

Thanking you

Yours faithfully
For Carborundum Universal Limited

Rekha Surendhiran
Company Secretary

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“Carborundum Universal Limited
Q4 FY '25 Earnings Conference Call”
May 13, 2025

MANAGEMENT : MR. SRIDHARAN RANGARAJAN – MANAGING
DIRECTOR – CARBORUNDUM UNIVERSAL LIMITED
MR. SUSHIL BENDALE – CHIEF FINANCIAL OFFICER –
CARBORUNDUM UNIVERSAL LIMITED
MR. G. CHANDRAMOULI – ADVISOR , INVESTOR
RELATIONS – CARBORUNDUM UNIVERSAL LIMITED

MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL ADVISORS
LIMITED

Carborundum Universal Limited
May 13, 2025

Moderator: Ladies and gentlemen, good day, and welcome to Carborundum Universal Limited Q4 FY '25 Earnings Conference Call hosted by DAM Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Bhoomika Nair from DAM Capital. Thank you and over to you, ma'am.

Bhoomika Nair:

We have the Management today being represented by Mr. Sridharan Rangarajan – Managing Director; Mr. Sushil Bendale – Chief Financial Officer and Mr. G. Chandramouli – Advisor. At this point, I will hand over the floor to Mr. Rangarajan for his "Initial Remarks", post which we will open up floor for Q&A. Thank you, and over to you, sir.

Moderator: Yes, sir, you can go ahead.

Sridharan Rangarajan: All right. Okay. Good morning to all of you.

G. Chandramouli: Good morning, I'm Chandramouli. Before getting into the call, I read out the disclaimer. During this call, we will make certain statements, which reflect our outlook for the future or which could be construed as forward-looking statements.

These statements are based on management's current expectations and are associated with uncertainties and risks are more fully detailed in our annual report, which may cause the actual results to differ. Hence, these statements must be reviewed in conjunction with the risk that the company faces. Thank you.

Sridharan Rangarajan:

Good morning to all of you. I hope I'm audible and a very warm welcome to our fourth quarter and full year earnings call 2024 - 25. In today's call, I would try to cover as much as possible to give you all the facts that the company has gone through in the last couple of quarters so that you get a better picture of the performance and relate to that appropriately.

I'll start with consolidated sales. Consolidated sales on a full year basis was INR4,834 crores with a growth of 4.4% compared to the last year. This growth was driven by Ceramics 7.7%, Abrasives 3.3% and Electrominerals 1.9%. At standalone, the sales grew at about 7.3% and the challenge at the consolidated level is largely coming on account of the softer VAW growth in Q4, which I will describe more in detail.

However, subsidiaries such as RHODIUS and Foskor have grown well. RHODIUS has grown 6%, Foskor has grown by 15%. So we have Q4 challenge rising out of the VAW post sanctions, I will cover that in detail.

Consolidated PAT was INR168 crores, lower compared to the last year, INR461 crores was the last year FY '24 number and INR293 crores is this year's number. So there's a shortfall of INR168 crores and I will broadly explain what is the reason for this INR168 crores upfront.

At VAW, we made a provision of INR91 crores, this is a post-tax amount that I'm talking since I'm covering the post-tax, in Q3 and we have already described the reason for that. In Q4, since the sales volume of VAW came down post sanction, the profit also came down by about INR24 crores.

Besides this, in AWUKO, we reversed the deferred tax credit to the extent of INR32 crores and we have not taken deferred tax credit for the losses in FY '25, which is roughly about INR18 crores. So these are the broad reason for the shortfall. So consolidated PAT was lower on account of these exceptional items.

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There are 2 broad items. One is VAW, which is relating to sanction and post-sanction the lower volume. So all of that is relating to sanction related and the second one is the deferred tax credit reversal in Awuko.

We feel these are reversible once the situation improves. So that's how I read this situation.

PBIT on a full year basis was about INR541 crores compared to INR 621 crores in the last year. This was lower by 13.4% over FY '24. PBIT from Ceramics was marginally higher. Our PBIT from Electro minerals and Abrasives were significantly lower. The drop of INR84 crores was mainly due to VAWs to the extent of INR36 crores and AWUKO to the extent INR31 crores. So overall PBIT margin decreased from 13.5% to 11.2%.

On stand alone basis, full year, the sales was at INR2,784 crores with a growth of 7.3% compared to the last year. This growth was contributed by Electro minerals at 10%, Ceramics at 6.5%, Abrasives at 3.9%.

Standalone profit after tax on a full year basis was INR322 crores as against INR350 crores in the last year. This is due to higher unallocable expenses, the details of which will be covered by Sushil later in his section.

I will cover the segmental performance.

Abrasives, to start with, on a consolidated basis, Abrasives sales in FY '25 was INR2,159 crores. This is a 3.3% growth compared to last year. Standalone contributed 3.9%; RHODIUS 6.4%, AWUKO 11%, showed good growth compared to FY '24, whereas the selling had a small degrowth largely relating to their agro business.

Standalone Abrasives sales on a full year basis was INR 1,195 crores with a growth of 3.9% compared to the last year. The growth was majorly driven by volume, both in industrial and retail. Precision was bit softer.

RHODIUS on a full year basis, achieved net sales of EUR67 million compared to EUR63 million during FY '24. This represents a 5.5% growth over the last year. This was mainly due to volume growth.

On a full year basis, RHODIUS incurred a loss after tax of EUR0.2 million against a loss of EUR1.5 million last year. So the losses have come down significantly. If we exclude the PPA write-off of EUR2.8 million, they delivered a profit after tax of EUR1.8 million. So this is what we were also earlier communicating with you.

Moving to AWUKO. AWUKO achieved a sales of EUR10 million on a full year basis. This is a growth of about 10% compared to the last year. The losses before tax on a full year basis was EUR6.6 million compared to EUR3.3 million during FY '24. The difference is on account of two things: one, there was a gain in FY '24, which is not recurring, plus an inventory provisioning in FY '25. Besides this, we also stopped taking deferred tax credit. This resulted in a reversal of EUR3.5 million of deferred tax asset. This is a deferred tax asset until FY '24. Plus, the 3 quarters, whatever we took that also we reversed in Q4 besides not recognizing for this year, which is roughly about EUR2 million.

So in total, on a full year basis, the loss after tax was EUR10.2 million in FY25 against EUR2.3 million in FY24. So this thing is majorly driven by the reversal of the deferred tax asset. The reason why we took this decision was we wanted to see delivery of profit before we continue taking this deferred tax asset credit. And hence, we reversed this asset so far what we have taken.

Now I'll cover the PBIT performance in the business segment. Consolidated Abrasives PBIT on a full year basis was lower by 17% at INR151 crores as compared to the last year. The major drop is coming from AWUKO due to the inventory provisioning and on-time gain that I just talked about. Standalone PBIT was lower by 1.3%, mainly on account of product mix.

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In Electrominerals consolidated sales in FY '25 was INR1,574 crores, showing a growth of 1.9% compared to the last year. Standalone business grew by 10%, Foskor grew by 14.8%. All of them showed good growth. The performance of VAW Russia is impacted in Q4, the specifics of which will be covered in the subsequent sections later.

Standalone Electro m

inerals sales on a full year basis was at INR815 crores with a growth of 10% compared to the last year. This was on account of the increase in volume and price realisation. Price realisation was much higher compared to the volume growth. Other feature of

this growth is that we have higher exports compared to the last year. There's a significant growth in export.

VAW until 9 months ending December 2024, the company's operations were slightly better compared to the last year. We delivered a growth of 2.2% in the first 9 months as communicated earlier. As per the press release of United States, VAW was put on sanction on 10th of January included in the SDN list of OFAC. As a result of this designation, VAW's business in Q4 got impacted, silicon carbide volume came down by 30%. Abrasives volumes were flat and Refractories -volume had an increase.

In Q4, VAW made a sale of RUB 1.83 billion against RUB 2.63 billion in Q3 FY '25 and RUB 2.31 billion in Q4 FY '24. They made a profit after tax of INR 11 crores in Q4 '25 compared to INR 35 crores in Q4 '24 and INR 38 crores in Q3 '25. These are all excluding exceptional items.

On a full year basis, VAW made a sale of RUB 9.4 billion against RUB 9.7 billion in FY '24 and delivered a profit after tax of INR 119 crores, excluding exceptional items. This means that whatever the provision that we made is not considered part of INR 119 crores against INR 149 crores in FY '24. So roughly INR 30 crores of profit is lower compared to the last year.

On a full year basis, Foskor Zirconia witnessed a sales growth of 9% compared to the last year. The growth was majorly driven by the volume. On a full year basis, Foskor incurred a loss after tax of roughly about INR 12 crores as compared to INR 7 crores last year.

I'll cover the PBIT of the segment. Consolidated Electro minerals PBIT on a full year basis was lower by 25% at INR 177 crores as compared to the last year. The major drop is coming from VAW. Standalone PBIT was lower by 11% on account of higher input costs.

Now I'll cover the Ceramics section. Consolidated Ceramics sales on a full year basis was INR 1,160 crores. This represents a growth of 7.7%. The growth is mainly driven by CUMI India., Standalone Ceramic business on a full year basis were at INR 939 crores. This is higher by about 6.5% compared to last year.

In Industrial Ceramics business, metallized engineered ceramics grew substantially well, almost double-digit growth, while the wear-ceramics remained flat. Due to the absence of major orders in wear-ceramics, this has remained flat. The fired and mono refractory business grew well, again, high-teens growth. Corrosion-resistant business, which is a highly project-dependent business had a degrowth, and this resulted in a net growth of 6.5%.

Now I'll cover the PBIT performance of the business segment. Consolidated Ceramics PBIT for the full year basis is almost flat at INR 286 crores. Standalone PBIT was better by 5.5%, mainly on account of better volumes and price.

Now I request Sushil to cover the PBIT margin, debt position, capex and cash flow.

Sushil Bendale: Thank you. PBIT margins consolidated on a full year basis was at 11.2% compared to 13.5% during the last year. Standalone PBIT margin on a full year basis was at 15.3% compared to 18% last year. Abrasives consolidated PBIT margins on a full year basis decreased from 8.7% to 7% and standalone Abrasives margins were at 16.1% against 17% in FY '24.

RHODIUS reduced their losses, but AWUKO PBIT was lower in FY '25 due to a onetime gain of EUR 2.2 million in FY '24 and inventory provisioning of EUR 0.7 million in FY '25.

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Now Electro minerals. The consolidated PBIT margins of Electro minerals on a full year basis declined from 15.4% to 11.3%, primarily due to VAW. The standalone PBIT margin was at 7.7% compared to 9.5% in

in FY '24. This drop is mainly due to higher input costs and the pricing pressure in the markets.

Ceramics, the consolidated Ceramics margin on a full year basis decreased from 26.5% to 24.7% and standalone Ceramics PBIT margins declined by 28 basis points to 24.8%. Profits from CUMI Australia and CUMI America were lower compared to last year.

Now the debt position, there was no debt in our standalone books and total debt at a

consolidated basis was at INR120 crores at the end of Q4 '25 compared to INR109 crores at the end of Q3 and INR113 crores at the end of Q4 '24. The debt -to-equity ratio was at 0.03 at a consolidated level.

In FY '25, our capex investment was INR282 crores at a consolidated level.

Free cash flows on a full year basis at a consolidated level is 22% to PAT compared to 86% last year. The decline in free cash flow was on account of higher working capital and higher capex investments.

The return on capital employed on a full year basis at a consolidated level is 14.2% compared to 18.5% during last year. At a standalone level, it is at 16.6% compared to 20.3% in FY '24.

For consolidated segments, ROCE in FY '25 for the Abrasives segment decreased from 13.1% to 10%. Ceramics decreased from 46.9% to 35.5% and the Electro minerals decreased from 26.7% to 18%.

For standalone business, ROCE on a full year basis for Abrasives has decreased from 44.2% to 36.2%. Ceramics has declined from 52.2% to 43.8% and Electro minerals has decreased from 26.2% to 18%.

Now about the unallocable expenses. On a full year basis, the unallocable expenses for the standalone were at INR63.1 crore in FY '25 as compared to INR19.8 crores in FY '24. This was higher by INR43.3 crores primarily due to lower dividend, higher project -related expenses, higher employee costs on account of new head count additions, ESOPs and leave benefit valuations.

Now I request Mr. Sridharan to talk to you about the future outlook.

Sridharan Rangarajan: Thank you. I will cover now about two things. One is what we look at FY '26, given what we have seen. I also would like to share more about the long -term strategy that we have been working for the last 18 months.

We expect the full year consolidated sales growth could be 6% to 7% in FY '26.

Consolidated sales growth in Abrasives would be 5% to 6%, majorly driven by growth in standalone Abrasives, which could be 6% to 8% and then RHODIUS and AWUKO.

Sales growth in consolidated Ceramics would be 16% to 18%, majorly driven by growth in standalone Ceramics and then supported by CUMI Australia and CUMI America.

Sales growth in Electro minerals could be about 1% to 2% because of the drop in sales in VAW in Russia. For VAW, we expect the sales volume drop to the extent of somewhere between 25% to 30% in FY '26. Standalone Electro minerals and Foskor to grow in the range of 8% to 10%, and 6% to 8%, respectively.

In FY '25, we delivered a PBIT margin of 11.2% at consolidated level. In FY '26 this could drop by 100 to 150 basis points because of the softer performance in VAW.

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Consolidated Abrasives margin was about 7% in FY '25. We expect this could improve by another 100 to 150 basis points.

Consolidated Ceramics in FY '25 was 24.7%. We expect this could drop by 100 basis to 120 basis points.

Consolidated Electro minerals in FY '25 was 12.5%. We expect this could be dropped by 500 to 600 basis points in FY '26. This is again arising from VAW.

Capex could be in the range of about INR300 crores to INR350 crores. This is what we are expecting.

Just to sum up here, I think we feel that VAW's performance will have a deeper impact in FY '26. We feel that the profitability could drop at least by INR100 crores and that is why we have factored in the numbers whatever I'm telling. But it all depends on the recovery. Basically, if

the

sanctions get lifted sooner than later what we are looking at, then this could change and I'm expecting whatever I communicated as if the sanctions are continuing.

I would like to share more about the long-term strategy, which is the 5-year program that we are looking at. CUMI has a strong legacy in industrial materials and has a great starting point to capitalize the growth opportunity available in India and across the globe. Building on our rich legacy, we have spent dedicated effort in detailing out 'where to play' and 'how to win' for all our businesses, creating a clear trajectory of bold, long-term strategy for the next 5 years by identifying opportunities in the existing and emerging sectors.

Our clear, long-term aspiration has been built ground up with cumulative effort of over 150 leaders across CUMI, its subsidiaries and joint ventures. This will guide our focus on investment for the next 5 years. At the highest level, we want to grow by 2 times in this period with sustained profitability. Our aspirations will be met with the right level of investment to fuel this growth in India as well as globally. This strategy will also be supported with a structured execution road map to help us drive on the ground change effectively.

We've ensured that our long-term growth strategy is holistic and is anchored on 3 strategic vectors. One is scaling up our core existing businesses, entering relevant adjacencies and exploring step-outs. Today, I would like to share more details on the first vectors of the group, it's about scaling up our existing business going forward.

In Abrasives, we built on our strong position to become the leading player in a growing INR10,000-plus crores of domestic market while further scaling our presence in the key export markets. We are reshaping our go-to-market model and investing in frontline capability building. We are investing in digital capability to enhance customer engagement and robust data-driven execution. They have a strong industrial distribution base.

Our goal is to deepen the engagement with customers across both retail and the B2B channels through our distribution base. We would gain market share in under-penetrated space and gain customer share to nearly double our domestic market share over the next 5 to 6 years.

To drive this growth, we are strengthening our product pipeline across both Coated and Bonded segment, shaping a dynamic customer-centric portfolio. This would be through our R&D as well as an appropriate sourcing strategy.

To serve the growing infrastructure and construction industry, we are also investing in expanding our thin wheel capacity using the synergy with RHODIUS and Dronco, which is both the asset as well as the technology and assets that we bought.

In Electro minerals division, we will evolve from a minerals player to a specialty material player. Our focus here would be we will scale up alumina capacity from the current level and increase the share of treated grain. This treated grain means heat-treated grains, silane treated, sol-gel treated, blue-heated and zirconia-coated grains. Thereby, they increase the share of value-added

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products in the alumina portfolio. We will also focus on export markets. Our current share would almost double in this space.

Secondly, we will focus on expanding our Zirconia portfolio. We want to add capacity. We also want to add products like alumina zirconia, stabilized zirconia, monoclinic zirconia and zirconia for thermal spray powders using the synergy that we will have with Foskor Zirconia.

And lastly, we will aim to enhance our product development capability to serve the high-growth sectors like semiconductor, aviation, clean energy by venturing into advanced materials such as thermal spray powders, both oxides. It could be aluminum, aluminum

nitrate, metallized zirconia,

stabilized zirconia and mullite. Thermal spray powders for solid oxide fuel cells, HPSiC, graphene, silicon nitrate and aluminum nitrate. These are the newer portfolios that we will add. This strategy will allow us to completely reorient EMD's business strategy. We plan to increase our specialty minerals to 40% share in the next 5 to 6 years.

In Industrial Ceramics, we will scale our leadership in high-margin advanced ceramics while strengthening the core segments like scaling up Metallized Cylinders, Engineered Ceramics and wear protection.

Growth will be powered by innovations for specialized sectors such as semiconductor, aerospace, defence and e-mobility. We are expanding into ceramics for semiconductor, wafer fab equipment, opening opportunities across the broader and higher value segment of the value

chain. At the same time, we are aligning with the long-term global priorities as well as national priorities, enter in new areas such as aerospace and defence (vehicle and body armour, both alumina, ZTA, RBSiC and boron carbide) and as well as in electronic sector, which would involve Tubes, substrates, Brazed assemblies.

To reinforce this, we are investing in the state-of-the-art manufacturing facilities, strengthening our global footprint, establishing a strategic collaboration with leading technology partners, positioning us for the long-term differentiation. A significant share of our overall investment will be directed towards our effort in expanding Industrial Ceramics to be a truly global ceramic powerhouse.

In Super Refractories, we will target to be relevant and scaled player in India's large and growing INR15,000 crores-plus refractory market. We will continue to push the borders of addressable market by adding newer products in mono and market capabilities and gain share in both domestic and export markets.

We will use our competence in glass, CPI, carbon black, cement and address global market. We will ensure our focus on cost excellence considering increased global competition in the domestic market while continuing to grow our overseas footprint. We are also expanding our structural composite capability to advance composite capability.

To support this journey, we are building future-ready capabilities across key functions. We will scale up our investment in R&D in line with the required growth. We expect to increase our R&D spend 4 to 5 times over the next 5 to 6 years to fuel the innovation across the board.

Building a high-performance organization that embodies and demonstrate a set of behaviour deeply rooted in the Five Lights of Murugappa Group, signalling a culture of being even more performance and collaboration-oriented. The Five lights of the Murugappa Group are integrity, passion, quality, respect and responsibility.

We also redesigned the role of the functions -- various functions to support the truly global organization. Plus, we will be comfortable in funding these investments for our growth through our cash flows.

To summarize the entire organization of CUMI's energized by this vision for long-term growth, and we are supported by robust governance framework to ensure and track progress. We look forward to providing an update on specific process as we realize the maturity.

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So just to sum up, I think for the time being, we are focused on FY '26. We have given a broad clear line for you, but at the same time we are preparing well for the 5-year journey for which we have broadly given some of the programs and what we are looking at.

And just to sum up, the FY '25, two major issues that we faced is the sanctions in VAW, which had a significant impact. The second one is the reversal of deferred tax credit. These are the 2 extraneous factors. The rest of them are normal business, which we feel t

hat we are getting into.

There are issues that we need to focus and address. We feel VAW, as I communicated to you, one more year. We've kept this at least at a lower volume of 25% to 30%, which brings the profitability also down. That is what we have factored in, in the guidance that we have shared with you.

Thank you, and we will now open up for Q&A.

Moderator: Thank you very much. The first question is from the line of Harshit Patel from Equirus Securities. Please go ahead.

Harshit Patel: Sir, my first question is on VAW. I missed the sales and profit number that you provided in the rough terms. Could you please repeat on that, please?

Sridharan Rangarajan: Yes. I think VAW on a full year basis, VAW made a sale of 9.4 billion against 9.7 billion, and they delivered a profit after tax excluding exceptional items of INR119 crores and you should net off INR90 crores of impact on this. So INR119 crores minus INR90 crores would be profit after tax post this onetime adjustment. If you exclude the onetime adjustment, it is INR119 crores against INR149 crores of FY '24.

Harshit Patel: Understood. Sure. Sir, on this Q4 margins, which are very weak and you explained that our volumes were drastically down in the fourth quarter, so is this weak margin performance just because of the operating deleverage due to lower volumes? Or are there any other one-offs? So what I'm trying to understand is that where the gross margins impact over there at VAW?

Sridharan Rangarajan: Yes. So Harshit, I think, this is exclusively coming out of the volume drop. And as I said, it is 25% to 30% volumes are down in Q4 and we have factored in the similar volume drop for the

full year next year as well. So that is what I communicated. So it's a pure volume drop.

Harshit Patel: Understood. Sir, my second question is...

Sridharan Rangarajan: And the one -offs relating to VAW were earlier communicated in Q3 itself.

Harshit Patel: Perfect. Understood, sir. Sir, my second question is on Ceramics. With the normalization of supplies to a large U.S. -based clean energy customer, we thought that the standalone revenue growth would be in high double digits in the fourth quarter. However, it has not happened so. So was it due to delayed ramp -up at this particular customer? Or was there any other reason for the same?

Sridharan Rangarajan:

No, I think the ramp -up with the customer is happening as communicated, no challenge at all. Just to give you a perspective, the entire Ceramics segment let's look at it in 3 broad areas. 65 percentage of the business grew at about 18%. 23 percentage of the business, which is Wear Ceramics were flat. And then 12 percentage of the business degrew at 36%. That is how the overall mix you are seeing about 6% to 7%, right?

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Now that camouflages the real growth what is happening. The 12% is a business, which is highly project -driven business and there are delays in projects, which really caused this degrowth. So it has nothing to do with the high -margin Ceramic business and whatever we have communicated is very much in line. We feel this project -led growth would come back next year.

Harshit Patel: Understood. Sir, what are the 65% and this 23% parts, could you explain these 2?

Sridharan Rangarajan: These consist of Engineered Ceramics, Metallized Cylinders. Those are the components and also the fired refractories, all that put together is a component that consists of 65%.

Harshit Patel: Okay. And 23% will be the Wear Ceramics business. Would that be right understanding?

Sridharan Rangarajan: That's what I told.

Harshit Patel:

Perfect. Sure. Sir, just lastly, from my side, the standalone EMD margins have contracted sharply both on Y -o-Y and Q -o-Q basis. So could you please explain the reasons for the same? There is also

a steep jump in the standalone other expenses. So are these 2 things related to each other?

Sridharan Rangarajan: No. So I think in the EMD margin, the way I would like to look at it is that we practically passed on the cost increase of alumina to the extent of, say, 85% to 90% cost push. The rest we could not push because of the pricing pressure coming from China. So that is what you are seeing in the margin drop.

Moderator: The next question is from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: So my first question is how is the capex and implied expenses expect to incur to achieve the strategic objectives which have laid out for the next 5 years?

Sridharan Rangarajan: So thank you, Mohit. We are not sharing this at this stage, the capex program. I would have loved to share it at this stage. But next year capex I have shared with you broadly. So that is what at this point. But as I said, we have a clear program to deliver this 2 times top line growth. So we feel that we have enough programs to deliver this and should not have an impact -- should not have an issue for us.

Mohit Kumar: Is it possible to share the R&D capex, which you incurred last year?

Sridharan Rangarajan: Don't have readily and probably at a later point we will share with you.

Mohit Kumar: Understood, sir. My second question is on the Abrasives. How is the competition shaping up? Are you seeing the easing out of the competition because you're saying at the same time, you'd guided for the market share? So how do you think you'll achieve higher growth and higher market share in the next 5 years, given the competition there?

Sridharan Rangarajan: So I broadly described the program that we would increase the market share. Right now, we are looking at the market into 4 broad categories. There's a first category like ourselves and Norton, that's local manufacturing players. The second category is largely people who either manufacture

here or import and then sell in their brand name. These are good brands that they are selling.
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Then the third category is the non -abrasives companies who import for their own industrial use, right, direct import from that and the fourth category is basically the international players, which they import and then sell in their brand.

So we feel that we have enough room in these 3 other category to take a share and that we can grow in the market and the growth strategy largely the broad strategy is that, one, is wherever there are product gaps where we have identified product gaps and that are going to be met both out of the new product to be developed and introduced or source where required. And the second one is strengthening the go -to-market. There are certain states where we are not present or we have a very, very low market share where we would like to expand the market share. Plus, the customer, certain Class A and Class B customers, they would like to improve our wallet share that we work with them.

So based on these 2 broad and there are some elements to this approach, but that's how we are looking at. The R&D spend, I'll get back to you.

Moderator: The next question is from the line of Amit Anwani from PL Capital.

Amit Anwani: My question pertains to your remark about the strategic plan and you highlighted that we'll be focusing on aerospace, defence vehicles and I think defence electronics also investing in manufacturing facilities and collaborating there. So if possible for you to share more details, what kind of product, any target we have in this space and will it be high -value product, export or domestic market? Any more colour on this, please?

Sridharan Rangarajan: I would broadly touch upon this. One is it's basically both vehicle and body armour are the 2 spaces that we would work because that is where the cer

amic has got a play. So that is all we are looking at and that's why I said that we will be focused on that . It would be based out of either alumina or a ZTA or reaction bonded silicon carbide or boron carbide. These are the materials that we would be using and the product outcome would be either a body armour or a vehicle armour .

Amit Anwani: Sure, sir. Sir, second question, again on VAW. So you said FY '26 also will be hit by a decline of 30% -33% on VAW and impacting the PAT by almost INR100 crores for FY '26 as well. Wanted to understand how one should look for VAW? Are we in a wait -and-watch that these things, which are dependent on external controls, will be better off? Or is there any strategic thinking, which has gone into VAW while devising the 3 - to 5-year plan for us?

Sridharan Rangarajan: So I think since the time of the sanction in January, early January 2025, right, so we are almost, say, kind of 4, 5 months since the sanction has happened, there are a lot of developments, which are very positive, right . There are multiple ceasefires has happened between Ukraine and Russia. There are open com ments made by both the governments that they would like to end this conflict and then reach a settlement.

There is also a lot of facilitation being offered by various countries across the globe and every other country has expressed that this should end. So we hope, I think there will be a logical conclusion sooner than later. I'm not an expert on the geopolitical happening, but we positively look forward to that.

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Amit Anwani: Right. So finally, on the Chinese impact, which we have discussed throughout last year also that there has been a pricing pressure and we try to devise distribution strategies across segments where it was impacted, including the low -end abrasives and alumina and we talked a bout at least 5 to 6 quarters for things to be better off. Are we under similar notings or have the things further

deteriorated or improved from the Chinese dumping side?

Sridharan Rangarajan: See, again, the time we talked versus the time we are now talking, there are many things that has happened. The global trade itself is undergoing a reset. So obviously, it is better to wait and watch in how this whole thing will develop.

We expect that the competition from China will continue to be tough and they will have upper hand in terms of the bringing down the cost, ability to compete in terms of prices, which no one can match. So those issues will continue is what our current thinking is and obviously, we are preparing ourselves to work against that.

Moderator: The next question is from the line of Mohit Pandey from Macquarie.

Mohit Pandey: Sir, my first question is on the 5-year outline that we have shared. Sir, please correct me if I'm wrong, but as I can understand, the incremental growth as per your current position will be from incremental domestic investments. Is that understanding correct?

Sridharan Rangarajan: Right. That's correct.

Mohit Pandey: Okay, okay. And sir, I just wanted to hear your thoughts on the turnaround strategy for AWUKO and RHODIUS, especially in line of the stimulus that is being announced by the economy there on the infra side? Is AWUKO and RHODIUS likely to have a second order impact here?

Sridharan Rangarajan: So as far as the RHODIUS is concerned, as I said and communicated in the call also, they are profitable after you exclude the PPA, which is our own write-off that we are trying to do that, right? So it is profitable and it is the growth trajectory. There's no issue on the RHODIUS side.

What we are facing is on the AWUKO side. We feel that the growth opportunity, which you are talking about, the second order benefit that would come, we feel that this will help them. Definitely, this is what we are also looking for

ward to. So there would be a betterment is what we are looking at.

Mohit Pandey: Okay. But for this year's guidance, so clearly, it's too short term. So you're not building in any impact because I heard you said it was largely driven by domestics. Okay, okay. So that's clear, sir. Sir, secondly, on Ceramics, if you can please confirm that for the margins, your guidance is a drop of 100 to 125 basis points. Is that right, sir for FY '26?

Sridharan Rangarajan: Yes, 100 to 120 basis points.

Mohit Pandey: Okay. And sir, what would drive this, please?

Sridharan Rangarajan: It is this coming from the -- again, there's a small portion of the business from Russia. So that would get impacted, hence, we are building that.

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Mohit Pandey: Okay, Sir, and across the 3 businesses -- or maybe across Abrasives and Ceramics, as per your current assessment, over the next 5 years, there is clearly a much higher growth. Would that be Ceramics? And what would that mean for our margin for Ceramics?

Sridharan Rangarajan:

Mohit Pandey

So I'm not sharing any margin guidance on the future. But broadly, I explained our overall trajectory, we are looking at doubling it. Second is that programs that what would drive the growth is what we have shared. I would like to stick to that.

Sure, sir. Sir, one last question. On the minerals, specialty minerals, greater push towards specialty minerals, Sir, if you could please, if it is possible to elaborate what is different this time because I understand for the past several years, there has been an ambition to increase sales for specialty minerals in the overall business. So what's the right to win now, given that, if I understand correctly, we've already been trying this in this area for quite some time?

Sridharan Rangarajan: Absolutely. Great question. And I think thanks for asking. Three different things. One is within

alumina, we are increasing the treated grain and export of alumina is going to go up. That's the first vector, this is different. Second is increasing the zirconia portfolio, this is the second vector of difference because our right to win is very high because we have established operation in South Africa plus we are also having a small operation here.

So with this, we want to increase the portfolio. As I said, it's just not only all varieties of zirconia, whether it's alumina zirconia, stabilized zirconia or monoclinic Zirconia and zirconia for thermal spray powder. So it's entire range. That's the second difference.

The third difference is focus on thermal spray powders using oxides. That is the third difference where we have established our capability and we are trying to ramp up with a few anchor customers that we have.

The fourth area that we would like to focus, which is on 2, 3 different materials. One is the HPSiC and the thermal spray powders for solid oxide fuel cells and alumina nitrates, which is both silicon nitrate as well as aluminum nitrate.

The last alone would take about 3 -4 years before the real benefit of this would start coming. The first 3, where we have established the right to grow, and that is how we are planning to grow.

These are the difference between the earlier program and this program.

Moderator: The next question is from the line of Nidhi Shah from ICICI Securities.

Nidhi Shah: So my question is mainly around employee expenses. We see employee expenses have kind of shot up this year and I understand that some of this bit is from ESOP. So how much is ESOP, how much is not? And then what can we expect in FY '26 in terms of employee expenses?

Sridharan Rangarajan: So broad guideline is that employee expense as a percentage is still very much comparable range only. So there is no change into this. These are minor blips that happens on a year -on-year basis. They're not significant.

So since you are making a forecast, I would encourage you to look at it that way.

Nidhi Shah: All right. And could you provide the ESOP number that was for this year in the employee expenses?

Sridharan Rangarajan: Not much, Madam. But anyhow when annual report comes, we will have a lot of details on the ESOP.

Moderator: The next question is from the line of Manish Goyal from Thinqwise Wealth Managers.

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Manish Goyal: Sir, I have 2 questions. First on your 5 -year plan, so we aim to double sales. So does it assume any inorganic initiatives? And if yes, then probably in which areas or what would be the focus on that, first question.

Second question, I just would like to know have we probably started realizing any gross leveraging benefits on acquisitions with RHO DIUS and AWUKO? Maybe geography wise in terms of leveraging sales and distribution and also on the product wise.

Sridharan Rangarajan: So the numbers that we looked at and shared does not have any acquisition as part of this number. And as far as RHODIUS, clearly, we are looking at lot of synergy arising and in fact, the thin wheel facility that we are setting up will be using the technology of RHODIUS and that would help us deliver quality products and at the cost that the market would like to have. So this is the synergy, I would say, as an example from RHODIUS at this point.

Manish Goyal: And would you be able to like the challenging what we face from China in terms of largely on the pricing front, will this probably technology help us to address that and that is how we are probably looking at?

Sridharan Rangarajan: Yes. So we have looked at what is the imported costs and what is also this technology would bring plus we worked on a cost model where we should still be competitive if some dumping happens from China, we should be able to counter that.

Moderator: The next question is from the line of Aditya from Kotak Securities.

Aditya Mongia: I had a question from my side. The way you have split the Ceramics business in terms of

components and growth, could you do the same for the Abrasives and EMD standalone portions in terms of what is being impacted by China and what is not. It would be good to know the relevance of Chinese competition in terms of revenue share impacted and the real impact being seen given whatever is happening right now in last 1 year.

Sridharan Rangarajan: So as far as Abrasives is concerned, I don't think we have any -- I mean, that's a universal growth that we are having. I'm sure you would have looked at other published results in the space. So we both are traveling, give or take, about 4% growth. And so the way I look at it is that almost, say, 50% -plus market is getting imported into India. Of that, 60% comes from China, and the rest is coming from other countries.

So that constitution, we have not seen any big difference compared to the earlier position. And that's why I felt that you continue to have this challenge and then you are looking at that. So we're countering that, two things. One is come up with your own new product to be delivered or source for the time being and then develop the product as you become ready today and launch this. So we have now looked at a whole lot of sourcing strategy to counter this and that's the program that we are looking at.

As far as the Electro minerals is concerned, I think where we are having a challenge is the entire the alumina space is where the challenge that we will have, which is all we talked about so far in the earlier calls also. My guess is that the entire alumina space could be about 30% to 35% of our business should be in that range.

Aditya Mongia: Sure. Just to kind of complete this question. So if we only focus on areas between Abrasives and Ceramics that are not impacted by Chinese, what would be the kind

of growth pattern that you are seeing in those kinds of market on a blended basis?

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Sridharan Rangarajan: Yes. We are not sharing anything like that. I've given a broad next year growth. I've given my expectation in terms of that. So I would like to stick to this, Aditya.

Aditya Mongia: Okay. The second part on this would be then that the Electro minerals segment at a standalone level margins were low. As we see through the next year, how should we think through them?

As you've been able to pass on 85 -90% and this alumina division is a sizable part of that business.

So how do you think through whether there is scope of further pushing the pricing up? Or should we be assuming low single -digit margins in that portfolio?

Sridharan Rangarajan: So overall, I guided that the EBIT margin on the aluminas will come down by 500 to 600 basis points compared to this year, 12.5%. And I feel that it would take care of some portion passing on benefit -- cost push also. I feel that in the initial Q1, we will continue to have this pressure in India and then we will slowly start getting this better in Q2 onwards. So that's how I'm looking at.

Aditya Mongia: And would there be a strategy that we can follow the way we are doing in other areas wherein we'll be in a better positioning in the alumina space from here on? Or is it just dependent on -- yes. So what's the strategy over there? How soon can it like benefit us here?

Sridharan Rangarajan: Right. I just discussed the strategies is supplying more treated grains in alumina, which help us to have ability to counter this. This is what is our strategy. I enlisted all the types of treated grains and we are very much on it. In the next 1 year, we should be able to start launching these products and going in that trajectory.

Moderator: The next question is from the line of Bhavin Vithlani from SBI Funds.

Bhavin Vithlani: So I have 3 questions. First, if I look at the Abrasives business on a standalone basis where 11 quarters we are seeing low single -digit growth and there were three couple of quarters in the early part of calendar year 2024 where we were seeing some acceleration, but we have now seen deceleration back.

So if you could help us understand breaking it into 2 parts. One is what part is the slowdown in the end market? And I understand Abrasives is over-indexed to commercial vehicles and that segment of the market has slowed down? And second is what we are seeing is acceleration in the thermal power manufacturing, especially when we look at BHEL order book, et cetera. So if you could help us understand the underlying market slowdown.

And second, what part of the market is impacted by the Chinese competition? And that part, we understand has should have been diversified. So that is my first question to understand the

stand-alone Abrasives better.

Sridharan Rangarajan: So the indus trial distribution is growing at about high single digit, right? And we see that, that's a very positive one. Retail is growing at about mid -single digits. The challenge is largely in the precision side, where the industrial growth -led precision side is where the challenge is. And I think you have pointed out some of the industrie s and you have clearly articulated that. So that is where we see this deceleration is happening. So as the industry picks up, we feel that this momentum will start picking up. That's how I read this.

Bhavin Vithlani: Great. The second question is on Rus sian piece. And when we see this quarter, revenues declined by about 16 -odd percent, but you've seen a sharp drop in the margins. In this, if you could help because this is a continuous process industry. So slowing down or stopping of production is difficu lt. So we would have been forced to sell in Russian market.

So if you could just help us understand the kind

of pricing pressure that would have happened

and the kind of volumes impact that was there in the Russian piece because of forced selling into the home market and exports kind of getting impacted due to the sanctions?

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Sridharan Rangarajan: So honestly, there is no forced selling. We feel we are currently not able to sell. Hence, we are not producing. So hence, as a result of that, unabsorbed costs because you carry a lot of cost of this full manufacturing process. That is what is getting impacted and as I said, it is not 16%. It is about almost 25% to 30% volume drop in Q4.

We expect a similar drop for the next year as well. So there is no, I would say, because of that, we are trying to push this into the market, hence, the price falls, et cetera. It is largely we are not able to sell. Hence, we are not able to produce, hence , we have an issue in terms of the profitability.

Bhavin Vithlani: I understand. The last question is on the Ceramics piece. So if you could just give us where we had seen a slowdown last year in some of the specialized piece, which was going to which we're selling to the hydrogen cells. How has that market now shaping up given that when we look at your end customer, they are seeing increased order booking.

Second is especially on the metallized piece where transmission and distribution as a segment world over we are seeing very strong growth. So on that, if you could give us an outlook in terms of what we are seeing in the specialized piece and what it does to the growth outlook for the next year in the standalone Ceramics piece?

Sridharan Rangarajan: No, no, great observation. So I think, as I said that 65 percentage of the Ceramics segment has grown about 18%. This includes the sectors that you talked about a nd so they are growing, including Metallized Cylinders are growing well. So definitely, you are right in your observation. As I said, the 23 percentage of the business is flat, and hence, the average is coming down. That is what I earlier also told.

Bhavin Vithlani: So just a follow -up here. This piece is basically the refractories piece, which is slowing down due to the underlying steel production demand?

Sridharan Rangarajan: No, it's a Wear side of the Ceramic business, which is what is flat.

Moderator: Ladies and gentlemen, that was the last question for today's conference call. I now hand the conference over to Ms. Bhoomika Nair for closing comments.

Bhoomika Nair: Yes, I would just like to thank all the participants a nd also the management for giving us an opportunity to host the call. Thank you very much, sir, and appreciate it. Any closing comments from your side?

Sridharan Rangarajan: As I said, I think just to give a brief closing comment is that this year, there are 2 extraordinary factors. One is largely driven by Russia sanction, which eventually has got 2 types of impact.

One is a provisioning impact, which we feel that once this s anction gets lifted it will reverse back. The other one is the volume drop as a consequence of that, which happened in Q4.

The second major challenge that we faced is the reversal of the deferred tax credit in AWUKO.

So if you take these 2 factors, whi ch is the substantial portion of the difference that accounted for, we feel that the business is doing fine and we have spent a good amount of capex this year.

We have also spent 18 months of time in creating a good structured, long-term strategy. We've communicated the broad direction in which we are trying to travel. We've also broadly looked at considering the current global trade-related issues and the geopolitical issues.

We feel that what we are looking at as the next year, we communicated, we said that we'll have a 6% to 7% growth and we also broadly communicated PBIT margin, how it would pan out. We feel highly focused on our exe

cution in terms of the long-term strategy. So we will see

improvement, strength to strength every quarter. Thank you for your support and thank you for your patient hearing.

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Moderator: Thank you. On behalf of DAM Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2025

14th August 2025

BSE Limited
25th Floor, Phiroze Jeejeebhoy Towers
Dalal Street , Fort Stock Code: 513375
Mumbai - 400001

National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E) Stock Code: CARBORUNIV
Mumbai – 400 051

Dear Sir/Madam,

Sub: Transcript of the Investor Call

Pursuant to our letter dated 8th August 2025 informing t he upload of audio recording of the investor call, please find enclosed a copy of the transcript of the Investor call and the same can be accessed through the following link.

Link: <https://www.cumi-murugappa.com/wp-content/uploads/2025/08/Q1-FY-2025-26-Earnings-Call-Transcript-1.pdf>

Request you to k indly take the above on record.

Thanking you

Yours faithfully
For Carborundum Universal Limited

Rekha Surendhiran
Company Secretary

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"Carborundum Universal Limited
Q1 FY '26 Earnings Conference Call "
August 08, 202 5

MANAGEMENT : MR. SRIDHARAN RANGARAJAN – MANAGING
DIRECTOR – CARBORUNDUM UNIVERSAL LIMITED
MR. SUSHIL BENDALE -- CHIEF FINANCIAL OFFICER –
CARBORUNDUM UNIVERSAL LIMITED
MR. G. CHANDRAMOULI – ADVIS OR, CARBORUNDUM
UNIVERSAL LIMITED

MODERATOR : MR. HARSHIT PATEL – EQUIRUS SECURITIES LIMITED

Carborundum Universal Limited
August 08, 202 5

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Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '26 Earnings Conference Call of Carborundum Universal Limited hosted by Equirus Securities . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this

conference is being recorded.

I now hand the conference over to Mr. Harshit Patel from Equirus Securities. Thank you, and over to you, sir.

Harshit Patel : Hello. Good afternoon, everyone. On behalf of Equirus Securities, I welcome you all to the first quarter FY '26 earnings conference call of Carborundum Universal. We have with us from the management, Mr. Sridharan Rangarajan, Managing Director; Mr. Sushil Bendale, Chief Financial Officer; and Mr. G. Chandramouli, Advisor.

I would like to hand over to Mr. Sridharan Rangarajan, Managing Director for the opening remarks and post that, we will open the floor for Q&A. Over to you, sir.

G. Chandramouli : Good afternoon. I'm Chandramouli. As a practice, let me read out the disclaimer before getting to the call. During the call, we may make certain statements, which reflect our outlook for the future or which could be construed as forward-looking statements. These statements are based on management's current expectations and are associated with uncertainties and risks more fully detailed in our annual report, which may cause the actual results to differ. Hence, these statements must be reviewed in conjunction with the risks that the company faces. Thank you.

Sridharan Rangarajan: Good Afternoon to all of you, and a warm welcome to our first quarter earnings call. I will give an overview, and then we will open up for question and answer. To start with consolidated sales for the quarter was INR1,207 crores in comparison to INR1,184 crores Q1 FY '25, which is a 1.9% growth compared to the same period last year, and 0.6% compared to Q4 FY '25 of INR1199 crores.

Standalone sales was INR698 crores compared to INR664 crores in Q1 FY '25. This represents a growth of 5.2% and in comparison to Q4 FY '25 that represents a growth of 1.7%. In Q1 FY '26 consolidated PAT declined by 45.2% compared to Q1 FY '25, that is from INR113 crores in Q1 FY '25 to INR62 crores in Q1 FY '26. This is due to the lower volumes in VAW, which we have explained in the last call itself, Rhodius and domestic business. I will explain all of this in detail a little later.

In Q1 FY '26, standalone PAT of INR145 crores grew by 55.4% from INR93 crores in Q1 FY '25. The increase is due to a one-time dividend from SEDCO which is about INR68 crores. Now I'll cover the consolidated performance. As stated earlier, the consolidated sales for the quarter was INR1,207 crores with a growth of 1.9% compared to Q1 FY '25 and compared to Q4 FY '25, it is 0.6% growth. Softer growth at consolidated level was mainly on account of Rhodius. Rhodius as such is making a change in their logistics partner, which caused a substantial drop in volume. I'll cover that in the Rhodius section separately. The drop in volumes Carborundum Universal Limited

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at VAW, which we have earlier explained in our Q4 last year's call itself, they are moving as per the business plan.

You would note that the Ceramics segment grew by 11.1% and Electrominerals by 6.3%, while Abrasives declined by 8%.

Consolidated PAT for the quarter was INR62 crores. This in comparison to Q1 FY '25 PAT of INR113 crores is lower by INR51 crores. The lower profit is due to lower profits in VAW in comparison to last year's Q1. If you would recall that in January 2025, VAW had sanction and we had this challenges com

ing forth. This coupled with the drop in profit in Rhodius and the standalone businesses put together accounts for this difference. Roughly, you can say around INR18 crores, INR18 crores, INR 14 crores respectively.

Consolidated PAT for the quarter of INR 62 crores in comparison to Q4 FY '25 PAT of INR29 crores grew by INR33 crores. This is predominantly due to the reversal of deferred tax asset in AWUKO in Q4 '25. If you remember that we had reversed the deferred tax asset that what we claimed so far in Q4 FY '25.

Standalone business : In Q1 FY '26, standalone sales was INR698 crores, which is a growth of 5.2% compared to INR664 crores Q1 FY '25. This was contributed by growth in Electrominerals at 12.3% and Ceramics at 10% and standalone Abrasive business degrew by 5.5%.

Standalone profit after tax for the quarter was INR145 crores as against INR93 crores in Q1 FY '25. This is higher by INR52 crores compared to INR61 crores in Q4 FY '25. PAT of Q1 FY '26 is higher by INR84 crores. This is due to the one-off dividend of INR68 crores from SEDCO.

Now I will cover the segmental performance. To start with in Abrasives, consolidated Abrasives sales in Q1 FY '26 was INR508 crores. This in comparison to Q1 FY '25 sales of INR552 crores which has declined by INR44 crores, that is an 8% decline. Rhodius Abrasives declined by INR26 crores and standalone declined by INR 17 crores.

Consolidated sales in Q1 FY '26 at INR508 crores in comparison to INR538 crores in Q4 FY '25 showed a decline of INR30.5 crores. This is mainly coming from Rhodius Abrasives. At standalone Abrasives sales for Q1 FY '26 was INR286 crores. Last year, Q1 FY '25 sales was

INR303 crores, resulting in a decline of INR17 crores, which is 5.56%. Precision segment grew well. We are seeing softer demand in the channels due to the inventory correction. And as far as Rhodius is concerned, Rhodius recorded a net sale of EUR 13.2 million in this quarter compared to EUR 17.3 million during the Q1 FY '25. It is a 23% decline in sales. Rhodius has shifted its logistics partner in Q1 FY '26 for better efficiency. This resulted in a significant disruption of operation. This resulted in non-fulfilment of orders on hand, resulting in lower sales. We expect the stability of operation to come by end of August, we expect this would impact the full year sales as well. We expect the remaining 3 quarters sales would be in line with the last year's sales. Rhodius incurred a loss after tax of EUR 1.6 million in this quarter against the PAT of EUR 0.3 million in Q1 FY '25. This was mainly due to the loss of sales arising out of the logistics issues.

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Awuko achieved sales of EUR 2.6 million this quarter in comparison to EUR 3 million in Q1 FY '25. The loss before tax are at the same level as that of Q1 FY '25.

Now I will cover the PBIT performance of the Abrasives business segment. Consolidated Abrasive PBIT was INR11 crores. In Q1 FY '25, it was INR55 crores and in Q4 FY '25, it was INR34 crores. The drop of INR44 crores in Q1 FY '26 compared to Q1 FY '25 is due to Rhodius amounting to INR26 crores mainly due to loss of sales and Standalone drop of about INR16 crores.

Consolidated PBIT of Q1 FY '26 was lower by INR22 crores in comparison to PBIT of INR34 crores in Q4 FY '25. This is mainly due to Rhodius Abrasives and standalone Abrasives.

I will move to the next segment now, Electro minerals. Consolidated sales in Q1 FY '26 was INR405 crores, showing a growth of 6.3% compared to Q1 FY '25 of INR381 crores. Standalone business showed a good growth of 12.3% compared to Q1 FY '25.

The performance of VAW was lower due to the sanctions imposed in Q4 FY '25. However, consolidated sales in Q1 FY '26 was at INR405 crores was higher by INR30 crores compared to INR375 crores of Q4 FY '25. This is mainly due to better performance in stand

alone slightly

better performance in VAW, etc.

Standalone Electrominerals sales for Q1 FY '26 was INR212 crores with a growth of 12.3% compared to Q1 FY '25 of INR189 crores. Standalone sales in Q1 FY '26 at INR212 crores was higher by INR7 crores when compared to INR206 crores in Q4 FY '25. This was on account of increase in volume as well as price. Standalone Electrominerals saw good growth from export as well as domestic. VAW sales for Q1 FY '26 was RUB 1.84 billion which is a 25% decline from RUB 2.46 billion in Q1 FY '25.

Sales for Q1 FY '26 was RUB 1.84 billion, which is flat compared to RUB 1.83 billion in Q4 FY '25. In Q1 FY '26 in rouble terms, the profit after tax was RUB 72 million as compared to RUB 287 million in Q1 FY '25 and RUB110 million in Q4 FY '25.

FZL: Sales for Q1 FY '26 was INR56 crores which is a 3.7% increase as compared to Q1 FY '25 of INR54 crores and INR6 crores higher than INR50 crores in Q4 FY '25. In Q1 FY '26, this incurred a loss before tax of INR8 crores as compared to INR5 crores in Q1 FY '25 and INR7 crores in FY '25.

Now I'll cover the PBIT of Electrominerals segment. Consolidated EMD PBIT for Q1 FY '26 was INR4 crores. In Q1 FY '25, the PBIT was INR43 crores. The drop of INR39 crores in Q1 FY '26 to Q1 FY '25 is due to VAW amounting to INR27 crores, standalone business amounting to INR9 crores and Foscork amounting to INR3 crores. Consolidated PBIT of INR4.4 crores in Q1 FY '26 was lower by INR 4.6 crores in comparison to PBIT of INR9 crores in Q4 FY '25.

Ceramics consolidated sales in Q1 FY '26 was INR300 crores, showing a growth of 11.1% compared to Q1 FY '25 of INR270 crores. Standalone business showed good growth of 10% compared to Q1 FY '25. Consolidated sales in Q1 FY '26 at INR300 crores was higher by INR30 crores compared to INR270 crores in Q4 FY '25.

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Standalone Ceramics sales for Q1 FY '26 was at INR238 crores with a growth of 10% compared to Q1 FY '25 of INR217 crores was higher by INR9 crores when compared to INR229 crores sales in Q4 FY '25. This was on account of increase in volume and price. In Industrial Ceramic business, Metallized Ceramic, Engineered Ceramics drove the growth and in refractory, monolithic and corrosion-resistance grew as well.

Now turning to the PBIT performance of Ceramic segment. Consolidated Ceramic PBIT for Q1 FY '26 was INR75 crores with a growth of 16% compared to INR65 crores of Q1 FY '25.

Compared to INR74 crores in Q 4 FY '25 the PBIT grew by 1.5%.

Standalone Ceramic PBIT for Q1 FY '26 was INR62 crores with a growth of 25.4% compared to INR49 crores of Q1 FY '25. In comparison to Q4 FY '25 of INR 55 crores, the PBIT grew by 13%.

I'll request Sushil to cover the PBIT margin, debt position, capex, cash flow and the ROCE.

Sushil Bendale: The PBIT margin for the consolidated was at 6.7% for the quarter compared to 8% in Q4 of FY '25 and 12.6% in Q1 of FY '25.

For the quarter, standalone PBIT margin was at 23.8% compared to 11.8% in Q4 of FY '25 and 18% in Q1 FY '25. This also includes the one-off dividend income from SEDCO.

Abrasives for the quarter, consolidated Abrasives margin declined from 10% in Q1 of FY '25 to 2.2% in Q1 FY '26 due to a drop in volumes at Rhodius and the standalone business. Standalone margins dropped from 17.6% to 13.1%. The drop in margin was mainly due to drop in volume and increase of freight and fixed cost. The consolidated margin declined by 398 basis points compared to Q4 of FY '25. Standalone margins declined from 16.2% in Q4 of FY '25 to 13.1% in Q1 of FY '26.

Electro minerals. For the quarter, consolidated Electrominerals margin declined from 11.4% in Q1 of FY '25 to 1.1% in Q1 of FY '26. The decline was mainly attributable to the lower volumes in VAW coupled with lower realisation. Standalone margins dropped from 8.5% to 3.3%. This is mainly due to higher input costs.

The consolidated margin declined by 132 basis points

compared to Q4 of FY '25. Standalone margins improved from 2.8% in Q4 of FY '25 to 3.3% in Q1 of FY '26.

Now Ceramics. For the quarter, consolidated Ceramics margins improved from 24% in Q1 of FY '25 to 25% in Q1 FY '26. The standalone margins improved from 22.7% to 25.9%. The consolidated margins increased by 10 basis points compared to Q4 of FY '25. Standalone margins improved from 23.9% in Q4 of FY '25 to 25.9% in Q1 FY '26.

Now I'll talk about the debt position. There was no debt in our standalone books and total debt at the consolidated basis was at INR172 crores at the end of Q1 FY '26 compared to INR120 crores at the end of Q4 FY '25 and INR112 crores at the end of Q1 FY '25. The debt-to-equity ratio was at 0.05 at the consolidated level.

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In Q1 FY '26, our capex investment was INR64 crores against INR63 crores in Q1 FY '25 at a consolidated level.

Free cash flows in Q1 of FY '26 at a consolidated level, 98% to PAT compared to 37% in Q1 of FY '25. At a standalone basis in Q1 FY '26, free cash flow to PAT was 104% compared to 47% in Q1 of FY '25.

Now for ROCE, for Q1 of FY '26, the ROCE at a consolidated level is 8.1% compared to 16.9% during Q1 of FY '25 and at a standalone level, it was at 24.6% compared to 20% in Q1 of FY '25. For consolidated segments, ROCE in Q1 FY '26 for Abrasives decreased from 15.5% in Q1 of FY '25 to 2.8% this quarter, Ceramics has decreased from 41.5% to 37.8% and Electrominerals has decreased from 17.8% to 1.8%.

For our standalone businesses, ROCE in Q1 of FY '26 for Abrasives has decreased from 45.4% to 26.3% this quarter and Ceramics has improved from 44.5% to 47.2%, and Electrominerals has decreased from 22.3% to 8.4%.

Now the unallocable expenses net of income, at the standalone level, unallocable expenses in Q1 of FY '26 was an income of INR60 crores. If you exclude one-time dividend from SEDCO of INR 68 crores, this would be an expense of INR7.3 crores.

In Q1 of FY '25, the unallocable income was INR72 lakhs, and the difference is due to lower dividend in few companies in Q1 FY '26. In Q4 of FY '25, the unallocable expense was INR26 crores due to seasonality in dividend receipts.

Now I request Mr. Sridharan to take you through the next section related to the future outlook.

Sridharan Rangarajan: Thank you. So just to summarise, I think Ceramics sales, we communicated a sales growth of 16% to 18% last time at the full year level at consolidated and we hold our guidance for the consolidated Ceramics segment.

EMD sales, we gave a guidance of 1% to 2% growth in Electro mineral Division in last call, we retain the same guidance.

Abrasives sales in our last call, we communicated 5% to 6% for the year. This could be about 4% to 5%, considering the lower sales in RHODIUS in Q1 FY '26.

So overall, last time we said 6% to 7%, we are now looking at 5.5% to 6.5%.

Consolidated margin in the Ceramics section last call, we communicated PBIT margin of 23.5% to 23.7% on a full year basis, we maintain the same.

EMD in the last call, we said 6.5% to 7.5% on a full year basis, we currently look at 4.5% to

5.5%.

Abrasives, last time we said the PBIT margin could be 8% to 8.5% on a full year basis. Currently, we are looking at 6% to 6.5%.

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We said that last time, the overall consolidated PBIT margin could be a drop of 100 to 150 basis points compared to FY '25 base of 11.2%. Now we are looking at 250 to 300 basis point drop compared to that level.

Just to summarize, I think one, Rhodius, the transfer of logistics issue is quite an unexpected one and we did not consider in our forecast. There is a complete chaos in terms of software breakdown, physical movement of goods were impacted. So now we are trying to address this. We

expect end of August all this will be addressed. We expect that rest of the quarters, the sales will be in line with the last year.

In EMD standalone, the margins drop due to higher alumina costs which I think is now passed on because the inventory, whatever we had was completely liquidated. We are back to normal and that should get us back to the proper margin what we were gaining. Besides these two, I think the major challenge was Abrasives local India drop, which also we feel that will get back from Q2 onwards.

You have seen that our free cash flow is in good shape, delivered 100 -plus percentage in standalone, very healthy free cash flow in consolidated. Balance sheet is quite strong. We have done all our programs as far as the long-term strategy is concerned, we're tracking very well. So those are in good shape. We will address these the one-off blips that we will come back strongly in the coming quarters. Thank you.

Moderator: Thank you very much. We will begin the question and answer session. The first question is from the line of Bhavin Vithlani from SBI Fund Management.

Bhavin Vithlani: Sir, three questions. So first is on VAW. So could you help us understand the way forward given that now we almost have 6 months since the sanctions? What is your thought process in mitigating and how do we get back to normal levels and when in your view?

Sridharan Rangarajan: Okay. You said three questions or I'll answer one by one?

Bhavin Vithlani: Okay. I'll outline. Second is in the domestic Abrasives segment, if you could give us a bit more colour on where are we seeing slowdown given that we have three segments that you outlined. One is the retail, another is industrial, and third is the precision, where exactly is the impact? Optically, it looks like the precision is it, and hence, the margins have got lowered. So more colour here will be helpful.

Third is, if you could just help us understand on the German subsidiaries, what is the one-off that was there in the quarter? How do you see these two Rhodius and Awuko on the balance a 9-month period and the full year basis, excluding this? I mean, what should be the revenue and profitability in the balance 9-months period? These are my three questions, sir?

Sridharan Rangarajan: Correct. So as far as VAW is concerned, I think we broadly guided last time that we expect the volumes should be lower 25% to 30%, in the last call we have that guided that. This time also, they are lower by about 25% compared to the same period last year. We are constrained to selling only inside Russia. We are continuing to do that. They are profitable within that set of the business.

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But the future depends on how the settlement as far as Russia, Ukraine is concerned will turn out. And based on that, developments will happen. I don't want to hazard a guess given that multiple forces are at play. As far as Abrasives segment is concerned, you're right, there are three broad segments. We have Precision, we have Industrial, and we also have Retail. The challenge that currently we are facing is on the Retail side.

And as I was telling that there is a reasonable growth in the rest of the segment, which is what is making us confident about it. This is quite a few major distributors have to focus on the stock clearance and that is what caused this decline in sales.

As far as the German subsidiary, Rhodius, is concerned, as I told that this quarter, we had lost about EUR 4 million compared to the same period last year. We expect that the remaining three quarters, we will be in line with the last year sales. What we have lost, we will not be able to recover.

Meaning, this order will serve that is a thing. But since there's a significant delay has happened, we expect that we will not be able to recover. But of course, we are trying our best to see how

do we serve t

his order as well as be able to serve the future orders.

The issue is largely in terms of the change of software cost a significant delay, which is one major reason. So the pick and pack we were not able to perform. We could not physically move the inventory from the previous warehouse to the new warehouse. Even in the new warehouse, we were not able to have a proper location. These are outsourced warehouses. So this caused quite a bit of a challenge. It's getting addressed. We expect end of this month, we will completely address this issue.

Bhavin Vithlani: Sure. Sir, just one more question, a book keeping question. Employee expenses for the consolidated is up by 24% and if I look the subsidiary piece, which is minus the standalone, they are up by little over 30%. So if you could just help us understand that?

Sridharan Rangarajan: Sure. I will get back to you with the answer to you. Can we move on to the other question. In the meantime, we will try to find the answer.

Moderator: The next question is from the line of Ravi Swaminathan from Aventus Spark.

Ravi Swaminathan: My first question is with respect to the standalone Electrominerals business. The margins are kind of still on the compressed side. You had mentioned that it was because of raw material prices going up, and now we are passing it on. But earlier, you had mentioned that there was also competition from Chinese players especially in alumina, et cetera.

What is the status with respect to the competition from Chinese players in this particular category? That is my first question. And with respect to the second one, in terms of the other option value kind of products like high purity silicon carbide and supply of ceramic to emerging product categories like EVs, et cetera, what is the status of that?

Sridharan Rangarajan: Okay. So thank you, Mr. Ravi Swaminathan. So first of all, as far as the Electrominerals is concerned, the alumina price, literally went up in the 6 months, it doubled. It went up as high as Carborundum Universal Limited
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about \$800. And then it fell down to \$350 per ton and the fall is in the matter of 3 to 4 months.

So the inventory that we held because we bought this at a higher price had to be liquidated, and that is what is causing us this problem that we have in Q1.

The price pressure continues to be there. We don't see there's anything new, but that is continuing aspect. As far as the high-purity silicon carbide program, it is progressing well on track, and we are progressing on some of this qualification process. We are progressing on track. As I guided, it won't be major sales for this year, and we are not looking at an immediate short-term type of revenue arising from that.

Ravi Swaminathan: And with respect to Ceramics sales for EVs and semiconductor industry, is that a big driver of growth, likely to be a big driver of growth over the next 1, 2 years or 3 years?

Sridharan Rangarajan: Right. So you are right. I think that's a good driver of the growth, and that is also one of the reasons why we have a very good growth in Ceramics segment at this point in time.

Ravi Swaminathan: Okay. And within Ceramics and Refractories, one last question. With respect to wear ceramics, the technical ceramics, metallized cylinder and refractories, if you can break up the growth, how it was in the overall 10% growth that we have seen this quarter, which is growing faster, which is seeing better traction, even kind of a broad commentary or colour on it, that will be great?

Sridharan Rangarajan: Yes. I think we are seeing our Engineered Ceramics business; Metallized Ceramics business are growing well. We are also seeing Monolithic business going well, quite decent. And we're also seeing our Corrosion-Resistance business doing well. There is a few softness in terms of wherever projects are getting executed. That is where there are some de

lays in that. That is why

some of the expected projects, there is some delay. Otherwise, the business overall is doing well.

Ravi Swaminathan: Project will be which end user industry, sir?

Sridharan Rangarajan: we typically serve many industries, carbon black, cement, steel. The refractory products goes into many industries. So that happens to diversified industries.

Moderator: The next question is from the line of Harshit Patel from Equirus Securities.

Harshit Patel: Sir, firstly, on the U.S. tariffs, what would be the impact on our Abrasives and Ceramics exports because we export quite substantial amount to the North American base? Could there be a substantial impact on our supplies to that clean energy customer in the U.S. from where we have started seeing some pickup from CY '25 onwards?

Sridharan Rangarajan: Yes. So thank you, Harshit. See, so far, it is evolving. I won't call it we have any conclusive answers on this. And as you would know that the world itself is just grappling with this. We do not know what is the final outcome going to be but what I can see is that broadly, it is a function of few things which I want to lay out here is, are there equivalents available getting manufactured in U.S.?

Are there equivalents available from other countries? And how fast the process of qualification

is going to take place and also suitability for the manufacturer to adopt to the new supplier and Carborundum Universal Limited
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a function of what is the differential duty versus what we can absorb? And the ability of three parties to share this difference, whether it is the customer or intermediary manufacturer in U.S. and the supplier from India.

So these are the parties who are going to deal with this. Plus, of course, there are other factors like what the Indian government is going to provide their support, all that factor. So I would say, at this stage, we do not have any immediate threat or any issues that we foresee. We have made reasonable examination of all these factors that I laid out. But I would like to get to a full picture to understand what exactly would be the impact in all this. We seem to be in a decent position.

Harshit Patel: Understood. Sir, my second question is on the capex. What are our capex plans for the next two years, FY '26 as well as FY '27 across all three of our major segments? I think you have highlighted doing some capex for fused alumina-based products in Electro minerals, supplying to the semiconductor OEM equipment from Ceramics, doing bullet-proof armour as well as vehicle armour related products. So if you could highlight all the areas and quantum across all 3 major segments that will be very helpful?

Sridharan Rangarajan: Yes. So we don't normally provide that kind of guidance. I think if I remember, it is about INR350 crores was the capex program that we guided last call that we will spend for this year.

So that we are sticking to the same one and all the programs are in line with that.

Moderator: The next question is from the line of Mohit Kumar from ICIC I Securities.

Mohit Kumar: So only one question I have on the standalone Abrasives, is the industry not growing? Is it the demand or competition? And any colour on that will be helpful there.

Sridharan Rangarajan: See, I would say Industry is growing. I don't think there's a decline in the industry. Definitely, there is growth in industry. Of course, you have the other published player, you are very much aware about that what is the kind of results that we are getting in that, more or less comparable. There are minor variations here and there. I feel the industry is growing.

And as I have laid out in the last call also, we feel that there are segments where today, products getting imported and coming into India is growing substantially high. So definitely, overall growth in the Abrasives sector is growing. W

e have a specific challenge of our major distributors

or particularly stock clearance and their own credit locks, those mechanisms. But other than that, I won't say that the challenge is industry led.

Moderator: The next question is from the line of Bhoomika Nair from DAM Capital.

Bhoomika Nair: So my first question is on VAW. It's been a tough quarter. You spoke about the 25%, 30% kind of decline. But if I look at the revenue numbers, the consol minus standalone, it seems fairly stable. Can you explain why we're seeing the revenues being stable? And if you can call out the VAW loss during the quarter?

Sridharan Rangarajan: Sorry, what was the last part of the question?

Bhoomika Nair: The loss at VAW, sir, at Russia?

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Sridharan Rangarajan: Yes, yes. So I think your question is that consol minus standalone is stable is what to our observation, if I understood you correctly.

Bhoomika Nair: In EMD, yes, in EMD.

Sridharan Rangarajan: Yes. Right. So I think that you are very good in your observation because I think there, we source product from VAW and then use that product, which got stopped. So what happened, the elimination of -- so we actually show the sales outside only to the customer. That is what is the total sales that we do. So since that has stopped, hence, the elimination has come down, you see a flat number.

That is what you have observed, which is the right observations. But per se, the sales of VAW has come down, which is in line with what we have guided. The second question you asked is the margin on the EMD, right?

Bhoomika Nair: Yes, yes.

Sridharan Rangarajan: So EMD losses -- just hold on. Sorry, you continue your question. I will gather and come back. Sorry.

Bhoomika Nair: Okay, sir. I mean, if you can get back to me on what is the quarterly revenue and profit at VAW that would help. Second is in terms of...

Sridharan Rangarajan: We shared that. Just give me a second.

Bhoomika Nair: Sure, sir. In the meanwhile, we were looking to commission an HP SIC plant later this year...

Sridharan Rangarajan: Sorry, VAW sales was RUB 1.84 billion in Q1 FY '26, compared to RUB 2.46 billion in same period last year, Q1 FY '26. So that was a number that we shared. Yes, in r ouble terms, the profit after tax was RUB 72 million as compared to RUB 287 million and RUB 110 million in Q4 FY '25. These are the numbers we read. Yes, please go ahead, Bhoomika.

Moderator: The next question is from the line of Bhoomika Nair from DAM Capital.

Bhoomika Nair: Yes, sir. You can hear me?

Sridharan Rangarajan: Yes, we can hear you. I don't know where we got dropped, but I was just telling that -- you were able to get it or shall I...

Bhoomika Nair: Yes. I got that, sir. I got that. My question was on HP SIC . We had this pilot plant to be operational at the end of the calendar year. What is the status of that? And how are we seeing the progress in terms of the client offtake and things like that?

Sridharan Rangarajan: We are very much on target as far as the HP SIC pilot plant is concerned. As I told i n the previous question also, our samples that we are working with various clients have been seeded. They're in the process of testing, very much on target. And I just want to repeat the same thing I told in the earlier answer. We do not expect any huge sa les arising from HP SIC business in this year or in the near -term future.

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Bhoomika Nair: Okay, sir. So the next question is on the Rhodius segment, part of the business which you call, there were some logistics -related challenges which impacted the ability to kind of drive revenues, and we expect that from September onwards, it will kind of normali se. Now if I take a step back, it's been about 3 to -- 3, 4 years since you've taken over Rhodius . If you c

an just

help us understand what has been the benefit?

How are we seeing the profitability and the revenues kind of grow out there? There is a PPA impact, which I do understand, but how do we see the turnaround at the consol level for the international subsidiaries for Abrasives? If you can just explain a littl e bit out there?

Sridharan Rangarajan: So I just want to lay out here is that since the time we acquired without PPA, we have been making continuous profit, right? And this year, with this exception of the EUR 4 million loss, we expect a loss, right? and we expect that the remainder of the three quarters, we will be same as last year in terms of the top line. But we will not be ab le to recover this lost volume.

Hence, we will have a loss for this year. We expect that the -- last year, we had -- without PPA, we were profit in the last 3 years that whatever we have been operating. And this year, we could be in the range of roughly about EUR 2 million type of a loss.

Bhoomika Nair: Sure, sir. And how is the demand outlook? And how are you seeing this kind of impr ove into FY '27, '28, if you can just talk about that?

Sridharan Rangarajan: I do not have a crystal ball, but it all depends. It's very tough to predict that far...

Bhoomika Nair: And I was just trying to understand how the demand in general is panning ou t? What are you hearing on ground? That is where I was coming from.

Sridharan Rangarajan: So I mean, it's same as what everyone of us hears. I think we need to wait for some more stability to emerge in terms of this multiple things that's floating around. So we'll wait for some more time sense to provide details.

Bhoomika Nair: Sure. And lastly, if I may ask, what is our overall U.S. exposure while w e understand that it is difficult to gauge what will be the actual outcome and might not be much...

Sridharan Rangarajan: On console sales, roughly about 8 to 10 percentage of our sales is U.S. -based.

Moderator: The next question is from the line of Aditya from Kotak Securities.

Aditya: The first question I had was on the Abrasives segment, not focusing on where the market is and where the competition is, but if CUMI as the company has pursued certain steps that they would want to take to improve their competitive positioning on the retail side of things and outside, could you give us a sense of the progress that has been made over there and when should we start expecting benefits coming out of the same for us?

Sridharan Rangarajan: So we have rolled out the programs in terms of our Abrasives growth. We are seeing the benefit of it and we are working towards each o f these dimensions that we said we will work. As I said, this quarter is an issue relating to some of these inventory corrections in the dealer side of it. But

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otherwise, our ability to cover newer states which we have -- so far, our market share is defini tely progressing well.

We've started right on us there. NPD programs are firing well. So that is also well on track. In some of this go -to-market work in terms of our agility, ability to work and getting better

productivity, that is also on track well. So we think that the programs are on track. It is on the ground, we are seeing the efforts type of our -- these are like, for example, the number of calls that each one makes, the number of productive calls each one makes, the coverages that each one makes, all that tracking whatever we are seeing are progressing well. And probably, we will start seeing the results soon.

Aditya: Okay. Is there a need to do a similar kind of maybe benchmarking study or re-assess our competitive positioning on the standalone Electrominerals side, where obviously, there is an element of Chinese competition, but do you envisage any amount of work that needs to be done to get that segment back on track from a competitive position perspective?

Sridharan Rangarajan: Honestly, our competitive position in terms of the India EMD position is really reasonable. That is why we have in the LTS program, how do we go beyond aluminas and what all the programs which we have laid out in the last call is positioned towards that, and we are very much on track, and we are progressing towards that.

Aditya: Okay. The last question I had was more on DRONCO, which is essentially assets that you want to re-commission inside the country. My sense is about INR200 crores, INR250 crores is something that can be achieved as incremental sales from the Abrasives business. What could be the time line of the same and how could we see the contribution gearing up to these kinds of revenue levels from that asset?

Sridharan Rangarajan: Sorry, I'm not aware that I guided that kind of a sale, but the program of DRONCO, this one is very much on. We are on the ground, the equipments have come. They are in the process of assembling it. So those program are very much in time for execution dates. So as per program, whatever we said we will do, we are going ahead with that.

Aditya: Could you clarify what is the capacity or the revenue number at full capacity that can come from that kind of acquisition and obviously the part of liquidity?

Sridharan Rangarajan: So it is not an acquisition. It is an asset purchase, where we had it is roughly about INR80 million to INR100 million worth of wheels we will be able to manufacture. That is our capacity.

Aditya: And the sales number that can come from there would be roughly EUR 80 million to EUR 100 million?

Sridharan Rangarajan: We have not told anything like that at this point. As soon as the commissions at that time, we will start sharing that.

Moderator: That was the last question for the day. I now hand the conference over to the management for the closing comments. Over to you, sir.

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Sridharan Rangarajan: So thank you all for your participation. I just want to reiterate the facts that CUMI is well on track as far as strategy that it wants to implement, whatever we have laid out in the last call.

Every program is being pursued right on us. We have a specific challenge in terms of Rhodius, which completely was unexpected.

Warehouse move impacted us in a huge way about EUR 4 million. The high cost inventory that EMD holding is getting liquidated. In fact, it's completely done so that margin pressure that what we have seen in EMD would go away.

We see that the sales pressure that we have seen in Abrasives, particularly on some of the distributor sales due to the stock clearance we would not push that we would be able to get back. So on the whole, I would say that we are very much on track and progressing in terms of our long-term strategy well.

Our balance sheet is quite strong. Cash flows are really good. The focus on free cash flow is really good at this point. So we will continue to update you as we meet in the next quarter. Thank you.

Moderator: Thank you. On behalf of Equirus Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2025

6th November 2025

BSE Limited
25th Floor, Phiroze Jeejeebhoy Towers
Dalal Street , Fort Stock Code: 513375
Mumbai - 400001

National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E) Stock Code: CARBORUNIV
Mumbai – 400 051

Dear Sir/Madam,

Sub: Transcript of the Investor Call

Pursuant to our letter dated 31st October 2025 informing the upload of audio recording of the investor call, please find enclosed a copy of the transcript of the Investor call and the same can be accessed through the following link.

Link: <https://www.cumi-murugappa.com/wp-content/uploads/2025/11/Transcript.pdf>

Request you to kindly take the above on record.

Thanking you

Yours faithfully
For Carborundum Universal Limited

Rekha Surendhiran
Company Secretary
Page 1 of 15

"Carborundum Universal Limited
Q2 FY '26 Earnings Conference Call "
October 31 , 2025

MANAGEMENT : MR. SRIDHARAN RANGARAJAN – MANAGING
DIRECTOR – CARBORUNDUM UNIVERSAL LIMITED
MR. G. CHANDRAMOULI – ADVISOR – CARBORUNDUM
UNIVERSAL LIMITED

MODERATOR : MR. ADITYA MONGIA – KOTAK SECURITIES
Carborundum Universal Limited
October 31 , 2025

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Moderator: Ladies and gentlemen, good day, and welcome to the Carborundum Universal Q2 FY '26 Earnings Conference Call hosted by Kotak Securities. As a reminder, all participant lines will

be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star and zero on a touchtone phone. Please note this conference is being recorded.

I now hand over the conference over to Aditya Mongia. Thank you and over to you, sir.

Aditya Mongia: Thanks, Mark, and good morning, everyone. Welcome to the earnings call of Carborundum Universal. From the management side today we have Mr. Sridharan Rangarajan, Managing Director; and Mr. G. Chandramouli, Advisor. Without any further delay, I request the management to share with us their opening remarks, post which Q&A can follow. Over to you, sir.

G. Chandramouli: Thank you, Aditya. Good morning. I'm Chandramouli. Let us start the proceeding with the disclaimer. During this call, we may make certain statements, which reflect our outlook for the future or which could be construed as forward-looking statements. These statements are based on management current expectations and are associated with uncertainties and risks are more fully detailed in our annual report, which may cause the actual results to differ. Hence, these statements must be reviewed in conjunction with the risks that the company faces. Thank you.

Sridharan Rangarajan: Good morning to all of you, and a warm welcome to our second quarter and the first half earnings call for the financial year FY '26. Thank you for joining us today. Hope you all had celebrated Diwali with family and friends. Our warmest Diwali wishes to everyone and trust the festive season bring you joy and prosperity. We will begin this call by giving an overview of the Company's performance for the quarter as well as the first half, then open up for questions. To start with, consolidated sales in Q2 FY '26 was INR1,287 crores compared to INR1,209 crores in Q2 FY '25. This shows a 6.4% growth as compared to Q2 FY '25. Abrasives grew by 7.4% from INR543 crores to INR584 crores. Ceramics grew by 7.8% from INR280 crores to INR301 crores. Electro minerals degrew marginally by 0.9% from INR402 crores to INR399 crores.

Compared to Q1 FY '26, sales in this quarter grew by 6.6% from INR1,207 crores to INR1,287 crores. Abrasives grew by 15% from INR508 crores to INR584 crores. Ceramics grew by 0.6% from INR300 crores to INR301 crores. Electro minerals degrew by 1.6% from INR405 crores to INR399 crores.

Consolidated sales for H1 FY '26 was INR2,493 crores compared to INR2,393 crores in H1 FY'25. This shows a growth of 4.2% growth. The growth was driven by Ceramics segment, which grew by 9.4% from INR549 crores to INR601 crores. Electro minerals grew by 2.6% from INR783 crores to INR804 crores. Abrasives degrew by 0.3% from INR1,095 crores to INR1,091 crores.

Coming to the PBIT performance. PBIT for Q2 FY '26 was INR111 crores against INR154 crores in Q2 FY '25. Compared to PBIT of INR81 crores in Q1'26, Q2 PBIT grew by 37%. PBIT Carborundum Universal Limited

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for the first half of the year was INR192 crores compared to INR304 crores. The drop is mainly contributed by VAW about INR51 crores, RHODIUS INR26 crores and standalone INR34 crores.

Now I go to standalone. Standalone Q2 FY '26 sales were INR712 crores with a growth of 1% compared to sales of INR705 crores in Q2 FY '25. Compared to Q2 FY '25, Electro minerals grew marginally by 1.2% from INR210 crores in Q2 '25 to INR213 crores in Q2 '26. Ceramics was almost flat. Sales in Ceramics moved from INR227 crores in Q2 FY '25 to INR228 crores. Abrasives degrew marginally by 0.1%.

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standalone sales of INR712 crores in Q2 FY '26 compared to INR698 crores in Q1 FY '26 grew by 2%. Abrasives grew by 7.5% from INR286 crores in Q1 FY '26 to INR308 crores in Q2 FY '26. Electro minerals was almost flat with a growth of 0.2% moving from INR212 crores to INR212.7 crores. Ceramics degrew by 4.3% from INR238 crores in Q1 FY'26 to INR228 crores in Q2 FY '26.

Standalone sales for H1 FY '26 was INR1,410 crores, a growth of 3% compared to sales of INR1,369 crores in H1 FY '25. This was contributed by growth in Electro minerals at 6.5%, which moved from INR399 crores in H1 FY '25 to INR425 crores in H1 FY'26. Ceramics grew by 4.9% from INR444 crores to INR466 crores. Abrasives degrew by 2.8% from INR611 crores to INR594 crores.

PBIT for Q2 FY '26 was INR87 crores compared to PBIT of INR116 crores in Q2 FY '25. Mainly Ceramics contributed to INR17 crores drop here. PBIT for Q1 FY '26 was INR166 crores.

PBIT of Q2 FY '26 dropped to INR87 crores. This is mainly due to lower dividend income. PBIT for the first half of the year grew by 7.9% from INR235 crores in H1 FY '25 to INR254 crores in H1 FY '26.

I'll go to the segment performance.

Abrasives, consolidated Abrasives. Sales of H1 FY '26 was INR 1091 crores when compared to INR1,095 crores, almost remained flat. Q2 FY '26 sales was INR584 crores with a growth of 7.4% compared to INR544 crores in Q2 FY '25. This growth was contributed by AWUKO INR9 crores, RHODIUS INR25 crores and CUMI America.

Compared to Q1 FY '26, sales was higher by 15%, moving from INR508 crores to INR584 crores. This is largely driven by sequential recovery in standalone INR 22 crores, recovery in RHODIUS about INR 49 crores, which has seen a loss in Q1 on account of the transition to a new third-party logistics provider.

Standalone Abrasives: In Q2 FY '26, standalone Abrasives sales of INR308 crores remained flat compared to the same period last year. Sales of H1 FY '25 was INR594 crores with a degrowth of 2.8% compared to INR611 crores in H1 FY '25. Sequential growth is encouraging and looking forward to a better H2.

RHODIUS Abrasives : In H1 FY '26 achieved a net sale of EUR 30.6 million compared to EUR 33.8 million in H1 of FY '25. This represents a 9% degrowth over last year. For the quarter, Carborundum Universal Limited

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RHODIUS achieved net sales of EUR 17.4 million, which is 5.4% growth over Q2 FY '25, which saw sales of EUR 16.5 million. Q2 FY '26 sales is higher by 31.6% compared to EUR 13.2 million in Q1 '26, reflecting the resolution of operational challenges relating to logistics.

In our previous call, we had said that we expect the stability of operation to come by end of August. We are almost resolved and back to normal and we had also said that Q1 performance would impact the full year sales as well. We said that we expect the remaining 3 quarters sales would be in line with the last year's sales. In Q2, we are seeing a 5.4% growth. We still maintain the same outlook.

In H1 FY '26, RHODIUS incurred a loss of EUR 2.2 million against a loss of EUR 0.1 million same period last year. This is after the PPA write-off of EUR 1.4 million, reflecting the loss of sales in Q1 impacting the profitability. At the full year FY '25, RHODIUS made a loss after tax of EUR 0.2 million in FY '25. We expect the loss after tax to be about EUR 3.5 million to EUR 4 million this year. This is after PPA write-off of EUR 2.8 million.

AWUKO achieved a sale of EUR 5.5 million for the first half of the year. This is a growth of 5.3% when compared to the sales of EUR 5.3 million last year. For the quarter, AWUKO delivered sales of EUR 2.9 million, which is a 31% growth over last year EUR 2.2 million. Sequentially, it was higher by 12.7% compared to EUR 2.6 million in Q1 '26. The losses before tax in H1 versus this year has remained flat. At the full year, we expect the sales growth to grow

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by about 20%. We maintain the same outlook. The losses before tax could decrease slightly.

Now I will cover the bottom line performance of the segment. Consolidated Abrasives PBIT for the first half of the year was INR45 crores compared to PBIT of INR90 crores in H1 FY'25.

Margins have declined from 8.2% to 4.1%. The margins were impacted by RHODIUS and standalone business.

Consolidated Abrasives PBIT for Q2 FY '26 was INR33 crores compared to PBIT of Q2 FY '25 at INR34 crores. Compared to Q1 FY '26, the PBIT was higher by INR22 crores. Q1 FY '26, was INR11 crores. This is mainly due to RHODIUS and standalone Abrasives.

Electrominerals consolidated sales for H1 FY '26 was INR804 crores compared to sales of INR783 crores in H1 FY '25. Standalone business and Foscort Zirconia helped to grow this. Standalone business grew by 6%, Foscort grew by INR20 crores and VAW degrew by about INR83 crores.

Q2 sales was INR399 crores compared to sales of INR402 crores in Q2 FY '25. The degrowth was on account of the VAW. Sales in Q2 FY '26 was INR399 crores compared to INR405 crores in Q1 FY '26. This is also largely arising from VAW.

Standalone Electrominerals. Standalone Q2 sales was INR213 crores. This is a 1.2% growth compared to sales of INR210 crores in Q2 FY '25. The growth was largely aided by volume, while prices remained flat. Exports continue to perform well in this segment. Compared to Q1 FY '26, the sales in this quarter was almost flat. Sales for H1 FY '25 was at INR425 crores with a growth of 6.5% compared to INR399 crores in H1 FY '25. This growth was aided by volume and price. Export definitely helped a lot.

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VAW sales in local currency in Q2 FY '26 degrew by 37.2% compared to FY '25 from RUB 2.4

billion to RUB 1.6 billion. In INR sales, the degrowth was 27%. The exchange rate used in Q2 FY '25 was 0.94 compared to the exchange rate used in Q2 FY '26 is about 1.08. Sales in local currency degrew by 15%, that is RUB 1.8 billion to RUB 1.6 billion compared to Q1 FY '26.

VAW delivered a profit after tax of RUB 222 million in Q2 FY '26 against RUB 466 million during same period last year and RUB 71 million in Q1 FY'26. In local currency, H1 FY '26, the sales was RUB 3.4 billion compared to RUB 4.9 billion in H1 FY '25. This is a decline of 31%. We communicated this expectation earlier. In INR terms, the sales decline was from INR459 crores to INR364 crores, resulting in a decline of 21%.

H1 FY '25 profits were RUB 294 million compared to RUB 753 million during the same period last year. This is a decline of 61%. In terms of H1 , profit from INR70 crores, it declined to INR31 crores. With respect to the full year performance at VAW, we had earlier committed a drop in volume by about 25%. We maintain the same guidance now.

Foskor Zirconia. : For the quarter, sales was ZAR 114 million compared to sales of ZAR 82 million in Q2 FY'25. The loss after tax was ZAR 24 million compared to loss after tax of ZAR21 million in Q2 FY '25.

Sridharan Rangarajan: In Q1 FY '26, sales was ZAR 121 million and in Q2 FY '26, the sales was ZAR 114 million. In Q1 '26, the loss after tax was ZAR 18 million compared to the loss after tax in Q2 '26 of ZAR 24 million. In H1 FY '26, sales was ZAR 235 million compared to H1 FY '25 sales of ZAR 203 million. In H1 FY '26, loss after tax was ZAR 42 million compared to ZAR 32 million in H1 FY '25.

I'll move to Ceramics business. Consolidated sales for H1 FY '26 was INR601 crores compared to INR549 crores in H1 FY'25. This is a growth of 9.4%. Growth was driven by standalone operations and the Australian subsidiary. Q2 FY '26, the sales was INR301 crores compared to INR280 crores in Q2 FY '25. This is a growth of 7.8% and was driven largely by our Australian subsidiary.

Standalone Ceramics Q2 sales was INR228 crores, which is flat compared to Q2 FY '25.

Compared to Q1 '26, sales in this quarter degrew by 4.3%, basically from INR238 crores to INR228 crores. Sales for H1 FY'26 was INR466 crores. This is higher by 4.9% to INR444 crores in the same period last year.

To cover the PBIT of the segment, consolidated PBIT for Q2 FY '26 was at INR62 crores compared to the PBIT of INR75 crores in Q1 FY '26, mainly due to product mix and volume. Consolidated PBIT of H1 FY '26 was INR137 crores compared to INR144 crores in H1 FY '25. Standalone Ceramics PBIT decreased by 3.8% to INR107 crores from INR111 crores in H1 FY '25.

There was no debt in our standalone books. Total debt at consolidated basis was INR210 crores at the end of Q2 FY '26 compared to INR172 crores at the end of Q1 FY '26 and INR103 crores at the same period last year. The debt -to-equity ratio is 0.06 at consolidated level. Cash and cash Carborundum Universal Limited
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equivalent at the consolidated without cash in VAW is about INR215 crores, which means debt net of cash is 0.

During the H1 FY '26, our capex investment was INR162 crores against INR124 crores in H1 FY '25. This is against our full year plan of INR350 crores as we communicated during the last call. So we are progressing as per the plan. At the standalone level, the capex was INR120 crores compared to INR69 crores same period last year.

Now I'll provide an update on the outlook for the current year. I maintained the outlook shared last time, which is as follows. Consolidated sales growth could be 5.5% to 6.5%. Consolidated Ceramics growth could be 16% to 18%, same as earlier communicated. EMD growth guidance is about 1% to 2%, same as last time communicated. Abrasives sales in our last call, we communicated 4% to 5% growth for the year.

Margins at consolidated level, Ceramics section, we communicated 23.5% to 23.7% on a full year basis, maintained the same. EMD in the last call we said 4.5% to 5.5%. Abrasives last time we said PBIT margin could be 6% to 6.5% on a full year basis. We said that last time the overall PBIT margin could be 8.2% to 8.5%, we maintained the same. Capex side, we would spend about INR350 crores. We have spent about INR162 crores in H1. So we think we will meet the capex plan.

So that's broadly my opening remark, and I think I'll open up for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Ravi Swaminathan from Spark Capital.

Ravi Swaminathan: My first question is with respect to the standalone segments of Abrasives and Ceramics and Refractories. The growth were subdued during this quarter. So if you can give a bit more granularity in terms of quality of growth in Abrasives in the retail side and industrial supply side. Similarly, for Ceramics and Refractories between the Wear Ceramics, Metallized Cylinder and

Refractories, how the individual subcategories were growing, that will be great, sir?

Sridharan Rangarajan: Thank you. I think -- so the growth in the standalone segment, particularly Electrominerals was about 6.5%, Ceramics 4.9% and Abrasives degrew at 2.8%. But the growth sequentially in Abrasives at 7.5% is encouraging. We expect that trend to continue for the second half. And that's the broad outlook that we have.

And as far as the Ceramics is concerned, the H2 will be strong, largely because of the way the order books were built and some of the projects requirement are coming along. So we expect that H2 will be heavily loaded compared to the H1. So hence, we feel that the growth compared to the H1 versus H2 will be different and Electrominerals will continue the trajectory that we have been committing. That should continue. That's what broadly guiding to.

Ravi Swaminathan: And within the subcategories, any flavour, sir? So for example, Ceramics and Refractories, how Wear had performed, how Refractories had p

erformed, how Metallized Cylinders have performed?

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Sridharan Rangarajan: Yes. So Metallized Cylinders and Engineered Ceramics have performed over 20%. And I think there were challenges basically on the Wear Ceramics side. Both Wear and some of the Refractory side, the project-based dependence, there's a delay, which should pick up in the next quarter and we should see overall growth. At H1 level, we are at about 11% growth. We expect that, that would pick up.

Ravi Swaminathan: Okay. And which sectors would be -- Wear Ceramics would be catering to where this delay? Is it like steel, cement...

Sridharan Rangarajan: So it is steel, cement, glass, all these sectors, there are some project delays.

Ravi Swaminathan: Understood. And similar flavour on Abrasives side, retail vis-a-vis industrial supply, how it is doing? Any flavour on that?

Sridharan Rangarajan: So I think industrial and precision are doing fine. Retail is a bit subdued, but the encouraging thing is that the inventories at the dealer level have really come down, which sees that Q3 and Q4, we should see a pickup. The lot of festival pickup helped to move their inventory level. So that is something is encouraging to look at Q3 and Q4.

Ravi Swaminathan: Got it, sir. And my final question with respect to the Electrominerals business, you had highlighted that there is a bit of Chinese competition in aluminium oxide and how it is panning out. So is there increased competition which is there or is it maintaining? Any views on that?

Sridharan Rangarajan: It is maintaining and no difference that we see at this point.

Moderator: The next question is from the line of Harshit Patel from Equirus Securities.

Harshit Patel: Sir, my first question is on standalone Ceramics. I think the margins over there have been the weakest we have seen in last 4 years, about 20% or so. You have highlighted adverse product mix as one of the reasons. What could be the other factors over here? Also, we had expected a strong revenue growth as clean energy sales to the U.S.-based customers are reviving. However, we have posted only flat sales. So if you could explain, co-relate these things, that will be very helpful?

Sridharan Rangarajan: So I think product mix and the other one is the top line. There's base level fixed cost absorption needs to happen. So since there's a top line is a bit soft. So that's why we expect the H2, we could pick up. I mean, we will bounce back better in the H2 and that should start showing the margin pickup. And that's why even in the overall margin guidance, I still maintained what was earlier said.

Harshit Patel: Right. Just a follow-up to that, sir. But sir, when our Metallized Cylinders and Engineered Ceramics are doing so well, which are obviously the higher-margin businesses for us vis-a-vis the Wear Ceramics and Refractories, shouldn't the product mix be good for us? Should that not be an accretive product mix?

Sridharan Rangarajan: It does and that is why it is helping us a bit. But if you look at the wear plus the Fired Refractories business, they are not bad. Their margins are also very encouraging. But the volumes that they

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hold to the total business when it is not growing, it does have the impact of the mix. And that's why we used the word mix.

Harshit Patel: Understood. Sir, my second question is on the subsidiary level Electrominerals business. Here, the sales seem to be very strong despite the continued sanctions on VAW. Margins have also improved on a sequential basis. So how have we achieved this improvement in the first place?

Sridharan Rangarajan: No. So I think if I look at Abrasives, we have done fairly well outside, of course, there's a

domestic Abrasives pickup, equally F oskor Zirconia top line pickup.

These two are helping us

in terms of our overall pick up . But you have also a fall of almost INR83 crores in the top line as far as VAW is concerned. But the eliminations, the intercompany eliminations are lower compared to the last year because we no more source from VAW. So that benefit also accrues to us. So that is how the overall we are in better shape as far as Electrominerals is concerned.

Harshit Patel: Sir, just lastly, a book -keeping question on our others segment, wherein we combine the results of PLUSS , SEDCO as well as the IT business. Here, we have posted the positive PBIT after consecutive losses of 14 quarters. Anything you could highlight here?

Sridharan Rangarajan: I think I don't want to track individually t hese smaller businesses, but I think all of them are doing fine. So all of them have fired well, and that is the basic reason for that.

Moderator: The next question is from the line of Amit Anwani from PL Capital.

Amit Anwani: First question on VAW again. So obviously, you have highlighted that there would be 25% reduction in volumes. I wanted to understand any development which has happened on sanctions. And in case of sanction continuing, what kind of volumes are we expecting any strategy or any hope of s anction getting lifted? How should one think of this business slightly medium term?

Sridharan Rangarajan: Look, I think this is a very tough area to guess because this is a geopolitical question. I would like to stay away from that. I think you are as good as mine or more than mine in terms of knowing the geopolitical situation as everyone reads instantaneously, as everyone treats.

I feel that our focus at this point in time is to stay within the ambit of what we can do and that I think is what we will stay. What is helping us is a debt -free company and also highly focused way of running the business helps us to stay afloat and we hope sooner some better prospects would come.

Amit Anwani: Sir, on the 2 subsidiaries, AWUKO and RHODIUS , I would love to und erstand are we on track for breakeven and when are they happening? And second, with respect to what is driving the demand? I understand there's a lot of sales there is global in nature. So just wanted to understand what is the situation on demand side for these subsidiaries? There's some improvement which has happened and we are expecting H2 to be slig htly better. So updates on that?

Sridharan Rangarajan: Sure. So I think the RHODIUS drop in Q1 is a one -off event largely driven by the way the logistics was handled, but they are out of that and they are back to normal and the demand, I would say, it is good and it is continuing the way we are planning as far as RHODIUS is

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concerned. As I said that we continue to look at RHODIUS as a good company, would get ba ck to the profitability even after PPA soon. That is what we are broadly looking at.

As far as AWUKO is concerned, we feel that getting to about roughly about EUR 12 million to EUR 14 million top line for this year is the first milestone that we should hit. So far, it looks like the trajectory is towards that. And then at the end of the year, we will again update you in terms of how we are looking beyond that. So by and large, both are traveling as per what we were looking at.

Amit Anwani: Sure, sir. Lastly, sir, on the new product development. Last time I recollect you highlighted the high-performance SiC pilot plant is on track, though we do not expect the volumes in F Y '26, FY '27. So any update on that? And apart from that, we're seeing a lot of activities happening on semiconductor, CG Semi installed the plant an d even L&T is talking about it.

So -- and we also talked about some ceramic -based products for semiconductor. So j ust wanted to understand with respect to product developments, what one should look at in near to medium term,

which can materiali se in 2, 3 years?

Sridharan Rangarajan: Sure. So semiconductor, basically ceramics for semiconductor fab equipment is what our focus area. And that facility is coming up very much in line. And we expect these would start benefiting in the next year onwards, which is what our earlier guidance also. So that would continue.

And the defence program, aerospace and defence program inv estment is also very much on track. The investment on HP SiC is also very much on track, all the programs that we broadly talked about. As far as our long -term strategy is concerned, everything is pretty much on track. That's why you see a strong capex spend, which is very much in line with our spend as well. In fact, the INR160-odd crores is probably the highest at this point in time. So we are progressing based on our long -term trajectory.

Amit Anwani: Sir, are we seeing any contribution coming in from these projects in the next 2 years or it will be beyond years?

Sridharan Rangarajan: So as far as the semiconductor, we expect that it would start contributing from next year and

then aerospace and defence , partly next year, but mostly year after. And then as far as the HP SiC, we said 2 years, we need to wait because these are all seeding time, which is what we are currently doing.

Moderator: The next question is from the line of Rupesh Uttvani from Nayan M Vala Securities Private Limited.

Rupesh Uttvani: I just would like to know that over the past 2 -3 quarters, if I am to look at your other expenses, they are on a standalone basis, they have grown on a higher trajectory, which has been affecting your overall margins. So if you could maybe just shed some light on what is causing that increase, that would be really helpful?

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Sridharan Rangarajan: I think other expenses, what you call as unallocable at the consol level is very much comparable at H1 to H1 level and standalone level, there is a marginal increase of about INR10 crores. So I see that it is very much in line. We don't see abnormality, except there are some dividend income movement, which is like we also disclosed that close to some INR68 crores plus is the dividend that we had kind of one -off dividend, other than that, I think if you exclude that, I mean, as we exclude we see that it is very much in line.

Rupesh Uttvani: Okay, sir. And I just wanted to confirm that you had said that -- in this call, you had said that VAW is not exporting raw materials to the Indian subsidiary for, let's say, from the Electrominerals perspective. So I mean, would that affect our margins anyway in the Abrasives or any other segment?

Sridharan Rangarajan: I don't think we had any link to the -- our domestic Abrasives business. We never sourced for our domestic Abrasives business and has no connection to that. And we are not sourcing. I mean that stopped here.

Moderator: The next question is from the line of Bhavin Vithlani from SBI Mutual Funds.

Bhavin Vithlani: Sir, the question number one is with respect to your comment to the earlier where I also was observing a 35% increase in capital expenditure. If you could help us what is the planned outlay for the current financial year and the next? And if you could also give us a breakup between the key projects that we are planning this capital expenditure?

Sridharan Rangarajan: Yes. So Bhavin, I think we did guide INR350 crores of capex at the full year level is what our guidance is and we have spent about INR160-odd crores now. Second half, we will have the rest and this is as per our long -term strategy program that what we have worked on. So it is very much in line.

Individual project details will be difficult to share, but these are coming for, let's say, semiconductor facilities, facilities for aerospace and defence , investment in HP SiC facility, investment in thin wheel

relocation. All these are the programs that we are working on.

Bhavin Vithlani: Sir, pardon me for hopping this. What would be the total planned outlay for the semiconductor for the aerospace, defence , Ceramics and HP SiC over a 2 to 3-year basis, the total planned outlay for getting the project up and running in the Phase 1 of our plan?

Sridharan Rangarajan: So Bhavin, I think it is a reasonable facility and based on our expected returns and the top line is the normal way that we evaluate and put. Individually, we are unable to share how much is this, etc. But be rest assured that it is based on anchor customers' programs that we have in place to support that, and that is how we are making these investments.

Bhavin Vithlani: Sure. My other question is on the Electrominerals and when I look at the subsidiaries performance, which is standalone minus consolidated, the revenue run rate that I see for the quarter is about INR186 crores and prior to the sanction, it used to be about INR190 crores to INR200 crores. So it's not very different despite the sanctions. VAW is a continuous process business , so could you help us understand, is the impact that we are seeing is largely the realisation where we've been able to push out the volumes, maybe at a lower margins? And in Carborundum Universal Limited
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this quarter also, we've seen a remarkable improvement on the profitability front. I mean, if I look at the EBIT of the division where it was negative in the previous quarters, about INR2 crores, INR3 crores and it is about INR13 crores positive. So the effort that we are putting, it will be helpful to understand and what transpired such an improvement despite the sanctions?

Sridharan Rangarajan: So first of all, sanction does affect. It is not that it is not affected. So it's told that at H1 level, we have an INR83 crores of impact on the Electrominerals business. So it does affect. But what helps us is the standalone growth, growth in Foskor is helping us to a large extent to offset this. So that is what I would say rather than anything else.

And obviously, that helps us also to some extent a margin stabilisation. And so I think had VAW performed at its normal level, we would have enjoyed a far better results than this. I hope to see that day soon.

Bhavin Vithlani: Sure. And if you could -- I mean if possible, what would be the plan assuming the sanctions go on for years? What is the plan of action for the Company to get to alternative markets, alternative customers?

Sridharan Rangarajan: See, I think -- I'm sure this is very difficult to even work through a simulated experience of answering this question because it's very tough. From our side, we have an approach where focus highly on what VAW can do with the limitations what they have. So that's number one.

Make sure that we run this in a way which is within the framework of what is possible, highly focused on cash conservation, making sure that they have reasonable margins and able to survive. At the same time, thinking beyond how can we do beyond this is a very, very difficult task, Bhavin. We have limitations of what we can do. So definitely, and as a group, we will not do what is not possible.

Bhavin Vithlani: Sure. Sir, my last question is on the Abrasives front. As we've highlighted, there are 3 broad segments, retail, industrial and precision. Retail is where the pressure was. But I also understand is that within the precision and the industrial, automotive as a sector has a greater salience.

And as we are seeing pickup in the automotive production, I mean if you could just give us an outlook in terms of do we see rate of growth for the standalone Abrasives improving, because yesterday, our competitor also reported and they reported kind of a 6% growth. So your outlook over the next 3, 4 quarters, given the automotive pickup and how you are seeing w

ill be helpful?

Sridharan Rangarajan: I think as I said that our own reading is that the H2 for the Abrasives going to be better. First of all, if you look at Q2 versus Q1, we are seeing a pickup in terms of growth and we have grown about 7.5% plus and we expect Q3 and Q4 will be better on a few things.

One, our own retail network, the kind of inventories with them is kind of far more thinner at this point in time because of what they had experienced in the last quarter. So the benefit of GST plus the festival growth, et c., we should see this coming up in Q3 and Q4. So I would say that our expectation for us is definitely better in H2.

Moderator: The next question is from the line of Viraj from SiMPL.

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Viraj: I joined the call a little late. So pardon me if my question is repetitive. Sir, my question is largely on recent developments at Wendt. So post exit of 3M, we are primarily the de facto promoters in the company. And in the past, we have seen transfer of talent from them to CUMI as well.

And recently, we have seen exit of top leadership as well from them. So question is what is our play here now with the entity? And what is our aspiration and expectations from that company? And what will help us achieve those?

Sridharan Rangarajan: So thanks for this question. I would stick to commentary on the performance of CUMI here and I'm sure you appreciate our constraints on that. We should talk about CUMI, and I encourage you to focus on CUMI.

Moderator: The next question is from the line of Aditya Mongia from Kotak Securities.

Aditya Mongia: I just wanted to check with you, sir. So standalone business started to kind of grow over the last 3, 4 years at mid-to-high single-digit more towards mid and high. I'm talking overall business.

Could you give us a sense of what needs to change to accelerate the growth to higher levels? That's the first question and linked up to that is of the INR350 crores that you are spending in, is the split a lot more towards existing businesses or is it a lot more towards new lines of work?

Sridharan Rangarajan: Sorry, your second question is not audible. Could you be clear on that?

Aditya Mongia: Sure. What I was asking was that in that INR350 crores of capex, is it more inclined towards existing lines of work or is there a fairly meaningful share of new lines of work?

Sridharan Rangarajan: Okay, good. So I think what needs to happen to have a higher growth is the first question as far as standalone business is concerned. So I think this is the program that we have for a 5-year horizon from now till FY '30 is where the LTS work that we have prepared ourselves.

I think each of this business have come up with a set of actions, which would take the growth from the current level to a higher growth rate. We feel that each of them are definitely working towards that. I think we broadly shared last time around that. I think the Abrasives is largely going to focus on sharpening the go-to-market, introducing newer products through the NPD program.

Similarly, we also have a program of how do we source and scale. And these are the programs and of course, there are specific geographies today we are not present or have our market share is lower. So how do I make use of those. So these are the opportunities that we should see and pursue this.

In the Electrominerals, we said that scaling up in alumina more towards the treated grinds,

whether it is heat treated or silent treated or sol -gel-treated, blue -treated, zirconia -treated grinds, thereby increasing our alumina portfolio. At the same time, focus on the value -added products through additions of zirconia, zirmul , stabilized zirconia, etc ., and getting into new areas like thermal spray powders, et c. These are the programs as far as Electrominerals is concerned. As far as Industrial Ceramics is

concerned, our focus is largely in terms of how do we serve in newer areas like semiconductor, electronics, aerospace and defence and how do we prepare Carborundum Universal Limited
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ourselves for that, which is what is the program that each of them are working and in terms of the Refractory, it is mostly to scale up on the monolithic refractories.

Just broadly summarizing it. So these are the programs which will help us to accelerate the growth. What you have observed as there is a pickup, but will it pick up further. So the answer is yes, and these are the programs that we would work on. Of the INR350 crores, are you investing in new areas? And if so, how much? I would say a majority of this investment goes into newer areas is what I would share with you.

Moderator: The next question is from the line of Mohit Pandey from Citi.

Mohit Pandey: Sir, first question is on Metallized Cylinders. So I believe you mentioned in this quarter, there has been 20% growth. So just wanted to understand what are the capacity utilizations there now?

And are there any expansion plans here? The end market does look like growing quite smartly here. That would be question number one.

Sridharan Rangarajan: Yes. I think you are right. I think the end market is growing very strong. And I shared over 20% growth, which is what we are telling. And we are also parallelly looking at how do we prepare ourselves for an accelerated growth and so clearly, we have a program to address that.

Mohit Pandey: All right, sir. Sir, secondly, on the aerospace and defence ceramics. Is it possible to share more color around your offerings here where exactly which sub segments are they likely to find applications in? And have you already entered into any partnerships with any defence customers for R&D for them or how are you thinking about this?

Sridharan Rangarajan: Good. So the 2 broad areas that we work on is basically vehicle protection and body protection. These are the 2 broad areas that we are working on and so our strength is to prepare ourselves and supply the ceramics needed for that, for which we have some collaboration with DRDO and CGCRI, which are very much in place and the capabilities are very much there.

The third area is certification in terms of various international certification in terms of the penetration. So those are also fairly we have got about 4 different levels of certifications that we have got for our products and we are working with some of the leading suppliers for aerospace and defence in India. And definitely, these are the 4 broad kind of indicators that I can share.

This is how we are working on.

Mohit Pandey: Okay. Sir, just to clarify, so this is not just domestic opportunity. This is possibly international because I understand you said about some certification? Is that fair?

Sridharan Rangarajan: No, certification is required even to supply to the domestic market. And hence -- because that's basically -- you need to make yourself qualified to supply, and that's the basic threshold. So that is what we are doing. Our focus is domestic to start with.

Mohit Pandey: Okay, okay. Yes. Sir, and last question is more near term. So Ceramics, you mentioned in H2, you're looking at on standalone Ceramics a pickup. If you could give more color around whether this is based on certain order backlog that you already have or what should drive this pickup in H2 in Ceramics standalone?

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Sridharan Rangarajan: Right. This is based on the order backlog and the project execution time from the customers. So those are the basis for the estimation.

Moderator: The last question is from the line of Anupam Goswami from SUD Life.

Anupam Goswami: Sir, my first question is on the Ceramics. How do we look at it in a little long -term growth? We had good run

until now and its kind of supporting the other segments. So from here onwards, even beyond, let's say, '26, FY '27, '28, how is the market turning up for us? How is the newer product doing? And how do you see the growth sustaining?

Sridharan Rangarajan: In the Ceramics, I think I was just talking a little bit earlier, the growth trajectories are -- so there is an existing set of business and their own growth trajectory, which is basically either Engineered Ceramic products or Metallized Cylinders and the wear products. That's the growth

engines.

The second is the newer investments that we are making, which is basically in terms of semiconductor, electronics, aerospace and defence . So that will help us to accelerate the growth currently what we have. So these will be the 2 b road engines and which would drive the future growth of Ceramics.

Anupam Goswami: So until now we had about 20%, 22% sort of growth in Ceramics. Can we take this number going forward? Do we have that conviction here?

Sridharan Rangarajan: So we have been guided individually, but we have shared a broad guidance 2 calls back in terms of what we are looking at in the long -term trajectory. I think those should help you to make your projection, but we are quite upbeat about what we are trying to do.

Anupam Goswa mi: Okay. Sir, last on the new areas. Where do you see the revenues coming in? And how much of a contribution we can see from that? What is the scale of we can look at?

Sridharan Rangarajan: I think we broadly guided at the overall company level, 2 times in this period of the next 5 years. That's what we have broadly guided. So individually, we haven't shared any guidance but programs, we did share about that.

Moderator: That was the last question. Ladies and gentlemen, I now hand over the conference over t o the management for the closing comments.

Sridharan Rangarajan: Good. I think thank you all for participating. I would summarize, number one is what we have been guiding for this year, we are very much on track. Capex program is very much on track.

Balance sheet is strong and the trajectory that we all looked at for the LTS 2030, we are progressing well towards that.

So I would say that in terms of some of the specific items like issues on VAW, we need some resolution at the geopolitical level, whic h will help us to take this forward. But other than that, we are very much on track in rest of the progra ms that what we are looking at.

So thank you and all the very best.

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Moderator: On behalf of Kotak Securities, thank you for joining us. You may now di sconnect your lines.

Call: Feb 2026

4th February 2026

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Dalal Street , Fort Stock Code: 513375
Mumbai - 400001

National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
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Mumbai – 400 051

Dear Sir/Madam,

Sub: Transcript of the Investor Call

Pursuant to our letter dated 30th January 2026 informing the upload of audio recording of the investor call, please find enclosed a copy of the transcript of the Investor call and the same can be accessed through the following link.

Link: <https://www.cumi-murugappa.com/wp-content/uploads/2026/02/CUMI-Q3FY26-Earnings-Call-Transcript.pdf>

Request you to kindly take the above on record.

Thanking you

Yours faithfully
For Carborundum Universal Limited

Rekha Surendhiran
Company Secretary

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“Carborundum Universal Limited
Q3 FY '26 Earnings Conference Call ”
January 30, 2026

MANAGEMENT : MR. SRIDHARAN RANGARAJAN – MANAGING DIRECTOR –
CARBORUNDUM UNIVERSAL LIMITED
MR. G. CHANDRAMOULI – ADVISOR, INVESTOR RELATIONS –
CARBORUNDUM UNIVERSAL LIMITED

MODERATOR : MR. KUNAL SHAH – DAM CAPITAL ADVISORS LIMITED

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January 30, 2026

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Moderator: Ladies and gentlemen, good day, and welcome to Carborundum Universal Q3 FY '26 Earnings Conference Call, hosted

by DAM Capital Advisors Limited. As a reminder, all participants' line will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kunal Shah from DAM Capital Advisors. Thank you, and over to you, sir.

Kunal Shah : Yes, welcome to the Quarter 3 of FY26 earnings call of Carborundum Universal Limited. From the management side

today, we have Mr. Sridharan Rangarajan, the Managing Director and Mr. G. Chandramouli, the Advisor. At this point, I would like to hand over the call to the management for their opening remarks, post which we can take up the Q&A.

Thanks, and over to you, sir.

G. Chandramouli: Good morning. I'm Chandramouli. Let us start the proceeding with a disclaimer clause. During the call, we may make

certain statements which reflect our outlook for the future or which could be construed as forward-looking statements. These statements are based on management's current expectations and are associated with uncertainties and risks are more fully detailed in our annual report, which may cause the actual results to differ. Hence, these statements must be reviewed in conjunction with the risk that the company faces. Thank you.

Sridharan Rangarajan: Good morning to all of you and Happy New Year to all of you. A warm welcome to our third quarter earnings call for

the FY '26. Thank you for joining us today. So, we'll begin this call by providing an overview and then followed up by Q&A. On a stand-alone basis, sales in Q3 FY '26 was INR769 crores compared to INR712 crores in Q2 FY '26. This is a growth of 7.9%. Ceramic grew by 11.9% from INR228 crores in Q2 FY '26 to INR255 crores in Q3 FY '26.

Electro minerals grew by 7.9% from INR213 crores in Q2 FY '26 to INR229 crores in Q3 FY '26. Abrasives grew by 4.9% from INR308 crores in Q2 FY '26 to INR323 crores in Q3 FY '26.

Stand alone sales in Q3 FY '26 was INR769 crores compared to INR728 crores in Q3 FY '25. It's a growth of 5.6%.

Abrasives grew by 9.8%, Electro minerals grew by 8.9%. Ceramics dropped by 3.8%. On YTD 9 months basis, stand alone sales was INR2,179 crores compared to INR2,097 crores for the same period last year. This is a growth of 3.9%. Electro minerals grew by 7.3%, Ceramics grew by 1.7% and Abrasive grew by 1.3%.

At the stand alone level, PBIT of Q3 FY '26 grew by 32% compared to INR87 crores in Q2 FY '26. The PBIT for Q3 FY '26 was INR115 crores compared to INR110 crores in Q3 FY '25. This is a growth of 5.3%.

Stand alone PBIT margin increased sequentially from 12.2% in Q2 FY26 to 15% in Q3 FY26. This when compared to Q3 FY '25, is almost flat. At YTD 9 months level, Stand alone PBIT was INR369 crores compared to INR344 crores and a growth of 7.1%. PBIT margin increased from 16.4% in FY '25 to 16.9% in FY '26.

Standalone profit after tax for Q3 FY '26 was INR85 crores compared to INR64 crores in Q2 FY '26. This is an increase of 31% on a sequential basis. Compared to INR81 crores in Q3 FY '25, this is an increase of 4.9%. Profit margins in Q3 FY '26 was 6% compared to 2.8% in Q3 FY '25 and 5.8% in Q2 FY '26.

At the 9 months level, stand alone profit after tax in FY26 was INR294 crores compared to INR260 crores in the same period last year. This marks an increase of 12.9%. At the YTD 9 months level PAT margin in FY '26 was 13.5% compared to 12.4% in the same period last year.

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Moving to the consolidated results

Its. On a YTD 9 months basis, consolidated sales was INR 3,766 crores compared to INR3,635 crores in the 9 months of FY '25. This marks a 3.6% growth. Ceramics grew by 6.1%, Abrasives grew by 2.4% and Electro minerals was almost flat. Consolidated sales in Q3 FY '26 was INR1,273 crores compared to INR1,241 crores in Q3 FY '25. This marks a growth of 2.5%. Abrasives grew by 8.1% and Ceramics was almost flat. Electro minerals dropped by 3.6%.

On a sequential basis, consolidated sales in Q3 FY '26 was INR1,273 crores compared to INR1,287 crores in Q2 FY '26. This has marked a drop of 1.1%. Ceramic grew by 4.7%. Electro minerals grew by 0.6%. Abrasives dropped by 2.5%.

Coming to the bottom-line performance. Consolidated PBIT for Q3 FY '26 was INR109 crores compared to INR141 crores in Q3 FY '25. Consolidated PBIT in Q2 FY '26 was INR111 crores, which is almost flat compared to Q3 FY '26. At the 9 months level, consolidated PBIT was INR301 crores in FY26 compared to INR444 crores in FY '25. Consolidated profit after tax for Q3 FY '26 was INR76 crores compared to INR35 crores in the same period last time. The profit after tax of Q3 FY '25 includes an exceptional item related to VAW. At the Q3 FY '26 level, the PAT margin was 6% compared to 2.8% in Q3 FY '25. On a sequential basis, consolidated profit after tax for Q3 FY '26 was INR76 crores compared to INR75 crores in Q2 FY'26. At the YTD 9 months level, consolidated profit after tax was INR212 crores compared to INR264 crores in the same period last year. Profit after tax for the first 9 months of FY '25 includes exceptional item related to VAW. At the YTD 9 months level, the PAT margins were 5.6% compared to 7.3% in the same period last year.

I'll move now to abrasives.

Stand-alone abrasives recorded a sales of INR323 crores in Q3 FY '26 compared to INR294 crores in Q3 FY '25. This is a growth of 9.8%. The growth was broad-based, driven by retail, industrial and precision. On a sequential basis compared to the sales of INR308 crores in Q2 FY '26, this is a growth of 4.9% and on an YTD basis, INR917 crores is the total sales in FY '26, which is a growth of 1.3% compared to INR905 crores in the same period last year.

Consolidated Abrasives. Q3 FY '26 consolidated sales was INR569 crores with a growth of 8.1% compared to INR526 crores in Q3 FY '25. This growth was contributed by stand alone business, which grew by 9.8%.

Compared to Q2 FY '26, consolidates were lower by 2.5% moving from INR584 crores Q2 FY '26 to INR569 crores in Q3 FY '26. Stand alone business grew by 4.9%. Rhodius Abrasives had a small drop, which is in line with the seasonality. Consolidated sales for YTD 9 months in FY '26 was INR1,660 crores with a growth of 2.4% when compared to INR1,621 crores in the same period last year. At the YTD level, stand alone Abrasives grew by 1.3%. Now I will move to Rhodius. In Q3 FY '26, Rhodius achieved a net sales of EUR 14.8 million, which is a 3.5% drop over EUR 15.3 million in Q3 FY '25.

On a sequential basis, sales declined from EUR 17.4 million to EUR 14.8 million. Normally, Q3 is a lower quarter, 2.5 months quarter because of the Christmas vacations, et c. At the 9 months level, FY '26 Rhodius recorded sales of EUR 45 million compared to EUR 49 million. You might remember that we lost close to EUR 5 million sales in Q1 due to the shifting of warehouses in Q1.

Q3 FY '26, the loss after tax was EUR 0.84 million compared to the loss after tax of EUR 0.78 million in Q3 FY25. On a sequential basis, loss after tax increased from EUR 0.57 to EUR 0.84 million. At 9 months level, FY '26, Rhodius

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incurred a loss after tax of EUR 3 million. This is after a PPA write off of EUR 2.1 million. The loss of business due to shifting our warehouse in the is a predominant increase in further higher

losses. The 9-month loss after tax in FY '25 was EUR 0.89 million.

So, on a full year basis, we said in the last call that Rhodius will do same as last year in Q2, Q3 and Q4. So, this means an annual sales of 62.6 million. We now expect the full year sales to be about 60 million. We expect the full year loss to be in the range of EUR 4.5 million after write-off of PPA about 2.8 million.

AWUKO.

At the YTD 9 months level, Awuko recorded a sales of EUR 7.9 million compared to EUR 7.6 million in the same period last year. This represents a growth of 4.6%. For the quarter, Awuko recorded sales of EUR 2.4 million, which is a 3% growth over sales of EUR 2.3 million in Q3 FY '25. On a sequential basis, sales dropped by 19% from EUR 2.9 million in Q2 FY '26 to EUR 2.4 million in Q3 FY '26.

In Q3 FY '26, Awuko recorded loss before tax of EUR 2.7 million compared to the loss before tax of EUR 1.4 million in Q3 FY '25 and the loss before tax of EUR 1.5 million in Q2 FY '26. The higher loss is primarily due to no production during this period to optimise the inventory and hence, ability to recover the fixed set cost was lower. Besides this, there was also a small one-time expenditure that they incurred.

At the YTD 9 months level, FY '26, Awuko incurred a loss before tax of EUR 5.1 million compared to the loss before tax of EUR 3.7 million in the same period last year.

Now I'll cover the bottom-line performance of the Abrasive segment. Consolidated abrasive PBIT in Q3 FY '26 was INR20 crores with a drop of 28% compared to PBIT of INR28 crores in Q3 FY '25. This was an account of PBIT drop in Awuko.

On a sequential basis, PBIT of consolidated abrasives declined from INR33 crores to INR20 crores. This drop is, again, mainly on account of Awuko. At the YTD 9 months level, consolidated PBIT in FY '26 was INR65 crores compared to PBIT of INR118 crores for the same period last year. The drop is contributed by Rhodius, Awuko and the stand alone Electro minerals.

Stand alone Electro minerals recorded a sales of INR229 crores in Q3 FY '26 compared to INR211 crores in Q3 FY '25. This marks a growth of 8.9%. The growth was driven by export segment, which is a very substantial progress that we have made. On a sequential basis, sales of INR229 crores in Q3 FY '26 represents a growth of 7.9% compared to sales of INR213 crores in Q2 FY '26. Sales for the YTD 9 months period was at INR654 crores, which is a growth of 7.3% compared to the INR 609.8 crores of last year.

Consolidated EMD sales for YTD 9 months FY '26 was INR1,204 crores with a growth of 0.5% as compared to INR1,119 crores for the same period last year. At the YTD level, standalone Electro minerals grew by 7.3%. Foskor grew by 16.6%, VAW dropped by 25%. Drop in VAW reflects due to the U.S. sanctions, which was imposed in January 2025.

Compared to Q2 FY '26, sales was almost flat moving from INR399 crores to INR401 crores. Standalone business grew by 7.9%. and I think, there was a decline in Foskor as well as in VAW. Q3 FY '26 sales was at INR401 crores

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with a drop of 3.6% compared to INR 416 crores in Q3 FY25. Stand alone business grew by 8.9%, and VAW dropped by 28%. Foskor grew by 6.5%.

Now going to VAW. At the YTD 9 months level, VAW recorded sales of RUB 4.8 billion compared to RUB 7.6 billion in the same period last year. This represents drop 36% drop over the last year. VAW came under sanction since January 2025. For the quarter, VAW achieved a sale of RUB 1.4 billion, which is a drop of 46% compared to the last year same period at RUB 2.6 billion.

On a sequential basis, sales declined from RUB 1.5 billion to RUB 1.4 billion, almost flat. At the YTD 9 months level, VAW recorded profit after tax of RUB 414 million compared to profit after tax of RUB 35 million in the same period last year.

We move to

the Foskor. At the YTD 9-month level, Foskor recorded a sale of ZAR 336 million compared to ZAR 308 million in the same period last year. This represents a growth of 9% over the last year. Sales volume went up substantially, 28% growth. At the same time, the realisation fell by 13% because of the price pressure from Chinese competition. In addition to that, rand appreciated by 6%, very strong appreciation because of the rand appreciation, coupled with the price drop and the volume increase, the net result is sales value increase of 9%. In Q3 FY '26, Foskor achieved the sales of the ZAR 101 million, which is a 4.5% decrease over ZAR 106 million in Q3 FY '25. Again, volume went up. However, the realisation dropped by 13%, volume went up by 22%, rand appreciated by 8% and so that's the basic reason for the gain impact.

On a sequential basis, sales declined from ZAR 114 million in Q2 FY '26 to ZAR 101 million. The volume remained flat, and the sales drop is due to the rand appreciation in the same period. At the 9 months level Foskor recorded loss after tax of ZAR 66 million compared to loss after tax of ZAR 22 million in the same period last year.

Q3 FY '25, Foskor made a profit after tax of ZAR 10 million. In Q3 FY '26 this became loss after tax of ZAR 24 million. This drop in profit is predominantly due to the drop in price and appreciation of rand and on sequential basis loss after tax was almost flat.

Now, I'll cover the bottom performance of the segment. On a sequential basis, PBIT of consolidated EMD increased from INR33 crores to INR34 crores in Q3 FY '26. This is a 16% increase sequentially.

Consolidated Electro minerals PBIT for Q3 of FY '26 was at INR35 crores to a drop of 48.7% compared to INR68 crores in Q3 FY '25, mainly on account of PBIT drop in VAW and Foskor. At the 9 months level consolidated Electro minerals PBIT was INR72 crores compared INR168 crores in the same period last year. At the 9 months level, margins have declined from 14% in FY25, to 6.0% in FY26.

I'll move to Ceramics now, consolidated Ceramics. Sales for YTD 9 months in FY '26 was INR917 crores with a growth of 6.1% and compared to INR864 crores in the same period last year. At the YTD level stand alone ceramics grew by 1.7%. Compared to Q2, sales were higher by 4.7%, moving from INR301 crores to INR316 crores. In Q3 FY '26, sales was INR316 crores with a growth of 0.4% compared to Q3 FY '25 at INR315 crores.

Stand alone Ceramics

Standalone Ceramics recorded sales of INR255 crores, which is a growth of 11.9% compared to INR228 crores in Q2 FY '26. In Q3 FY '26, sale of INR255 crores dropped by 3.8% compared to INR265 crores in Q3 FY '25. At YTD level, sales was INR721 crores, which is a growth of 1.7% compared to INR 710 crores in the same period last year.

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Now total debt position, there was no debt in stand alone books. The total consolidated debt was about INR290 crores in Q3 FY26, compared to INR210 crores in Q2 FY26 and, INR108 crores in the same period last year.

The debt-equity ratio is 0.07 at the consolidated level. Cash and cash equivalents at the consolidated level without VAW was INR385 crores.

CAPEX - During the first 9 months, the capex investment is INR248 crores compared to INR209 crores same period last year. We said we will spend INR350 crores for the full year, and we feel that we should be completing that INR350 crores of capex.

I'll come to the guidance. During the last call, I said, growth in consolidated sales could be 5.5% to 6.5%. I maintain the same guidance. Consolidated Ceramics, we communicated a sales growth of 16% to 18% in the beginning of the year. We marginally bring this down from 13% to 14%.

Abrasives sales in our last call, we communicated to 4% to 5% for the year. I maintain the same.

Consolidated EMD, we gave a guidance of

1% to 2% sales growth. I maintain the same.

Margins.

In the Ceramic segment, we communicated PBIT margin of 23.5% to 23.7% on a full-year basis. We are likely to be at 21% to 22%.

EMD in the last call, we said 4.5% to 5.5% is the PBIT margin. We maintain the same guidance.

Abrasives, last time, we said PBIT margin would be 6% to 6.5% on a full year basis. We now revised that to 4% to 4.5%.

We said the last time, the overall consolidated PBIT margin could be 8.2% to 8.5%. This could be 7% to 8%.

On the capex side, we said we will spend INR350 crores on a full year basis. We spent so far INR248 crores on a 9 -

month basis. We maintain the full -year guidance of INR350 crores of capex .

I now open up for a Q&A and then we will conclude the call. Thank you.

Moderator: The first question is from the line of Amit Anwani from Prabhudas Lilladher Capital.

Amit Anwani: So, first question for the reduced guidance in Ceramics, and we can see that even stand alone business is kind of 4%

down. So, could you explain what went wrong? And within that, is it the exports from Ceramics which has also been impacted and versus the technical and wear ceramics, how the situation in Ceramics since we are expecting some recovery after Q1, Q2, and we are again revising down the guidance for Ceramics?

Sridharan Rangarajan: So, I think we are not again revising. This is the first time I'm bringing it down. We feel that I think Ceramics, Q4 will

be a strong quarter, first of all, because we feel that Ceramics on a full year basis, the projects are getting delayed, and that is what is causing us this challenge of Q3. But I think if you look at sequentially, they have done well on a stand alone basis and we feel that Q4 will be a very strong quarter based on the order backlog that what we have.

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However, we expect that there could be delays in some of the projects like, for example, while we have an order, the ability to ship depends on the inspection by the customers, and there could be some delays. Hence, we are cautiously bringing this down. We felt that there could be some challenge. Hence, we are bringing it down. So that's what I would think so. It is not anything at this point in time, we feel otherwise.

Amit Anwani: So, what's the kind of exports contribution in Ceramics for first 9 months?

Sridharan Rangarajan: If you see a blended rate, it could be in the range of around 50% to 55%. and industrial ceramics, it could be as high

as 75% because it's a combination of two businesses.

Amit Anwani: Right. Sir, second question on the recently concluded EU FTA, and we have exposure to Europe and in fact, when we

acquired the subsidiaries, we were talking about synergies and cross -sell. So, any reading you have for your businesses from this FTA? And if you could explain more, could it be of benefit to you?

Sridharan Rangarajan: So, I think right now, it's too early at this stage. So, I feel overall FTA will be beneficial to us. Right now, we are under

the MFN category. So hence, definitely compared to that rate, MFN FTA rate will be definitely lower, at least to the extent of about 4% to 5% lower which definitely increases our competitiveness. Hence, it is more beneficial to us.

Amit Anwani: Am I audible?

Sridharan Rangarajan: Now you are audible, yes. Again, you are not audible.

Amit Anwani: I think there is some line issue. Is it better?

Moderator: Amit, go ahead with your question.

Sridharan Rangarajan: We can take the next question and then let him come on the queue.

Moderator: Okay. Thank you Amit.

The next question is from the line of Harshit Patel from Equirus Securities. Please go ahead

Harshit Patel: Firstly, on A wuko and Rhodius , while you have outlined your performance so far in the 9

months of FY '26, can you

broadly highlight how we should think about revenue growth and margin development for both these companies for the next year, that is FY '27?

Sridharan Rangarajan: I will share the details more in the next call, Harshit, because we will be doing the roll up at that time, we'll be able to

share at that time and I strongly feel that the current challenge of A wuko, which is like a marginal top line growth is our key concern and I think we will reflect on that and when we meet in the next call, we'll share this more.

Harshit Patel: Sure, sir. In terms of the next quarter, which is the fourth quarter, will it be broadly on similar lines as to what we have

seen in the third quarter? Or would there be a material improvement sequentially for the January to March quarter?

Sridharan Rangarajan: You are talking about A wuko ?

Harshit Patel: Correct. Both, sir, both A wuko as well as Rhodius .

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Sridharan Rangarajan: Yes, yes. Okay. So A wuko will be on the similar trend is what our reading is, and we feel that the current trend would

continue, and it could be better compared to the profitability because of the expenses getting spread over the production process because last quarter, we did not manufacture.

So hence, the fixed cost absorption was practically zero. So that was the cause. But going forward, that would be a

slight benefit on that. But top line, we are expecting to be on the similar trend and as far as Rhodius is concerned, I feel normally Q4 is a better quarter compared to the Q3 because Q3 is a Christmas quarter. So that benefit I expect that it would come in terms of the top line.

Harshit Patel: Understood, sir. Secondly, on domestic abrasives, China has recently removed the export rebate on abrasives

products including grinding wheels from 9% to 0%. This will be in effect from April onwards. Can this translate into a tangible improvement in the domestic market share for us over time?

Sridharan Rangarajan: So, this is a positive news as far as the Indian market is concerned and across. I mean, abrasives is one such product,

but many products, the export benefit drop would benefit this. So, we think that this is a positive information, and it would definitely help us to strengthen our position.

Harshit Patel: Understood. Sir, lastly, on Foskor Zirconia. This particular business has continued to impact our margins and profit

negatively. Even in the first half of FY '26, we have incurred a PBT loss of around INR25 crores in INR terms. On top of that, there is further loss in the third quarter as well.

So, what is the outlook on this business? And how do we plan to improve the performance here? I remember a few years ago, we had also planned to divest this particular business. But I think since then, nothing has happened on that front. So, if you can provide some outlook on this business, that will be very helpful.

Sridharan Rangarajan: Yes, I think it's a good question. So, Foskor does trouble us a lot and definitely impacting us. So right now, what we

are doing is they have two products, ZC and Z450 and ZC is having higher losses. So, we have tapered down the ZC business. We are only focusing on Z450. So, the Q4 will have only Z450 operation, and we want to see how that performance is. If it is going to improve, that is fine. If not, we need to take a firm call. So, this is what our current approach is.

Moderator: The next question is from the line of Harshit Patel from Equirus Securities.

Harshit Patel: Sir, in the domestic Electro Minerals business, what is the mix between domestic revenues and exports within our

stand-alone business? Also, is there any material difference in margins between these two?

Sridharan Rangarajan: So yes, the mix is improving more towards the export. That is helping us a lot. I think our aim is to have a 3

0% mix,

that is 30% export mix on a long-term basis, but the current trend shows that even now, we are very close to that.

Harshit Patel: Understood. Sir, secondly, in our stand-alone Ceramics business, which has barely grew by around 1.5% to 2% in the

first 9 months of FY '26. So could you highlight the performance and growth rates of different sub-segments, mainly refractories, wear ceramics, industrial ceramics. If you could give us a flavour on which of the segments have grown and which haven't, and based on your assessment, how FY '27 will look like for all these sub-segments?

Sridharan Rangarajan: So we have two broad segments within that, which is ceramics and refractories. But the way we discussed in the last

few calls, the set of businesses we have engineered ceramics, some of the fire refractories, all that growth, we are looking at growth of 20%.

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Our challenge continues to lie in the wear ceramics and also the project-based fire refractory business, bunching of the product and that is happening or that's going to happen in Q4 is one of the reasons that we are looking at a muted 9 months one. So, we expect the full year basis, they will be strong. Wear ceramics continues to have this challenge.

Largely, we feel that one, the ceramic business in U.S., particularly in the last 2 quarters, were sluggish. The end customers on many projects have delayed and deferred because of the uncertainty in the tariff, not just because of us, I'm just saying as a project.

We are only a small supplier in that, but because they are actually going to face many import costs. So, a lot of them have deferred this trying to get clarity in terms of how it is going to happen. So that 2 quarters is causing this challenge.

We think -- the information we are getting is that people more and more now start firming up their project and start moving ahead. So that should come back. So, this is how I read the ceramic business as a whole. And as we guided ceramic business, we've given a guidance at the consolidated level. But in the ceramic, obviously, India becomes forming a major portion. We expect that overall growth rate, we know that the current rate is 1.7%, but we expect this to be in the range of about 9% to 11% at the full year level.

Moderator: The next question is from the line of Jonas Bhutta from Birla Mutual Funds.

Jonas Bhutta: So, I would appreciate your comments while you said that you'll give out a separate guidance for both the businesses,

the A wuko and Rhodius probably with the Q4 results and just like Foskor, sir, do you sort of have a time frame as to when you will keep evaluating these businesses, whether they remain -- are something that are sort of meeting the targets that you had set out at the time of their acquisition as in you bought them for a particular reason?

And I know maybe 3 years, or 4 years is not a good enough time to sort of evaluate these businesses because we buy it for the long term. But just curious to know as to what are the steps that you are taking to sort of see that whether these fit probably just like you're going to take a call on Foskor. So, what is the timeline that you've given yourself on this?

Sridharan Rangarajan: Yes. I think, again, a good question. Foskor, as I communicated, probably 1 quarter to 2 quarters, we will take a call.

And A wuko, we think that we should take a firm call in a year's time.

Jonas Bhutta: Understood and just out of curiosity, sir, again, what is the cap -- while we bought it for, I think, EUR 5 million or EUR 6 million, what has been the total loss funding that we've done insofar as the losses that we would have incurred in the last 3, 4 years ever since we acquired them?

Sridharan Rangarajan: Yes, yes. I think we have incurred a loss of close to about EUR 30 million and this is over the last 4 years' period.

Jonas Bhutta: Sure, sure. My second question, sir, was on Ceramics. About 2 years back, sir, we've seen a phenomenal growth and

for the past 4, 5 years up until maybe fiscal '24 and predominantly driven by these new age applications in SOFC, cells, et cetera. The business of the company that was giving us those orders seem to be booming. Is it already reflective in the sales of Ceramics for the past 2 quarters?

Or that is something -- that's the upside that's potentially going to come going forward? Because, again, the communication was that the intensity of Ceramics in these products is likely to go up and our wallet shares will sort of trend higher. So, I'm just, again, wanting to know whether that's already reflective of the upside in the last 2, 3 quarters?

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Sridharan Rangarajan: So, I think your pointed observation is well noted. I think on the Ceramics side, the businesses that we are serving to

SOFCs and some of the high-end ones, they are growing pretty high. As I said, it's north of 20% is the growth that we are having and we also have a very sizable, good order book. In fact, we bagged the highest-ever order in the last quarter from them.

So, we seem to be doing fine there. So, challenge, as I explained to you, comes largely from the wear ceramic side, which is what is causing and probably once the project starts kicking in, in America, I think this should start getting better. And then you will start seeing the overall growth would also start looking better. So, two broad reasons.

One is that side. The other side is the refractory projects bunching that is happening in Q4. So, these are the two broad reasons why we are seeing a muted growth up to 9 months. Still I'm -- as I guided on stand-alone 9% to 11% on a basis ceramic, we will still do that because you will see a strong Q4 on that. And then you will start seeing a better growth in FY '27 and some of the businesses that you are hinting are really supporting our growth there.

Jonas Bhutta: Got it. I appreciate your responses sir. All the best

Sridharan Rangarajan: Thank you

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Sridharan Rangarajan: Good. I thank you all for participating. I would like to summarize as follows. I think, of course, you don't have the

business plan, but we are tracking to the business plan at 9 months level and we think that we have worked on all the major efforts in terms of our long-term strategies for Ceramics, Electrominerals and Abrasives.

Capacities are being created and our investment progress is pretty much in line. That's why we are also maintaining the guidance of INR350 crores. All the programs in terms of technology tie-ups, working with partners in two broad areas are all progressing well. People addition, getting key leaders' part of this new and improved programs that we are looking at are all also happening in parallel. So, I would say while we focus on the current and future also, we are securing well.

Abrasive growth in Q3 is encouraging. We think that this trend should continue. We feel Q4 will be a strong quarter for Ceramics based on the projects that they have tied up. Electro minerals is showing good come back, very good margin recovery that they have shown. Their ROCs are also looking good.

So overall stand alone has done an exceptional job. We think that Q4 could be better in stand alone. We do have challenges at Foskor Zirconia, A wuko and I think we would take appropriate actions on this. Rodius is doing fine, but I think we can get better at it. We will do work on that. So, with that background, I thank you for all your patience and time in attending this call. Thank you.

Moderator: On behalf of DAM Capital

Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

21st May 2026

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Mumbai - 400001

National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
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Mumbai – 400 051

Dear Sir/Madam,

Sub: Transcript of the Investor Call

In continuation of our letter dated 15th May 2026 informing the upload of the audio recording of the Investor Call held with analysts/investors, please find enclosed the transcript of the said call.

The aforesaid transcript is also available on the Company's website and can be accessed at the following link:

Transcript link

Request you to kindly take the above on record.

Thanking you

Yours faithfully
For Carborundum Universal Limited

Rekha Surendhiran
Company Secretary

Encl: As above

"Carborundum Universal Limited Q4 FY'26 Earnings
Conference Call"

May 15, 2026

MANAGEMENT : MR. SRIDHARAN RANGARAJAN – MANAGING

DIRECTOR , CARBORUNDUM UNIVERSAL LIMITED
MR. G. CHANDRAMOULI – ADVISOR, INVESTOR
RELATIONS , CARBORUNDUM UNIVERSAL LIMITED
MODERATOR : MR. HARSHIT PATEL – EQUIRUS SECURITIES PRIVATE
LIMITED

Carborundum Universal Limited
May 15 , 2026

Moderator: Ladies and gentlemen, good day and welcome to Carborundum Universal Q4 FY26 Earnings Conference Call hosted by Equirus Securities Pvt Ltd.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded . I now hand the conference over to Mr. Harshit Patel from Equirus Securities. Thank you and over to you, Mr. Patel.

Harshit Patel: Thank you. Hello, good morning to everyone. We welcome you to Carborundum Universal Q4 FY26 and Full Year FY26 Earnings Conference Call.

We have with us from the Management , Mr. Sridharan Rangarajan – Managing Director, and Mr. G. Chandramouli – Advisor - Investor Relations.

I would now request the Management to give their opening remarks on how the 4th Quarter as well as full FY26 went by and provide some outlook for the future. Over to you, sir.

G. Chandramouli: Good morning. I am Chandramouli.

Let us start the proceedings with a disclaimer :

During this call, we make certain statements which reflect our outlook for the future, or which could be considered as a forward -looking statement. These statements are based on management current expectations and are associated with uncertainties and risks are more fully detailed in our annual report, which may cause the actual result to differ. Hence, these statements must be reviewed in conjunction with the risks that the company faces.

Thank you.

Sridharan Rangarajan: Thank you. Good morning to all of you and a very warm welcome to our 4th Quarter and Full Year Earnings Call for the Financial Year FY26. I trust you and your family members are safe and healthy.

We will begin this call by providing an overview of the Company's performance for the full year FY26 and Q4 FY26, followed by an outlook for FY27. We also plan to share some glimpses of our Aspiration 2030 later in the call.

To start with standalone sales :

On a full year basis, standalone sales in FY26 was INR 3,024 crores compared to INR 2,784 crores in FY25. This is a growth of 8.6%. It may be noted that the Company has crossed the mark of INR 3,000 crores in standalone revenue this year. Growth at standalone level was driven

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by the Electrominerals segment, which grew by 11.1%, recording a sales of INR 906 crores compared to INR 815 crores last year.

Ceramic segment grew from INR 939 crores last year to INR 1,000 crores in this year. This is a growth of 6.5%.

Abrasives increased from sales of INR 1,195 crores in FY25 to INR 1,270 crores in FY26, marking a growth of 6.2%.

Across the standalone segment, growth rebounded strongly over H2 and particularly in Q4 FY26. Standalone sales increased from INR 1,410 crores in H1 FY26 to INR 1,614 crores in H2 FY26, reflecting a strong sequential growth of 14.4%.

On a year -on-year basis, H2 FY26 grew by around 14.1% compared to INR 1,415 crores in H2 FY25. You may note that H1 FY26 was only marginally higher by about 3%.

Standalone Abrasive grew from INR 594 crores in H1 FY26 to INR 675 crores in H2 FY26, which is a growth of 13.7% on a sequential basis. On a year -on-year basis, Abrasive grew 15.6% compared to the last year same period.

Ceramics increased from INR 466 crores in H1 FY26 to INR 534 crores in H2 FY26, marking a sequential growth of 14.5%. Year -on-year, it grew by 8% in H2 FY26 and 4.9% in H1 FY26.

Electrominerals grew from INR 425 crores in H1 FY26 to INR 481 crores in H2 FY26, an increase of 13.2% sequentially. On a year -on-year basis, the segment delivered strong growth of 15.5% in H2 FY26 and 6.5% in H1 FY26.

Overall, the growth in H2 FY26 was broad -base

d across all segments, with Abrasives, Ceramics, Electrominerals all contributing double -digit sequential growth, leading to a strong performance

in comparison with H2 FY25, as well as in comparison to H1 FY26.

In Q4 FY26, standalone Sales recorded at INR 845 crores, compared to INR 769 crores in Q2 FY26, reflecting a sequential growth of 9.9%, compared to INR 687 crores in Q4 FY25. Sales grew by 23.1% in that period.

Abrasives grew from INR 323 crores in Q3 FY26 to INR 353 crores in Q4 FY26, marking an increase of 9.3% sequentially and compared to Q4 FY25, it recorded a strong growth of 21.5%. Ceramic increased from INR 255 crores in Q3 FY26 to INR 279 crores in Q4 FY26, marking an increase of 9.2% sequentially and compared to Q4 FY25, it grew by 21.7%.

Electrominerals rose from INR 229 crores in Q3 FY26 to 252 crores in Q4 FY26, marking a growth of 9.7% sequentially and compared to Q4 FY25, it grew by 22.3%.

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Standalone profit after tax :

FY26 PAT was INR 416 crores, compared to FY25 PAT of INR 322 crores, reflecting a growth of 29.4% year-on-year. The PAT of FY26 includes a dividend from one of the subsidiaries of about INR 76 crores.

H1 FY26 PAT stood at INR 209 crores, compared to H1 PAT of INR 180 crores, registering a growth of 16.4%. H2 FY26 PAT was INR 207 crores, compared to H2 FY25 PAT of INR 142 crores, a strong growth of 45.9%.

Q4 FY26 PAT came in at INR 122 crores, compared to Q4 FY25 PAT of INR 61 crores, resulting in doubling of profit in this quarter.

Now I would move to the consolidated results :

Consolidated sales on a full-year basis was about INR 5,149 crores in FY26. This marks a growth of 6.5% over the sale of INR 4,833 crores in FY25. It may be noted that the Company has surpassed the mark of INR 5,000 crores in the consolidated revenue this year.

Consolidated growth was driven by Ceramic segment, which grew from INR 1,160 crores to INR 1,268 crores, marking a growth of 9.3%.

Consolidated Abrasive segment grew by 5.1%, from INR 2,159 crores to INR 2,271 crores.

Consolidated Electrominerals grew by 3.7%, going from INR 1,574 crores to INR 1,632 crores.

The muted consolidated Electrominerals growth reflects the higher base in FY25 due to VAW. You will note that VAW was sanctioned in January 2025, so in FY25 VAW had a normal sale of three quarters.

In Q4, FY26 consolidated sales were INR 1,383 crores compared to INR 1,199 crores. This is a growth of 15.4%. Growth in Q4 was driven by Abrasives which grew by 13.4%, Ceramic which grew by 18.6%, Electrominerals which grew by 14.0% over Q4 '25. Compared to Q3 '26 which recorded sales of INR 1,273 crores, sales in Q4 grew by 8.7%.

During the last call, I said the consolidated sales would go by 5.5% to 6.5%. Against this, we have recorded a growth of 6.5%.

Now I will cover the consolidated profit :

Consolidated PBT before exceptions in FY26:

Consolidated profit before exceptional items and taxes stood at INR 416 crores compared to INR 572 crores in the previous year, reflecting a drop of 27.2% year-on-year. The majority of this decline was on account of VAW almost about INR 87 crores, Foskor almost about INR 22 crores, Awuko INR 19 crores, Rhodius about INR 46 crores. I will cover these in detail later.

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Exceptional items - Foskor and AWUKO:

In FY26, exceptional items amounting to INR 135 crores have been recorded in the consolidated financial statement. In FY25, there was an amount of INR 104 crores for the provisions relating to the foreign currency deposit and receivable outside of CUMI Group following the imposition of sanctions in January 2025.

During the financial year, CUMI International Limited, the holding company of Awuko, approved to initiate the closure of Awuko through a voluntary winding-up process under the applicable laws in Germany, considering

the continued underperformance of the subsidiary with the mounting losses and its inability to turn around in view of the prevailing market conditions. So, exceptional items relating to this closure amounts to INR 119 crores.

Foskor Zirconia (Pty) Limited is a subsidiary of CUMI International Limited. CUMI holds 51% stake in Foskor Zirconia indirectly. Foskor Zirconia has not been able to achieve sustainable profits since 2013, despite several strategic and operational restructuring initiatives undertaken in the past. Further, the escalation in electricity and other input costs in South Africa, coupled with the intensifying global competition and foreign exchange fluctuations, has rendered the

business commercially unviable. Turnaround initiatives have been adversely impacted by the prevailing market conditions, marking the continuation of operations unsustainable. Accordingly, the Board of Foskor Zirconia, based on the recommendations of the management, has concluded that it is not in a position to continue the operations and there is no realistic alternative and will be seeking requisite approvals in this process. Accordingly, the consolidated FY26 financials include the impact of INR 16 crores relating to the write-down of various assets to the realisable value.

I will cover the profit before interest and tax :

Standalone PBIT:

At standalone level, the business reported a total PBIT of INR 525 crores in FY26 as compared to INR 425 crores in FY25, reflecting a strong growth of 23.4%. Segment results of INR 491 crores in FY26 is marginally higher than the results of INR 489 crores in FY25.

At segment level, Electro minerals delivered a strong performance, increasing from INR 63 crores to INR 82 crores, registering a robust growth of 31.1%.

Abrasive PBIT was INR 195 crores in FY26 compared to INR 193 crores in FY25, registering a marginal growth of about 0.9%.

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Ceramics declined from INR 233 crores to INR 214 crores, reflecting a drop of 8%. We will cover this later in the call.

Consolidated PBIT:

Consolidated PBIT was INR 404 crores in FY26 compared to INR 541 crores in FY25. This marks a decline of 25.3%. The drop is due to VAW, Foskor, Awuko and Rhodius. As I explained earlier, I will cover this later in detail.

I will go to the segmental performance.

Abrasive segmental performance :

Consolidated Abrasives recorded a sales of INR 2,271 crores in FY26 as compared to INR 2,159 crores in FY25, registering a growth of 5.1%.

On a quarterly basis, sales of INR 610 crores in Q4 FY26 grew by 13.4% compared to INR 538 crores in Q4 FY25.

On a sequential basis, sales grew from INR 569 crores in Q3 FY26 to INR 610 crores in Q4 FY26, reflecting a growth of 7.2%.

Consolidated Abrasive sales growth was driven by growth in the standalone segment, Rhodius Abrasives, Awuko Abrasives, CUMI America and Sterling Abrasives. During our last call, I communicated a sales growth of 4% to 5% in consolidated Abrasives we can expect, we are now at a growth of 5.1%.

Now, I will cover standalone Abrasives:

At standalone level Abrasives recorded a full year performance of INR 1,270 crores in FY26, as compared to INR 1,195 crores in FY25, reflecting a growth of 6.2%.

On a half-yearly basis, H1-26 stood at INR 594 crores against INR 611 crores in H1-25, registering a decline of 2.8%. However, in H2 showed a strong recovery, increasing to INR 675 crores from INR 584 crores in H2 FY25, reflecting a growth of 15.6%.

The overall performance improved from INR 594 crores in H1 FY26 to INR 675 crores in H2 FY26, marking a growth of 13.7% sequentially.

Overall, the full year growth was driven by a strong rebound in the second half. You would note that the business faced issues such as inventory correction from the dealer channel, unseasonal rains which delayed construction activity in some markets, tepid

demand in the industrial

segment and a short period of caution in the northern markets following the Pahalgam attack.

We undertook a range of go-to-market initiatives, including market expansion activities such as dealer appointment, new product introduction, branding of established products in newer

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geographies, onboarding of key potential OEMs as customers and a host of other initiatives.

Besides this, implementation of GST rate rationalization and a rebound in festival season demand provided a growth impetus.

I will move to Rhodius Abrasives.

Rhodius Abrasives in FY26 was EUR 61 million compared to sales of EUR 67 million in FY25.

This marks a decline of 8.8%. In Q1 FY26 Rhodius made a transition to a new third-party logistics partner, considering the long-term operational efficiencies. This transition resulted in a loss of sales of about EUR 5 million. We communicated this earlier with you. While operations resumed to normalcy by Q2 FY26, the lost sales in Q1 FY26 could not be regained over the rest of the years.

Overall, I think they delivered sales of EUR 61 million compared to EUR 67 million. We expect

sales in FY27 to grow by 5% in FY27. The PAT loss in FY26 was EUR 2.6 million compared to EUR 0.2 million in FY25. We expect FY27 the PAT to be a very small loss.

Awuko Abrasives:

Awuko recorded a sales of EUR 10.5 million in FY26 compared to sales of EUR 10.1 million in FY25. This is a growth of 4.6% in Euro terms. The loss before exceptional and tax increased from EUR 6.6 million to EUR 7.7 million in FY26. This marks an increase of 15.8%. Losses were higher in Awuko on account of various factors. Anyhow, we have decided to wind down the Company as following the legal process as given by the respective countries.

Abrasive PBIT in the standalone Abrasive s FY26 recorded a marginal growth of 0.9% year-over-year. Looking at the half-year dynamics, there was a strong sequential recovery with the H2 FY26 growing by approximately 31.3% over H1 -26. While there was a significant gain in the momentum over H2 due to reasons explained earlier, the impact of lower volumes in H1 and the resultant lower cost absorption offset the profitability gains in H2.

The standalone PBIT margin percentage decreased from 16.1% in FY25 to 15.3% in FY26, and 81 bps drop. This decline was mostly on account of the lower volume in H1 FY26.

At the consolidated level, PBIT margin dropped by 36.2% going from INR 151 crores in FY25 to INR 97 crores in FY26. Higher losses at Rhodius, Awuko contributed to this decline.

RHODIUS Lost INR 45 crores versus nearly INR 0.44 crores in FY25 and Awuko INR 75 crores of loss versus INR 58 crores of loss last year.

At the consolidated level, PBIT percentage of Abrasive s segment dropped from 7.0% to 4.3%.

During the last call, I said PBIT margin of Abrasive would be 4% to 4.5%. We are now at 4.3%.

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EMD segmental performance :

Consolidated Electrominerals :

Consolidated Electrominerals recorded sales of INR 1,632 crores in FY26 compared to sales of INR 1,574 crores in FY25. This marks a growth of 3.7%. The growth at consolidated level is entirely on account of lower sales at VAW Russia, which declined by 22% in INR terms in the Electrominerals segment.

VAW Russia :

In rouble terms, VAW recorded sales of almost 6 billion rouble s compared to 9.4 billion rouble s in FY25. This marks a decline of 35.3%. Sales in Abrasive s segment in VAW was about 14% lower compared to FY25. Sales in Ceramic s segment was lower by 31% compared to FY25. Profit before exceptional items and tax of the entity declined from 1.7 billion in FY25 to rouble 617 million in FY26. Lower sales and profits are on account of the sanctions imposed by the USA, despite the volume being considerably lower, the business continues to be profitable at its current level of operation.

el of operation.

Standalone Electrominerals:

Stand alone Electrominerals recorded a full year performance of INR 906 crores in FY26 as compared to INR 815 crores in FY25, reflecting a strong growth of 11.1%. On a half-yearly basis, H1 -26 stood at INR 425 crores against INR 399 crores in H1 -25, registering a growth of 6.5%. H2 FY26 increased to INR 481 crores from INR 416 crores in H2FY 25, reflecting a stronger growth of 15.5%. Sequentially, the performance improved from INR 425 crores to INR 481 crores, with a growth of 13.2%.

Overall, the full year growth was driven by stronger growth in exports. Exports grew by 100% from FY25 to FY26 and currently contribute to little over 33% of the total sales, compared to 11% of the sales in FY25.

Exports were driven by leveraging business existing relationships with many global OEMs across Abrasive s and Refractories. Introduction of treated grains, coupled with anti-dumping duties against Chinese grains by EU, all helped to achieve this.

Foskor Zirconia (Pty) Limited:

Sales at Foskor Zirconia recorded ZAR 461 million compared to ZAR 415 million in FY25.

This marks a growth of 11.2% in RAND terms. The loss after tax without exceptional effect increased from ZAR 27 million in FY25 to ZAR 77 million in FY26. In ZAR terms, loss before exceptional items and tax increased from ZAR 37 million in FY 25 to ZAR 77 million in FY26. The volatility in Zircon Sand price, drop in ZAR 450 price and an appreciation of the RAND against the US dollar impacted the bottom line and hence the losses increased.

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So, we decided to find that this is not viable anymore to continue.

Electromineral s PBIT :

Consolidated PBIT on a full year basis, recorded INR 91 crores in FY26 compared to INR 177

crores in FY25. A majority of this drop was on account of the sales drop due to sanctions at VAW and on account of the higher losses at Foskor Zirconia .

Stand alone Electrominerals PBIT grew by 31.1% in FY26, at INR 82 crores compared to INR 63 crores in FY25 . During the last call, I gave a guidance of 1% to 2% of the sales growth in consolidated Electro minerals , we are at 3.7% now. In the last call, I said PBIT margin could be 4.5% to 5.5%. We are at about 5.6%.

Consolidated Ceramic s:

Consolidated Ceramic sales a full year was INR 1,268 crores compared to sales of INR 1,160 crores in FY25, which marks a growth of 9.3%. Growth was driven by standalone business, which grew from INR 939 crores to INR 1,000 crores in FY26.

I will cover in detail the Ceramics .

Our Ceramics segment consists of Industrial Ceramics , which is 57% of the Ceramics segment, and refractors, which is 43% of the Ceramics segment. Industrial Ceramics full-year sales stood at INR 569 crores in FY26 compared to INR 528 crores in FY25, reflecting a growth of 7.8%.

Sales in H2 grew by about 10.7%. Industrial Ceramics is broadly divided into three segments, wear Ceramics, Engineering Ceramics, and Metallized Ceramics . Wear Ceramics, which constitute roughly 30% of the business, offers wear resistance products and engineering Ceramics , which constitutes about roughly, again, one-third of the business, as a suite of customized Engineering Ceramics , such as C-channels, spark plugs, rings, x-ray, image-intensified tubes, etc. Metallized cylinders are used in vacuum interrupters in the power transmission distribution industry that constitutes another one-third of the business.

Standalone Wear Ceramic business, which grew by 9%, sells to three broad geographical segments. It sells products to CUMI Australia, CUMI America and CUMI India. While Australia grew by roughly about 13%, India also grew well by 12%. The exports to America grew by 40%.

Within the wear protection business, sales in Australian subsidiary grew by 13%, driven by strong orders with the OEMs.

Domestic business

grew by 12%. Engineering Ceramics segment grew by 30%, driven by the SOFC segment, which is seeing a strong demand in the AI-driven data center segment.

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Metallized Cylinder business grew by 9%. This segment, which typically grows about 14%, was impacted by a production-related challenge that cropped up in H1 but got addressed by Q4. This was resolved by Q4. Operations are back to normal. Hence, there is a fall in growth to 9%.

I will cover Refractories now:

Full year Refractories consist of two broad segments, Refractories and Anti-Corrosive products. Refractories constitute 77%, Anti-Corrosives constitute 23%. Full year Segmental stood at INR 437 crores compared to INR 418 crores, reflecting a growth of 4.7%. The Refractory business dropped by 4.3% in H1FY26 compared to H1 FY25. This was aided by strong return of deferred projects, especially in the glass segment.

Orders in Anti-Corrosives and Structural Composite business have been well sustained over the year. They grew very well in the last year. Sales driven by a fertilizer industry in structural composite business demand was strong in various sectors. During the last call, we gave a sales growth of 13% to 14% in Ceramics . We achieved 9.3% growth in Ceramics .

We will move to CAPEX :

Consolidated CAPEX was INR 309 crores, of which standalone constituted INR 235 crores. We communicated CAPEX estimate of INR 350 crores during our last calls.

I will provide a brief about what CAPEX we did last year :

In H1 FY26, we commissioned the first module of an exclusive facility for the manufacturing of advanced components for semiconductor wafer fabrication equipment with a CAPEX outlay of INR 66 crores. The facility comprises of an end-to-end capability from preparation of high purity powders to precision machining and cleaning will cater key global OEMs .

Serial supplies of qualified products will commence in FY27, with the line utilization gradually improving. Further expansions in line with the development roadmap and long-term strategy is very much there. In the first year of serial production in FY26, the focus would be on assimilating technologies and establishing a stronger system. A gradual ramp-up in FY27, the focus supplies to the key customer will be on.

In aerospace and defence segment, we have commissioned a new facility with an outlay of INR 49 crores to produce advanced Ceramics for ballistic protection of vehicle and personnel. The business is expected to scale up high in 2030 gradually. Further ramping up will happen around that time. In this segment, we have secured STANAG 4 qualification of vehicle armor and for personnel protection of Ceramic qualified BIS Threat Level 5 and 6, equivalent to NIJ 3 Plus and 4 levels. We are awaiting SCOMET approval, which will enable us to expand the business. The next major program is the upgradation of the existing white fuse alumina furnace from 2

MVA to 4.5 MVA, which will increase the existing capacities substantially. CAPEX outlay for this is about INR 53 crores, including the installation of 110 kV substation to meet the future
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power requirements of the plant. The incremental capacity will have a maximum revenue potential of 95 crores for the full utilization.

We have increased the treatment facility as well. This is a CAPEX outlay of INR 30 crores. This CAPEX is a maximum potential revenue of about INR 120 crores.

Additionally, pilot facility was established for the manufacturing of Ceramic powders for Solid Oxide Fuel Cells . The facility will leverage the technology tie -up we have with CGCRI. During the year, the business also entered into an agreement with the leading industry expert for the transfer of technology towards manufacturing of aluminum nitrate and silicon nitrate powders. The next major growth project is the commis-

sioning of thin wheel capacity at Hosur using the assets that we bought from DRONCO . The total CAPEX outlay is INR 83 crores and can produce 46 million thin wheels with a peak revenue of about INR 120 crores.

FCF :

Free cash flow on a full -year basis at a consolidated level is 56.6% to PAT compared to last year's 16.1%. On a standalone level, the FCF to PAT was 46.5% compared to 14% last year.

The debt-equity ratio is 0.08.

Now I will go to the guidance :

At the consolidated level, we expect the sales to grow approximately 4 % to 4.5 % in FY27.

However, if we exclude the revenue contributed from Foskor Zirconia and CUMI Awuko , which accounts to INR 343 crores in FY26 sales, and compare it with our business plan, comparable growth will be 11 % to 12 % . Consolidated Abrasive sales are expected to grow by 5.5 % to 6%. However, if we exclude the revenue from Awuko , which is about INR 108 crores in FY26, sales growth will be 11 % to 12 %.

Consolidated Ceramic growth is expected to be in the range of 15 % to 15.5 % . Consolidated Electrominerals sales are expected to decline by 6.5 % to 7% on account of the closure of Foskor Zirconia , which accounted for INR 235 crores in FY26. However, if we exclude the revenue contribution from Foskor Zirconia in FY26 and compare it with what we are planning to do in FY27, the growth would be 8 % to 9%.

Consolidated Abrasive s margins are expected to be around 9.5 % to 10 % . The reported margin in FY26 is 4.3 % . However, if we exclude Awuko losses, the comparable margin % for FY26 would be 7.9 % . So, basically, it will grow from 7.9 % to 9.5 to 10 % . Consolidated Ceramic s margin would be 20.5 % to 21 % . The reported margin is 20.2 % . Consolidated Electrominerals margin could be 9 % to 9.5 % . In FY26, the reported margin is 5.6 % . However, if we exclude the loss of Foskor Zirconia and compare it, the FY26 margin would be 9.1 % . So, basically, from 9.1, it would be 9. 0% to 9.5 % . We expect to do a CAPEX of about INR 400 crores in FY27.

The key CAPEX program for FY26 includes expansion of Advanced Ceramics for power electronics, including substrate, metallized tubes, rings, braced assemblies, expansion of Brown - Carborundum Universal Limited

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Fused Alumina , addition of an integrated furnace facility for thermal spray powders and Zirconia furnace and grain processing facility.

We also intend to do 110 kV substation and tunnel kiln for Refractories . These are the major projects which should account for about INR 400 crores of CAPEX .

Now, I would quickly cover our Aspiration 2030 :

The Company launched its Aspiration 2030 in FY26 is the first year. The aspiration is built on seven key building blocks :

- Building a high -performance organization
- Ambitious growth for the current businesses
- Focusing on innovation
- Exploring new opportunities for growth
- Achieving manufacturing excellence
- Strengthening sales and marketing excellence
- Supporting all this through digital and ESG initiatives.

Progress is regularly tracked through structured reviews involving teams across the business.

In the abrasive business, the Company has a clear market strategy across the segments and it's expanding dealer networks, strengthening relationships with existing partners. The focus is also gaining the new customers and increasing business with the current ones. The Company is strengthening its presence in the areas where it currently has low presence.

It has also grown its sourcing of business and has set up a new vertical for this, a clear roadmap for the new products to be introduced with the well -supported investment in R&D team and

capability and process building in R&D team.

The thin -wheel capacity based on assets acquired through DRONCO has been discussed earlier to stay competitive against the low -priced products, especially from China. The Company has launched a cost optimi

sation program, a cross significant SKUs, and strengthened the coordination between sales, product development and quality teams using digital tools. In the Electrominerals business, the capacity is being expanded by upgrading furnaces. The Company is also increasing its capacity in value -added products in alumina and diversifying raw material sourcing. Exports are a key priority and already form a significant share of the business. Electrominerals, I would like you to look at it in three broad categories :

Core :

Our range of fused alumina products including BFA, WFA and silicon carbide products constitute our core product portfolio. We have expansion plans in both WFA and BFA. While Carborundum Universal Limited

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the core products will continue to form the bulk of our product basket, its share is expected to current level of 85%. It will come down to 55% to 60% by 2030 as other product categories would scale up.

Treated products :

Treated products which include products that undergo heat treatment and coating are relatively high performing in nature. As discussed earlier, we are undertaking a related CAPEX initiative in this area. We aim to increase the share of treated -grains from 5 % to 6% at the current level, nearly 20 % by 2030.

Specialty products :

The business currently manufactures alumina Zirconia products catering to applications in Abrasive , Refractories , metal matrix, composites and related industries. We also produce some zircon mullite grains. We have expansion plans for both alumina Zirconia as well as Zirconium. In addition, as part of the L TS initiative, we plan to start production of calcia-stabilized Zirconia and monoclinic Zirconia . Collectively, this suite of Zirconia -based products will form specialty products portfolio, whose share is expected to increase from 8 % currently to 18 % to 20 % by 2030.

Transformational products :

At the same time, the Company is investing in new technologies and products such as SOFC powders and Nitrides , which are expected to drive future growth. In FY26, we have commissioned a pilot lab facility with a spray pyrolysis technology to prepare powders for SOFC and SOEC cathodes. This was done based on the technology transfer from CGCRI. Going forward, we will focus on capacity creation and securing anchor customers. There has been good progress on Nitrides side as well, with a leading technology consultant being onboarded in this year.

Apart from this, the business has achieved 5N purity on HPSiC and will be working on securing customers for the same over FY27. The technology route for 6N Purity of HPSiC has also been initiated and the business is currently working on a pilot scale manufacturing facility for the same.

Besides this, we are working on establishing applications for graphene in bioplastics, coating, concrete and rubber. All these areas, such as thermal spray powders, electrolytes or Ceramic powders for SOFC, SOEC, Nitrides , HPSiC graphene are collectively called transformational products. We expect transformational products to contribute around 10% by 2030 compared to the current level, practically very little.

Growth in this segment is expected to be gradual as these are advanced materials catering to the emerging sector. We believe we need to create a good base in the transformational product in the aspiration period and create a new leg of growth beyond 2030.

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Ceramics :

When we come to Industrial Ceramics segment, we can view it as core and emerging businesses where metallized cylinders for vacuum interrupters, engineering Ceramics for diverse applications would fall under the core business.

Emerging business encompass components for semiconductor wafer fab equipment, aerospace and defence electronic substrates.

In the core segment, the business plan is to increase metallized cylinder capacity

substantially

from the current level. Additionally , the business would expand production facility to meet the growing demand in SOFC segment.

In the emerging segment, the Company is entering into high growth areas like semiconductors through newly commissioned plants which manufacture components that go into wafer fab equipment. Products have been approved by key customers for serial production. Work is also underway to build capabilities in advanced electronic components through global major tech partners.

Additionally, the business is entering to Active Metal Brazed (AMB) and Direct Bonded Copper (DBC), AMB products and DBC products, substrates and brazed assemblies for power electronics. A qualification program has been drawn and both these critical product segments and prototype development submission will be completed this year.

In the Refractory business, the growth will be based on both fired and monolithic businesses . The fired Refractory portion of the business, we are increasing the capacity by 75%. Additional capacity will focus on mullite , high alumina and IFB bricks, PC PF shapes for application in glass, Petrochem , super alloys and Ceramics . We are also progressing on our plans to increase our monolithic capacities. We will gradually ramp up our capacity in the composites business as well in carbon bricks, floor coating, and advanced structural composites.

While we do this host of initiatives at the business, we have also done good work in terms of the support functions. CUMI 's manufacturing excellence program which works on integrated manufacturing excellence framework, improvements in quality, cost, delivery and operational efficiency across businesses. This program has delivered its intended cost savings in the first year through automation , digitally enabled QAQC and throughput improvement in key assets beyond savings , IMEX focuses on institutionalising a culture of manufacturing excellence and the support of manufacturing excellence academy which runs the program for both management and non -management staff. The Company is also strengthening sales capabilities through CRM implementation and the sales excellence academy which aims to drive more data -backed approach to sales.

Digital initiatives are further enhancing the manufacturing and planning systems, including the rollout of manufacturing execution system, MES, across identified plants and implement the S&OP software.

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Safety and sustainability remain central to the company's long -term strategy through a structured EHS excellence framework. The Company is advancing its goal to Net Zero Emission, water positivity and improved material circularity.

FY 2030 targets include :

Increasing renewable energy use to 50%, reducing emission intensity by 25% and lowering energy intensity by 20% from FY2025 levels. Progress is supported by renewable energy adoption, cleaner fuels, waste heat recovery, energy efficiency initiatives. The Company has also made significant progress in zero harm journey recording a substantial reduction in LTIFR through risk management and behavioral safety programs.

People capability development remains a key enabler of growth under a program called FACED to perform. The framework consists of focus on the factory, which is the first major initiative, acquisition of talent, rewarding career path, employee experience and development of talent. We aim to do a high -performance organization relationship development initiative, includes the next 100 programs or helping build a strong future -ready talent pipeline.

Alongside this, the Company is driving cultural transformation through BEFAST behaviors, bold and timely decision -making, embracing change with a solution -driven mindset, fairness to all stakeholders, accountability in decision -making and standing up for each other.

I would like to

summarise that we continue to drive the focused execution across functions with multiple initiatives. The progress achieved in the first year of execution is really giving us confidence.

We have delivered the top line as well as the bottom line as per our internal targets and the progress from the functional level also has gone well.

With this, I would like to open up for Q&A. I know it is a long opening remark, but I thought it is needed. We would have 45 minutes of Q&A.

Moderator: Thank you very much. Ladies and gentlemen, we will now begin with the question -and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Jonas Bhutta from Aditya Birla Mutual Fund. Please go ahead.

Jonas Bhutta: Good morning sir and thank you for the opportunity. Firstly, I just want to congratulate the management on taking a timely decision on the divestiture of an Awuko . I had two questions, both relating to your high growth or emerging segments. Firstly, if you can touch upon the SOFC segment, there we have seen the client place some very large orders on another vendor in India, provides line of sight right up till Calendar Year '29 and in fact 2030 as well. In your case, if you can give us the lay of the land in terms of how has that business for you grown? What is

your wallet share? Are you one of the many vendors for those Ceramic parts? Do you see any disruption in the technology that leads to lower adoption of Ceramics in that thing? Can this

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business become like a 10% to 12% portion of your sales, maybe three or four years down the line? That's the first question.

Sridharan Rangarajan: Thank you. First of all, we feel that we are a very important shareholder of the particular segment that we serve to the SOFC segment. We believe that we have a vision at least going up to the next year and there's a line of sight the management provides, the customer provides going up to say 2028 like that. The customer also is growing well, so we have to build the capacities using that as a clue, plus the intermediary guidelines that they always give for the next one year. This is how we are looking at and we feel that given what the customer is embarked upon and the kind of growth that they are facing, we feel a very strong growth possibility in this segment. We have grown well last year and we expect to grow well in the coming years as well.

Jonas Bhutta: What would your wallet share with the client be?

Sridharan Rangarajan: We wouldn't like to share such details at this call. As I said, we feel that we are an important supplier to the customer.

Jonas Bhutta: Any guidelines on how big can this business be three years out for you? Not a number, but at least as a percentage, can it be meaningful in terms of like 10% or greater than 10%?

Sridharan Rangarajan: Definitely, it will be a meaningful share that we will have. As we said, the Engineered segment itself is currently one-third of the business that substantially it would grow up is our belief.

Jonas Bhutta: Thank you. The second question was on the new CAPEX that you have done for one of the OEMs. If you can delve a bit on what exactly will that help you get, where is this product used particularly? I think if I got the number right, you did about INR 60 crores to INR 70 crores of CAPEX for that. Where does it take you? Is it predominantly first to get the first articles out and get the pre-qualification and post, which will require a further CAPEX, if you can give a timeline to that? That's my final question.

Sridharan Rangarajan: We have crossed the qualification stage on a set of products and this is an initial investment. As I said, we expect that this investment could go at least 3x to 4x higher and we are geared for that. We also expect the revenue

potential also is substantial in this industry.

Jonas Bhutta: Got it. I will take this offline. Thank you.

Moderator: Thank you. Next question is from the land of Harshit Patel from Equiurus Securities. Please go ahead.

Harshit Patel: Thank you very much for the opportunity. Firstly, on Abrasive, China has removed the export rebate on Abrasive products from 9% to 0% effective from April onwards. Has the domestic market pricing improved because of this or we have been able to garner a little bit better market share in the last one or two months?

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Sridharan Rangarajan: It's a very recent phenomenon at this point in time. A lot of people will have inventory through the imported materials, all that is happening, but we believe that this is good for the domestic industry and it will help us to grow. Of course, the growth in H2 is about 15% is very encouraging. A lot of that could be due to this factor as well. But I think overall, we see a rebound and our work in terms of all the areas, whether it is GTM initiatives, new products that we introduce, bringing cost down of our products, all these combined efforts of our strategy is playing out. This we have been doing over the last 18 to 24 months is now playing out.

Harshit Patel: Understood. Just a follow up to that, given that we posted such a strong growth in the 4th Quarter, if you could explain your growth in terms of how industrial market did, how precision did, how retail Abrasives did and what would be the outlook on these three sub-segments going ahead?

Sridharan Rangarajan: I think I gave a broad outlook in terms of the segmental sales what we are looking at. But we feel that standalone, we grew 6.2% this year. We believe that we can grow in the range of about 12% next year.

Harshit Patel: Understood. My second question is on standalone Electrominerals. What has been the contribution of volumes and higher pricing in the 22% YOY growth that we posted for 4th Quarter? And even the full year growth at 11% was reasonably healthy. Also, you could comment on the Chinese import intensity, whether it has increased or decreased in recent times in that Electrominerals business based out of India.

Sridharan Rangarajan: So, the Chinese intensity continues to be there. There is no kind of coming down of it. But we started focusing more on the treated products, export segments and that is the focus that we are looking at and that gave us this growth that we posted in the full year as well as in Q4. The predominant growth has come from volume. Price is probably you can treat it as flat, some small percentage.

Harshit Patel: Understood, sir. Thank you very much for answering my questions. I will come back in the

queue .

Sridharan Rangarajan: Right. Thank you.

Moderator: Thank you. Next question is from the line of Ravi Swaminathan from Avendus Spark. Please go ahead.

Ravi Swaminathan: Hi, sir. Thanks for taking my question. My first question is with respect to the Vision 2030, any revenue target or growth target that we have and any margin target that we have for this?

Sridharan Rangarajan: Ravi Swaminathan, thank you for asking this question. We have not been sharing guidance. We have started sharing only one -year guidance and also giving a program that what we are looking at going for the Aspiration 2030 . We believe that it would energise and bring growth substantially from now onwards and we have kind of addressed some of the issues that we are facing in terms of loss -making subsidiaries , so we should see a rebound.

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Ravi Swaminathan: Got it, sir and with respect to the Ceramics and Refractories business, if you can once again highlight, you had mentioned numbers in terms of bifurcation between Ceramics and Refractories . If you can call it out once again and what kind of growth

that we should think of

in each of these individual subsegments if you can give that would be great ?

Sridharan Rangarajan: I think I gave an elaborate one, but I will just give a broad outlook to you that we feel that 57% of the Ceramics is Industrial Ceramic and 43% is the Refractory business. The growth overall in the Ceramics segment that we are looking at this year we achieved 6.5%. We expect next year would be in the range of about 14%. I am not sharing the individual data of the Refractory and the Industrial Ceramics , but they would broadly form part of around this range, 14%.

Ravi Swaminathan: Understood, sir. Yes, thanks a lot.

Sridharan Rangarajan: Thank you.

Moderator: Thank you. Next question is from the line of Amit from PL Capital. Please go ahead.

Amit: Hi, sir. Thanks for taking my question. Just wanted to understand how has been the exports across the segments. I think you mentioned something 11 to 33%. I missed that so if possible for you to give us some colour in terms of exports within Ceramics and Abrasives and what is the kind of outlook there?

Sridharan Rangarajan: I shared the export share of Electrominerals business, which I had said that we have reached a 33% share in the current business, over INR 300 crores of export in Electrominerals business.

That's what I shared.

Amit: Right. How has been the export in Ceramics and Abrasives, which we can get the break up of and what's the outlook there also?

Sridharan Rangarajan: The biggest portion of the Ceramics , over 80% of the business is all exports, and that is doing fine. That basically whatever is the growth that I talked about on Industrial Ceramics predominantly comes from those areas. Abrasive, a very small portion of the Abrasive business is the export. Less than 10% is the export.

Amit: Understood, sir. My second question is on Rhodius . I think you guided about 5% top-line growth and kind of breakeven or some very small loss. So, what exactly are we factoring in. The growth seems to be still kind of mid -single digit, but we are expecting breakeven. So, where exactly improvements will happen? And if you could elaborate more in terms of how business volumes are happening in Rhodius and what will lead to the turnaround this year?

Sridharan Rangarajan: So, if you see the last year, the big reason for the drop in is last year, we had almost EUR 5 million impact in terms of the logistics change and that really affected the top -line change. And we feel that they have been growing in the range of about 6% to 7% and we feel that that growth should happen and second is that because of this loss of sale as well as the margin impact due to this loss of sale, along with the logistics costs on the shift, these things would come down, and

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hence we feel that we should get back to a small loss or a breakeven. The third reason is that we are also now working on a program with the Rhodius team in terms of how do we accelerate the profitability as a special program. So, these are the reasons why we think that we should get here.

Amit: Understood sir. Thank you. Thank you, sir.

Sridharan Rangarajan: Thank you.

Moderator: Thank you. The next question is from the line of Harshit Patel. Please go ahead. There is no response on the line of Harshit Patel. The next question is on the line of Akshay Thakur from Helios Capital Management. Please go ahead.

Akshay Thakur: Hi, sir. Thank you for such an elaborate call. So, my question is pertaining to the stationary armour within your defence and also CFR P products for aerospace. So, currently, there is a lot of ecosystems being developed for aerospace and for aeronautics and for this defence as well. Almost 100% of that would be imported. So, how do you see this? Like, in terms of

commercialisation, where are we placed? Are the certifications right? Are we negotiating

with

the OEMs or where are we placed on that?

Sridharan Rangarajan: So, I think you kind of very clearly described this. So, step one is to have the certifications in place, which we are definitely doing it. I described the certifications that we already got. So, pretty much, we are in good shape as far as certification is concerned. We are working with a few anchor customers at this stage. We also have the ability to work with them because they would be the front-ending in terms of what they would finally supply. We are only a product supplier to this case. So, hence, this is how we are planning to move in this model.

Akshay Thakur: Thank you, sir. That was helpful. My second question is, it's been a long time that we are facing the war situation in Russian subsidiary. So, all this time, are we able to figure out any alternative strategy? India also imports a lot of silicon carbide. So, are there any alternative strategies? What type of lower realisation would SIC get in other economies?

Sridharan Rangarajan: Honestly, it's difficult to create a capacity and the cost would be pretty high. So, it's going to be very difficult to recreate anything like that. But at the same time, Russia is not in a position to export products, which is what we are currently going through. So, practically, we need to wait for the sanctions to be lifted, which gives us an ability to go beyond Russia. So, at this stage, we don't have an alternate solution for this.

Akshay Thakur: Thank you, sir. One more question. Can you just throw some light on the subsidiary you have, PLUSS? How is it doing?

Sridharan Rangarajan: PLUSS is doing fine.

Akshay Thakur: In terms of profitability?

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Sridharan Rangarajan: Yes, they made profit and it's a very small profit. They are doing fine.

Akshay Thakur: Okay. Thank you, sir. That was good.

Sridharan Rangarajan: Yes.

Moderator: Thank you. Thank you. The next question is from the line of Chintan from Pico Capital Private Limited. Please go ahead.

Chintan: Thank you so much for taking my question. So, sir, one of the questions that I had was that, as you said, the Ceramics business is around 80% exports for us and most of our peers will be global and they spend a lot on R&D. So, how do you see our business and our R&D evolve over the next few years? And what are the key areas that we will be focusing on?

Sridharan Rangarajan: Yes, I think that's a great question. We spend roughly about 1% as R&D and I think this needs to go up and we expect that we should at least start spending 2% to 3% level. We are working in terms of strengthening our R&D team across individual Bus and we are also strengthening the new product development process, coupled with software-enabled process so that we kind of make sure that we do the right thing in terms of the new product, getting the right input from the market, customers and the users. So, all these factors are now being put part of this R&D process. So, strengthening the R&D, building the capability and putting process, we need to accelerate the spend both in terms of CAPEX as well as in terms of OPEX.

Chintan: All right, sir and the second question I had was more on the Ceramics side. So, basically, a lot of applications in EV require Ceramics. So, are we working on any products or programs with any OEMs or Tier-1s where our Ceramics are getting used on the EV space? And how do you see it evolving over the next three to five years, basically?

Sridharan Rangarajan: Yes, we do work. I think this is part of the Engineered Ceramics that I described and that's why we feel quite upbeat in terms of that segment's growth. So, we are working with Tier-1 suppliers to OEMs. That is how our role would be and definitely we are doing that.

Chintan: And how do you see it evolving, maybe, sir? I mean, would it be

a substantial part of our

revenues? What are the key focus areas, if you could just elaborate on that?

Sridharan Rangarajan: So, Engineered Ceramics will be a key focus area for us, which would bring a substantial share of our business, which consists of areas like what you talked about in terms of SOFC, EVs, as well as rings. It also consists of image-intensified tubes. All these products groups would fall under that and we feel that the growth rate would be substantial and we also feel that the share of business will go up, and that is how we are creating this capacity. We are also trying to create, as I said, that Ceramic Substrate capacity for electronics is what we are creating. We are working on that. Technology transfer agreement is done. Now, the capacity augmentation would happen in FY27 on that.

Chintan: All right, sir. Thank you so much for taking my questions. Thank you.

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Moderator: The next question is on the line of Preet Jain from Nivesh Investment Advisors. Please go ahead.

Preet Jain: Thank you, sir, for taking my questions. Congratulations on a good set of numbers. Sir, my first question is on the semiconductor side. The semiconductor opportunity seems to be a massive long-term driver. So, can you read between structural Ceramics for fab equipment and HPSiC for vapors? And could you map out the current qualification cycle timeline with global OEM? And given the strict purity requirements, when do you expect this segment to cross the threshold into material revenue generation for us?

Sridharan Rangarajan: A lot of loaded comments and you are asking the right question. Particularly on this Ceramic for the wafer fab equipment, in the case that we have built the capacity, the material qualification process is pretty long. It will take about four to six years. We have crossed that and that is how we have created the capacity at this stage. We have samples tested. The development phase is completed and now we will start supplying to them. The serial production will start. So, you are right. It takes a long time and that is how we took a long time to get here. We will now complete Phase -1 and then expand to Phase -2 quickly.

Preet Jain: And when can we expect material revenue generation from that?

Sridharan Rangarajan: 2029 onwards, we can expect. Okay.

Preet Jain: And my second question is, given the massive power distribution and big infrastructure CAPEX happening domestically, how quickly we can de-bottleneck our current metallized capacity? And furthermore, are we seeing traction in penetrating the export market to compete against Japanese players like Kyocera and NGK?

Sridharan Rangarajan: In fact, our metallized cylinder, the biggest portion is only exports. So, definitely we are competing with the names that you are mentioning and we are doing it well and expansion would happen in the next 18 months, 24 months in a phased manner. It consists of three phases, but it could happen in that fashion.

Preet Jain: So, do we have the capacity till 1.5 years next to supply this metallized cylinder?

Sridharan Rangarajan: Yes, definitely. We are one of the number two worldwide player in this field and we feel that we have headroom. Plus, we are also de-bottlenecking and creating the new capacities.

Preet Jain: Okay. And sir, another question is, you are supplying to one of the largest SOFC manufacturers in the world. So, basically, our current realization, according to our revenue, sits at 13 to 15 lakhs per megawatt of deployed. And given that SOFC manufacturer has expanded its capacity from 1 gigawatt to 2 gigawatt, can I get to know what are your revenue estimations regarding that SOFC product? And given that 5 to 7 year replacement cycle of that SOFC cell, can we also expect revenue from the replacement demand?

Sridharan Rangarajan: I think a lot of that has got

sub-elements of it, you are getting headline information, but we feel that definitely the gigawatts of additions that each of them would add would definitely help us,
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our demand also would go up. As I said in the earlier question, we feel that the growth rate in this segment is going to be substantially high. We are parallelly gearing up because we are also feeling that we need to work in terms of creating this capacity ahead of time, so which is what we are working on this. I think you are right, step one is to this growth would seem to be going up because of the AI related data center demand, etc. So, definitely, it's a clear sign of growth in that segment and SOFC is a clear market leader in a clean energy segment, which definitely helps us quite a lot.

Preet Jain: If time permits, can I ask one more question?

Sridharan Rangarajan: Yes, please.

Preet Jain: Thank you, thank you for giving me the opportunity. So, basically, China has reduced its export rebate in April 2026 from 9% to 13% on their Abrasives products. So, are we seeing any current traction of Abrasives sales growth volume improving in the current month or in the last month due to this policy?

Sridharan Rangarajan: So, I did comment on this, Preet, a little bit in the earlier question. I think it just happened, we are in the month of May, so a lot of inventory would be there in the system that should get also completed. I feel that definitely it is a good sign, it helps the domestic market to grow faster. We have grown 15% in H2.

Preet Jain: Okay, sir. Thank you, sir.

Moderator: The next question is on the line of Sejal Kapoor from Antifragile Thinking. Please go ahead.

Sejal Kapoor: Yes, thank you for the opportunity. Just a couple of questions on the R&D side of things in the business. What percentage of your recent R&D and innovation projects were deliberately stopped or pivoted or redesigned because customer or market learning invalidated the original assumption? That is my first question.

Sridharan Rangarajan: That is a great question. If I just quickly look around our R&D at 4 BUs, We have not experienced any such program that we stopped or customers request change type of a situation, definitely not. But we have experienced cases where you need to put a particular application, but you require some more work to make sure that the application really is capable of using our product. That type of thing happens.

Sejal Kapoor: Understood. Thank you. So, how will CUMI ensure its investments in silicon carbide, advanced Ceramics and other high-tech materials become high-ROCE scalable businesses rather than technologically strong but capital-inefficient platforms?

Sridharan Rangarajan: I am not sure I agree to your question. Why would you think it's a capital-inefficient platform?

Sejal Kapoor: No. So, I mean, do you have internal benchmarks? We are doing a lot of advanced R&D in the Annual Reports, we are almost confidently saying that post-2030, CUMI will emerge as a very Carborundum Universal Limited
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different-looking business because of the initiatives that we are doing across many things. So, I can name maybe the most futuristic opportunity to my mind is something like semiconductor link materials, EV, but even things like Electrominerals, silicon carbide. We have got most strategic capability around that. Difficulty is also very high. See, ultimately, from an investor perspective, it's about how scalable the business can be and what will be the steady-state ROCE it will generate. The outcome will determine the shareholder wealth creation. So, I was coming from that perspective.

Sridharan Rangarajan: Sure. No, I think these are definitely looked at part of our threshold to evaluate any such opportunity. Clearly, the dimension that you are looking at, market size and opp

portunity, growth

rate and the ROCE that we would get in a steady state, we feel that these areas that we just listed in terms of Ceramics for semiconductors, Ceramic for electronics, high-purity silicon carbide, Ceramics for aerospace and defence, all these areas we feel that are good areas to work on and invest and that's how our programs are on. CUMI is capable of funding itself. If you really look at it, we spent this year INR 310 crores plus CAPEX and we have net zero debt at this point and substantially very good FCF. So, we are able to fund these type of programs and we think that we would spend INR 400 crores next year as well. And a year before, we did spend about INR 250 crores plus.

Sejal Kapoor: Helpful. Thank you so much. That answers all my questions. Thank you. Wish you all the best. Thank you.

Moderator: Thank you, Mr. Kapoor. The next question is from the line of Rachna Kukreja from SI MPL Limited. Please go ahead.

Rachna Kukreja: Thanks for the opportunity. Sir, could you please help me understand the performance of our Abrasive business for our JVs like Wendt? See, the business for Abrasives there has been declining in terms of growth as well as segmental profit margins. If you could give some color on the Wendt performance, it would be very helpful.

Sridharan Rangarajan: So, Madam, I am afraid I will be able to comment on that. This is another listed company. So, I think I would encourage you to stay in touch with the Management. They would be able to provide that. But I think their shortfalls are coming because of the machine building segments and Super Abrasive is doing fine. I would limit my conversation to this level.

Rachna Kukreja: Okay. Thank you.

Moderator: Thank you. We take the last question from Pravesh Kochar from 4Line Capital. Please go ahead.

Pravesh Kochar: Hi. Thank you for taking the question. First one on Ceramics, I think last call, you mentioned we end up doing 13%-14% growth in that segment and then the guide for next year also is at 15%-15.5% and we have ended the year at close to 9%. So, just want to understand what is the gap between those two. Second, again on the Ceramic SOFC side, do we supply only the Ceramic Plates, etc., or are we also in the electrolytes for that particular business? Thank you.

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Sridharan Rangarajan: Okay. Two great questions. I think why did we miss? I think that is the only area we missed our guideline. It is largely because of deferred projects, which I think is substantially the one-line reason for why did we miss our guideline and why do we think that we can meet 15 is the backlog

and the forecast from our customer gives us that confidence. We are not currently into electrolytes, but you are asking a very deep question. We have the capability because of our Electrominerals business, we have the capability of manufacturing electrolytes. That is the technology we had worked with CGCRI and as I mentioned, we had a small pilot scale plant we established to manufacture that, which is what we just shared in the call as well. So, we have a small capability there. We need to now expand that. At this point in time, it is more a pilot scale.

Pravesh Kochar: On the overall segment, my question was earlier we used to anticipate 16% to 18% kind of growth in the Ceramics segment. So, I was assuming because of the deferred projects, the next couple of years would be in that range, given this year some projects were deferred into next year. So, just trying to understand if structurally there is more competition that you are seeing, or the overall market itself is kind of slowing down?

Sridharan Rangarajan: It is not because of structurally something is changing. I feel that it is more projects, plus a lot of it would depend also on how we do business in America in terms of the Ceramic side of the business. So, t

these are factors that we have kept in mind when I told the kind of 14 % to 15 %.

Pravesh Kochar: Understood. Thank you so much and all the best. Thank you.

Moderator: Thank you. That was the last question. I would now like to hand the conference over to the management for closing comments.

Sridharan Rangarajan: So, first of all, I thank you all for patiently hearing us. But I just want to summarize.

We have done fairly well in FY26. We have addressed all the major issues in terms of loss-making subsidiaries. They alone contributed a loss of over INR 100 crores to INR 120 crores.

So, the first year of our five-year journey, we have done fairly well. CUMI has created a good base over the last 24 months for this aspiration. CUMI has made a significant capacity and capability investment in FY26. You see three years, INR 280 crores, INR 310 crores. Next year, we would plan to spend about INR 400 crores. All of them are in capacity or capability building, so that would give strong future revenue growth. CUMI has achieved good free cash flow after meeting all CAPEX investment. It is a good sign and CUMI is net debt-free.

CUMI has drawn a good Aspiration 2030. It is well-resourced, both in capacity and capability. It has built a good, strong execution rhythm. Above all, it has a good leadership and a strong team exhibiting "BEFAST" behaviors, which consists of bold and timely decision-making, embracing the change with solution-driven mindset, fairness to all stakeholders, accountability in decision-making and execution, and standing up for each other.

So, thank you all for hearing us during this call. I look forward to meeting you in the next call soon.

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Moderator: Thank you so much, sir. With that, we conclude this conference call. Thank you for joining us. I will now disconnect your lines.